J.P.Morgan

Global Economic Research
28 August 2026

Global Data Watch

- **Growth picks up on the back of services and non-tech business spending**
- **A broad-based surge in corporate profits**
- **Warsh suggests he will advocate hiking absent a core inflation moderation**
- **Next week: Global PMI up; soft US jobs and Euro area core HICP; BoI cut**

Demand is rebalancing without an expected job rebound

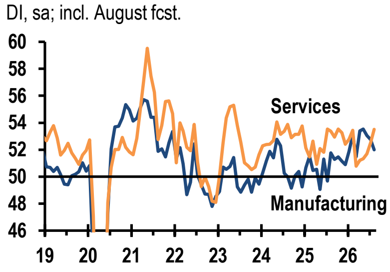
Tech spending continues to boost growth, but it is other sources fueling an acceleration in global GDP growth this quarter. The latest reports from Asia and the US show a rebound in non-tech activity is gathering momentum, in part as the stockbuilding cycle turns positive. A moderation in consumer goods spending took hold around midyear, but a pickup in service sector spending appears to be sustaining solid overall consumption gains. In the US, real services spending rose at a 4.4%ar in the three months through July, while spending on goods slipped to a 0.9%ar increase. This surprising service sector strength underlies this week's upward revision to our current quarter US personal consumption (and GDP) growth forecast to a 2.75%ar. We look for this rotation to be reflected in next week's August global PMI report, where the net of a rebound in services and a manufacturing moderation lifts the composite PMI to its highest level in over three years (Figure 1).

This rebalancing in global demand is at the core of our outlook narrative, which has anticipated a cyclical lift outside tech as last year's business sentiment shock fades. The normalization of sentiment that began as we turned into this year was interrupted by the outbreak of the Middle East conflict last quarter. August survey readings show our business composite expectations index more than reversing this decline and aligning with the pickup in non-tech business spending.

Demand rebalancing has not, however, been accompanied by balanced income gains. Global profits surged 35%oya in the second quarter, with MSCI-reported profit growth accelerating in 24 of the 28 tracked economies (Figure 2). In the US, corporate profits jumped 9.1% last quarter (non-annualized) and are up 23%oya. The rising inflation and weak job growth that contributed to this outcome has depressed household real purchasing power across most of the globe. Global CPI inflation is moving lower this quarter — we are tracking a deceleration to 2.5%ar this quarter from last quarter's 5%ar spike — but the income rebalancing that we anticipate requires firmer labor demand. Job growth has remained sluggish, however, with

Figure 1: Global output PMI

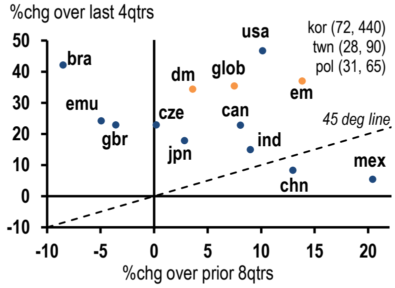
DI, sa; incl. August fcst.



Source: S&P Global, J.P. Morgan

Figure 2: Corporate profits by country

%chg over last 4qtrs



Source: DataStream, IBES MSCI, J.P. Morgan

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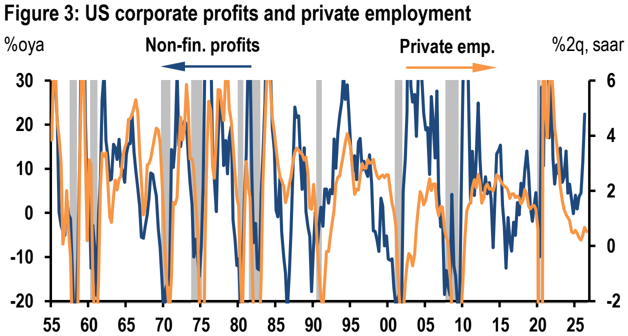
global employment up 0.5%ar in 1H26, less than half the pace consistent with the current GDP growth rate. While US GDP is projected to rise at a 2.75%ar this quarter, we anticipate a meager 50k job increase next week. Absent revisions, the monthly average gain would slip to 16k for the three months through August.

These developments set up a critical test ahead: will the rebalancing in demand underway boost job growth, or is structural change related to new technologies and weak labor supply producing a sustained shift towards productivity-led growth? We continue to project a balance between cyclical lift and structural change and expect global job growth to rise to a 1%ar pace, with US gains returning to triple-digits. While recognizing recent disappointments, our confidence that a labor market recoupling remains reasonable is sustained by two recent developments:

- **A chain from profits to job growth**. The recent profit surge has come on the back of weak job growth, but it should also become a catalyst for a rebound. The juxtaposition of weak US job growth, strong profits and supportive credit conditions is not a new one. When combined with solid growth, it has been a reliable signal that an acceleration in job growth lies ahead (Figure 3).

Figure 3: US corporate profits and private employment



Source: BLS, BEA, J.P. Morgan. Profit before-tax (IVA, CCA). Shading denotes US recessions.

- **Surveys show hiring intentions are up.** While job growth remains sluggish, surveys show hiring intentions picking up as we move through the current quarter. Indicative of this shift, the DM flash PMI employment index rose to its highest level in three years in August.

Warsh of many colors

Chair Warsh reiterated his distaste for forward guidance in today's Jackson Hole speech. But by using this forum to walk back July assertions and provide his first detailed description of the economy and the Fed reaction function, he signaled a rising risk that he will soon be an advocate for rate hikes.

Resetting his July comments by stating that PCE inflation is a "firm fixed target" and that "short-term interest rates are the predominant tool to achieve the dual mandate" was not a surprise. What was a surprise was his description of financial conditions as not broadly restrictive, and his assessment that the inflation news is "concerning" as the recent moderation does "not tell me that underlying trends have materially improved." His conclusion that there will be "work to do" if the Fed does not gain confidence that underlying inflation is moving toward its objective reinforces our view that a tightening will come if core PCE inflation continues to track close to 3% and the unemployment rate remains stable.

While we maintain a forecast for a Fed hike in December, it is appropriate to view a September hike as now likely if August CPI and PPI readings are firm. Current committee dynamics suggest that a call for patience by Warsh would not deter an otherwise hawkish majority, but that his advocacy would be sufficient to deliver a September hike.

BoJ on track for September hike

The case for a BoJ hike in September is strengthening. The macro argument for a substantial policy adjustment is already well established and is being reinforced by incoming data. This week's August Tokyo CPI supports this view, confirming that inflation is already running above 2%. An upbeat July machinery orders report, highlighting sustained capex demand, will likely be reflected in next week's July IP release, which should show solid growth in both tech and non-tech manufacturing.

Market pressure for a hike remains significant as FX intervention and a more hawkish BoJ has not pushed USD/JPY materially stronger. Against this backdrop, Deputy Governor Himino's speech was notable for his statement that rate hikes would be discussed "at every Monetary Policy Meeting" keeping a September hike firmly on the table. We continue to expect hikes in September and December this year, followed by a move in rates above 2% next year.

The Asia domestic demand divide

While the tech spending boom continues to boost Asia activity, there is a significant intra-regional divide in domestic demand. In addition to benefiting from the broadening of demand elsewhere, Asia outside China is seeing booming profits crowding in a capex upturn, while growing tax windfalls are allowing policymakers to support households through cash transfers and other fiscal measures. In sharp contrast, China's domestic demand weakness is weighing on non-tech production, and GDP growth looks to have slipped to a roughly 3%ar in the middle two quarters of the year (Figure 4). China fiscal stimulus remains is anticipated to close

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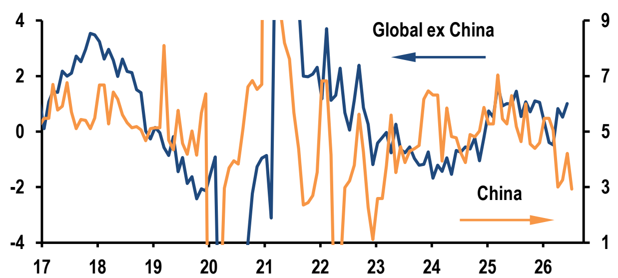
this gap, lifting China GDP growth to an expected 5%ar pace in the coming two quarters. But the latest news on government bond issuance remains disappointing. Policymakers appear to be intensifying efforts to accelerate project approvals and policy financing, but it is unclear when this will translate into the expected meaningful pickup in investment activity.

Figure 4: Non-tech manufacturing output

%oya, both scales; China thru July, global ex. thru June



Source: National sources, J.P. Morgan. Details on request.

Euro area growth is cruising close to 1.5%

We had expected fading trade policy risks and improved German fiscal delivery to push Euro area growth to an above-potential 1.75%ar this year, before the Middle East conflict prompted us to revise growth lower. The energy drag has proved smaller than expected, however, with the Euro area August composite PMI tracking above-trend 1.4%ar GDP growth. While aligned with our 2H26 forecast, the momentum in a broad range of surveys — along with the recent uptick in credit and profit growth — suggests risks are skewed to the upside. The recent details from 2Q26 national GDP reports suggest net trade and a falling household saving rate have provided the key sources of recent resilience. Over the coming quarters, a pickup in private sector investment and the delivery of Germany's fiscal ease should kick in to sustain above-potential growth. Higher energy prices remain the notable downside risk.

These developments have likely sealed the case for September ECB rate hike and point to pressure for additional moves. Our hesitation in forecasting a December hike is linked to expectations for a moderation in wage and price inflation. Survey readings point in this direction, and next week's flash inflation print should show a slowing in core inflation to 2.4%oya.

EM Asia tilts towards tightening…

Strong growth and gradually broadening inflation pressures point to monetary tightening across much of EM Asia. The BoK and BSP both delivered expected hikes this week, with Korean policymakers sharply upgrading their growth outlook and the BSP maintaining a distinctly hawkish tone despite softer activity data. We continue to expect further tightening in both economies, with the BSP likely to add another 50bp this year. There are growing risks that India and Taiwan will join this hiking club. A key exception remains Thailand, where weak but uneven growth continues to justify a prolonged hold.

…while EMEA EM is mostly easing

In EMEA EM, five of the region's seven central banks are expected to cut rates. In Türkiye, strong inflows have allowed the CBRT to begin normalizing funding conditions by effectively lowering interbank rates by 300bp. We expect gradual easing ahead, with 100bp rate cuts in October and December. Aided by sub-target inflation, Hungary also remains on an easing path, with the NBH likely to deliver another 25bp cut in September. Looking ahead to next week, we expect the Bank of Israel to deliver an out-of-consensus 25bp rate cut. In our view, Israel has transitioned into a lower-inflation regime, with risks increasingly skewed toward inflation undershooting rather than overshooting the target.

South Africa has been a hawkish outlier, but softer inflation and a stronger rand have reduced the urgency for further tightening, raising the possibility that the SARB will remain on hold despite markets continuing to price in additional hikes. We continue to pencil in a final 25bp hike in September, but the risks are increasingly shifting towards an extended hold.

LatAm growth paths diverge

Growth dynamics are increasingly diverging across Latin America's major economies. In Mexico, we have nudged our full-year 2026 GDP forecast higher to 1.5%. In addition to solid 2Q growth, firm external demand and growing traction from the government's industrial strategy support a more constructive 2H outlook. Brazil is moving in the opposite direction. We expect next week's 2Q GDP report to show growth slowing from 4.5%ar in 1Q to 2% in 2Q, with early 3Q data tracking a further downshift towards 1%. High debt-service burdens, slowing income growth, and weak corporate profitability are increasingly weighing on private-sector activity. While credit measures may provide temporary support, fading fiscal stimulus and still-restrictive monetary policy should push growth below potential over the coming quarters.

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Global Economic Outlook Summary

	Real GDP % over a year ago			Real GDP % over previous period, saar						Consumer prices % over a year ago			
	2025	**2026**	**2027**	**1Q26**	**2Q26**	**3Q26**	**4Q26**	**1Q27**	**2Q27**	**4Q25**	**2Q26**	**4Q26**	**2Q27**
United States	2.1	2.1	**2.1** ↑	2.1	1.5	**2.8** ↑	1.8	2.3	2.3	2.7	3.8	**3.7** ↑	**2.0** ↑
Canada	1.9	**0.9** ↑	**1.7** ↑	**0.3** ↑	**3.3** ↑	1.4	1.4	1.7	1.7	2.2	**2.9** ↓	**2.8** ↑	1.6
Latin America	2.1	1.9	1.8	**1.9** ↑	**2.7** ↓	**1.4** ↓	**1.9** ↓	2.2	**1.4** ↑	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	-1.5	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	2.0	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	0.8	3.3	-1.0	-0.1	4.0	3.5	3.0	3.5	3.4	4.0	3.8	3.4
Colombia	2.6	2.5	1.7	2.6	5.2	0.0	1.0	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	0.3	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	**1.5** ↑	1.7	**-1.4** ↑	**5.8** ↓	**0.4** ↓	**2.0** ↓	**1.2** ↑	**1.5** ↑	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	1.8	-0.4	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	0.4	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3	4.0	5.7	2.9	3.5	4.5	4.1	4.1	1.2	2.0	2.0	1.6
Japan	1.2	0.9	1.1	1.9	1.1	1.0	1.3	1.0	1.2	2.7	1.5	2.8	2.3
Australia	2.0	2.0	1.8	1.1	1.6	1.5	1.9	1.5	1.7	3.6	3.9	3.9	3.6
New Zealand	0.2	2.1	2.3	3.2	1.2	3.4	1.2	4.0	1.0	3.1	4.1	3.9	2.4
EM Asia	5.2	5.0	4.5	6.6	3.2	4.0	5.1	4.7	4.7	0.9	1.9	1.7	1.4
China	5.0	4.5	4.3	6.3	2.4	3.6	5.3	4.8	4.5	0.6	1.1	0.4	0.2
India	7.7	6.8	6.5	8.0	6.5	6.0	6.2	5.5	6.7	0.8	3.9	5.7	5.5
Ex China/India	4.0	5.2	4.0	6.4	3.6	4.1	3.7	4.1	4.1	1.8	2.9	3.2	**2.2** ↓
Hong Kong	3.6	4.7	2.9	12.1	-2.5	4.3	3.6	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0	4.9	5.6	5.2	3.1	2.7	5.8	5.7	2.8	2.9	3.4	2.7
Korea	1.1	3.8	3.3	7.5	2.5	4.0	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.5	4.5	1.6	9.3	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5	5.3	3.8	2.3	6.5	7.0	4.1	5.5	1.7	6.8	6.5	**3.4** ↓
Singapore	5.0	5.4	4.0	5.0	5.7	3.5	4.5	4.0	4.0	1.2	1.8	2.4	1.9
Taiwan	8.8	11.4	4.6	10.2	5.7	4.5	5.5	4.0	4.0	1.3	2.2	2.4	1.8
Thailand	2.4	2.5	2.5	2.3	-0.7	4.1	2.4	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	1.3	1.0	1.4	0.4	1.9	1.2	1.4	1.5	1.5	2.3	2.9	3.2	2.3
Euro area	1.3	0.9	1.4	0.0	1.8	1.3	1.5	1.5	1.5	2.1	3.0	3.4	2.3
Germany	0.3	**1.1** ↑	**1.6** ↑	**1.8** ↑	**1.3** ↑	1.3	1.8	1.8	1.8	2.3	2.6	2.6	2.1
France	0.9	**0.5** ↓	**1.0** ↓	**-0.7** ↓	**0.1** ↓	0.8	1.3	1.3	1.0	0.8	2.4	3.2	2.1
Italy	0.7	0.9	0.6	1.3	0.8	0.8	0.8	0.8	0.5	1.2	3.0	4.3	2.2
Spain	2.8	2.7	2.2	2.5	2.9	3.0	2.5	2.0	1.8	3.1	3.6	3.9	3.1
Norway	1.7	1.0	1.6	**0.4** ↓	**1.3** ↓	1.8	1.8	1.8	1.5	3.1	3.1	2.8	2.0
Sweden	**1.6** ↓	**2.8** ↑	**2.2** ↑	**-0.3** ↑	**6.4** ↑	2.0	2.3	2.0	1.8	0.5	0.5	1.3	1.9
United Kingdom	1.3	1.2	1.2	2.5	1.7	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.2	2.0	2.7	-0.3	3.9	2.6	2.7	2.7	2.4	10.6	10.4	10.1	**8.6** ↑
Czech Republic	2.5	2.1	2.2	**0.7** ↓	**1.4** ↓	2.3	2.5	2.1	2.1	2.2	2.0	2.2	2.2
Hungary	0.4	1.9	2.8	3.2	1.6	1.8	3.0	3.0	3.3	3.8	1.9	1.7	2.5
Israel	3.5	4.5	4.0	-2.2	15.4	2.0	3.5	3.5	3.5	2.5	1.8	1.8	1.6
Poland	3.6	3.4	2.9	2.4	3.6	3.3	3.0	2.8	2.5	2.6	2.9	**3.6** ↑	**3.7** ↑
Romania	0.7	0.0	3.0	-0.4	0.0	3.6	3.2	2.8	2.4	9.7	10.7	6.0	4.9
Russia	1.0	0.8	1.5	-2.5	3.2	1.0	1.5	1.5	1.5	6.7	5.6	7.0	6.3
South Africa	1.1	1.1	1.4	2.2	-0.2	0.5	1.0	1.8	1.8	3.6	4.5	**4.6** ↑	**3.3** ↑
Türkiye	3.6	3.0	4.6	0.5	4.0	5.5	4.6	4.5	3.5	31.6	32.4	29.6	24.0
Global	2.8	2.6	2.6	2.8	2.3	**2.6** ↑	2.7	2.8	2.7	2.7	3.4	3.4	2.4
Developed markets	1.7	1.6	**1.8** ↑	1.4	1.7	**2.0** ↑	1.6	1.9	1.8	2.6	3.3	3.4	**2.2** ↑
Emerging markets	4.3	4.1	3.8	4.8	3.3	3.4	4.3	4.0	**3.9** ↑	2.8	3.5	3.4	2.8
Emerging ex China	3.6	3.7	3.5	**3.6** ↑	4.0	3.3	3.4	3.4	**3.4** ↑	4.7	5.6	5.9	5.0
Global — PPP weighted	3.3	3.1	3.0	3.3	2.7	**2.8** ↑	3.1	3.1	3.0	2.9	3.7	**3.8** ↑	**2.9** ↑

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of *Global Data Watch*, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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G-3 economic outlook detail

				2026				2027	
	2025	2026	2027	1Q	2Q	3Q	4Q	1Q	2Q
United States									
Real GDP	2.1	2.1	2.1	2.1	1.5	2.8	1.8	2.3	2.3
Private consumption	2.6	2.2	2.0	0.5	3.4	2.8	1.5	2.0	2.0
Equipment investment	8.3	10.6	7.1	15.8	13.6	12.0	10.0	5.0	5.0
Non-residential construction	-5.3	-4.5	0.0	-4.7	-1.8	-3.0	-4.0	2.0	2.0
Intellectual property products	5.6	9.0	5.7	13.8	8.8	7.0	7.0	5.0	5.0
Residential construction	-2.2	-3.6	2.5	-7.8	1.3	-2.0	0.0	4.0	6.0
Inventory change ($ bn saar)	28.5	3.9	65.6	-16.7	-53.1	24.7	60.8	65.6	66.7
Government spending	1.1	0.3	1.3	4.4	-1.0	1.2	1.4	1.5	1.5
Exports of goods and services	1.6	4.2	1.7	10.9	4.5	1.0	2.5	1.5	1.5
Imports of goods and services	2.7	4.1	5.5	11.8	12.5	12.0	9.0	3.0	3.0
Domestic final sales contribution	2.4	2.3	2.4	2.2	3.3	3.2	2.3	2.5	2.6
Inventories contribution	-0.1	-0.1	0.2	0.2	-0.7	1.3	0.6	0.1	0.0
Net trade contribution	-0.1	-0.1	-0.6	-0.4	-1.1	-1.7	-1.1	-0.3	-0.3
Consumer prices (%oya)	2.7	3.4	2.3	2.7	3.8	3.4	3.7	3.1	2.0
Excluding food and energy (%oya)	2.9	2.6	2.6	2.5	2.7	2.4	2.6	2.6	2.5
Core PCE deflator (%oya)	2.8	3.4	2.8	3.1	3.4	3.4	3.5	3.1	2.8
Federal budget balance (% of GDP, FY)	-5.8	-6.3	-5.8						
Personal saving rate (%)	4.6	2.8	1.9	3.9	2.8	2.3	2.0	1.9	1.9
Unemployment rate (%)	4.6	4.7	4.0	4.3	4.3	4.1	4.1	4.0	4.0
Industrial production, manufacturing	-1.0	0.9	1.4	1.7	5.2	1.9	1.0	1.0	1.0
Euro area									
Real GDP	1.3	0.9	1.4	0.0	1.8	1.3	1.5	1.5	1.5
Private consumption	1.4	1.0	1.4	1.0	0.5	1.3	1.5	1.5	1.5
Capital investment	3.0	1.5	2.6	-1.2	2.0	3.5	3.5	2.5	2.0
Government consumption	1.4	1.9	0.9	2.4	1.3	1.0	1.0	0.8	0.8
Exports of goods and services	2.0	0.6	2.6	-1.2	1.5	2.5	2.8	2.8	2.8
Imports of goods and services	3.6	2.0	2.7	1.4	2.0	2.8	2.8	2.8	2.8
Domestic final sales contribution	1.7	1.3	1.5	0.8	1.0	1.6	1.7	1.5	1.4
Inventories contribution	0.2	0.2	-0.1	0.5	1.0	-0.3	-0.3	-0.1	0.0
Net trade contribution	-0.6	-0.6	0.1	-1.3	-0.2	0.0	0.1	0.1	0.1
Consumer prices (HICP, %oya)	2.1	2.9	2.2	2.0	3.0	3.2	3.4	3.0	2.3
ex food, alcohol and energy	2.4	2.4	2.3	2.3	2.4	2.4	2.5	2.5	2.3
General govt. budget balance (% of GDP, FY)	-2.8	-3.1	-2.8						
Unemployment rate (%)	6.3	6.3	6.1	6.3	6.3	6.3	6.2	6.2	6.1
Industrial production	1.7	0.2	2.7	-3.3	3.9	2.5	3.0	3.0	2.5
Japan									
Real GDP	1.2	0.9	1.1	1.9	1.1	1.0	1.3	1.0	1.2
Private consumption	1.3	1.0	0.6	1.9	-0.1	0.6	0.6	0.6	0.8
Business investment	2.5	-0.5	0.9	-3.8	-4.6	1.0	1.5	1.5	1.0
Residential construction	-1.8	0.2	0.3	3.8	-1.8	0.0	0.5	0.5	0.5
Public investment	-0.3	0.8	0.7	6.0	-0.4	0.5	0.5	0.5	1.0
Government consumption	0.9	2.3	1.3	1.5	6.7	1.0	1.0	1.0	1.0
Exports of goods and services	2.5	2.2	1.1	7.1	2.1	1.5	1.0	1.0	1.0
Imports of goods and services	3.8	-0.5	0.9	1.1	-6.0	2.0	2.0	1.0	1.0
Domestic final sales contribution	1.2	0.9	0.8	1.0	0.4	0.7	0.8	0.8	0.9
Inventories contribution	0.2	-0.5	0.2	-0.1	-0.7	0.3	0.6	0.2	0.3
Net trade contribution	-0.2	0.5	0.1	1.0	1.4	-0.1	-0.2	0.0	0.0
Consumer prices (%oya)	3.2	1.9	2.5	1.4	1.5	1.9	2.8	4.1	2.3
ex food and energy	1.5	1.8	3.0	1.4	1.2	1.8	2.6	3.2	3.1
General govt. net lending (% of GDP, CY)	-5.3	-4.8	-5.5						
Unemployment rate (%)	2.5	2.5	2.5	2.7	2.5	2.5	2.5	2.5	2.5
Industrial production	0.1	2.3	1.3	10.3	0.1	1.2	1.2	1.5	1.5
Memo: Global industrial production	..	..	..	3.5	3.2	2.6	2.6	2.6	2.2
%oya	2.3	2.3	2.5	1.7	2.1	2.3	2.9	2.8	2.5

Source: Government agencies and J.P. Morgan Global Economics. Details on request.

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Global Central Bank Watch

	Official	Current	4-qrtr change (bp)		Last change	Next mtg	Forecast	Forecast (%pa)				
	rate	rate (%pa)	Last	Next			next change	Sep 26	Dec 26	Mar 27	Jun 27	Sep 27
Global		3.97	-41	-5				4.01	4.07	4.05	4.01	3.92
excluding US		4.06	-24	-17				4.12	4.10	4.06	4.02	3.89
Developed		3.08	-33	19				3.17	3.33	3.34	3.33	3.27
Emerging		5.27	-54	-40				5.25	5.16	5.09	5.02	4.87
Latin America		9.91	-70	-49				9.81	9.82	9.85	9.67	9.43
EMEA EM		14.67	-292	-186				14.66	14.14	13.62	13.22	12.81
EM Asia		2.36	2	-5				2.36	2.34	2.36	2.38	2.31
The Americas		4.51	-73	13				4.50	4.70	4.70	4.68	4.64
United States	Fed funds	3.75	-75	25	10 Dec 25 (-25bp)	16 Sep 26	Dec 26 (+25bp)	3.75	4.00	4.00	4.00	4.00
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	2 Sep 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.00	-100	-125	5 Aug 26 (-25bp)	16 Sep 26	Sep 26 (-25bp)	13.75	13.75	13.75	13.25	12.75
Mexico	Repo rate	6.50	-129	0	7 May 26 (-25bp)	24 Sep 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-25	50	16 Dec 25 (-25bp)	8 Sep 26	1Q27 (+25bp)	4.50	4.50	4.75	5.00	5.00
Colombia	Repo rate	12.00	275	-50	30 Jun 26 (+75bp)	30 Sep 26	Jun 27 (-25bp)	12.00	12.00	12.00	12.00	11.50
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	10 Sep 26	7 Oct 26 (+25bp)	4.25	4.50	4.75	5.00	5.25
Europe/Africa		5.33	-56	-42				5.47	5.40	5.28	5.15	4.91
Euro area	Depo rate	2.25	25	0	11 Jun 26 (+25bp)	10 Sep 26	Sep 26 (+25bp)	2.50	2.50	2.50	2.50	2.25
United Kingdom	Bank rate	3.75	-25	0	18 Dec 25 (-25bp)	17 Sep 26	Nov 26 (+25bp)	3.75	4.00	4.00	3.75	3.75
Norway	Dep rate	4.25	0	0	7 May 26 (+25bp)	24 Sep 26	Dec 26 (+25bp)	4.25	4.50	4.50	4.25	4.25
Sweden	Repo rate	1.75	-25	25	23 Sep 25 (-25bp)	24 Sep 26	Dec 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.75	25	25	18 Jun 26 (+25bp)	17 Sep 26	Nov 26 (+25bp)	3.75	4.00	4.00	4.00	4.00
Hungary	Base rate	**5.50**	-100	-75	25 Aug 26 (-25bp)	22 Sep 26	**Sep 26 (-25bp)**	5.25	5.00	4.75	4.75	4.75
Israel	Base rate	3.50	-100	-50	6 Jul 26 (-25bp)	1 Sep 26	Sep 26 (-25bp)	3.25	3.00	3.00	3.00	3.00
Poland	7-day interv	3.75	-125	0	4 Mar 26 (-25bp)	9 Sep 26	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-50	7 Aug 24 (-25bp)	8 Oct 26	May 27 (-25bp)	6.50	6.50	6.50	6.25	6.00
Russia	Key pol rate	14.00	-400	-150	24 Jul 26 (-25bp)	11 Sep 26	Dec 26 (-25bp)	14.00	13.75	13.50	13.00	12.50
South Africa	Repo rate	7.00	0	0	28 May 26 (+25bp)	23 Sep 26	Sep 26 (+25bp)	7.25	7.25	7.25	7.25	7.00
Türkiye	1-wk repo	37.00	-600	-600	22 Jan 26 (-100bp)	10 Sep 26	22 Oct 26 (-100bp)	37.00	35.00	33.00	32.00	31.00
Asia/Pacific		2.31	11	6				2.34	2.35	2.37	2.41	2.37
Australia	Cash rate	4.35	75	-25	5 May 26 (+25bp)	29 Sep 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.10
New Zealand	Cash rate	2.50	-50	75	8 Jul 26 (+25bp)	2 Sep 26	Sep 26 (+25bp)	2.75	3.00	3.25	3.25	3.25
Japan	O/N call rate	1.00	52	100	16 Jun 26 (+25bp)	18 Sep 26	Sep 26 (+25bp)	1.25	1.50	1.50	1.75	2.00
Hong Kong	Disc. wndw	4.00	-75	25	10 Dec 25 (-25bp)	-	Dec 26 (+25bp)	4.00	4.25	4.25	4.25	4.25
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	4Q 26 (-10bp)	1.40	1.30	1.30	1.30	1.20
Korea	Base rate	**3.00**	50	75	27 Aug 26 (+25bp)	22 Oct 26	**Nov 26 (+25bp)**	3.00	3.25	3.50	3.75	3.75
Indonesia	BI RRR	5.75	75	25	18 Jun 26 (+25bp)	23 Sep 26	Dec-26 (+25bp)	5.75	6.00	6.00	6.00	6.00
India	Repo rate[2]	5.25	-25	0	5 Dec 25 (-25bp)	7 Oct 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	0	25	9 Jul 25 (-25bp)	3 Sep 26	Nov 26 (+25bp)	2.75	3.00	3.00	3.00	3.00
Philippines	Rev repo	**5.00**	0	50	27 Aug 26 (+25bp)	22 Oct 26	**Oct 26 (+25bp)**	5.00	5.50	5.50	5.50	5.50
Thailand	1-day repo	1.00	-50	0	25 Feb 26 (-25bp)	28 Oct 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	17 Sep 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China;

Hong Kong SAR (China) and Taiwan (China).

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Economic Activity Tracking

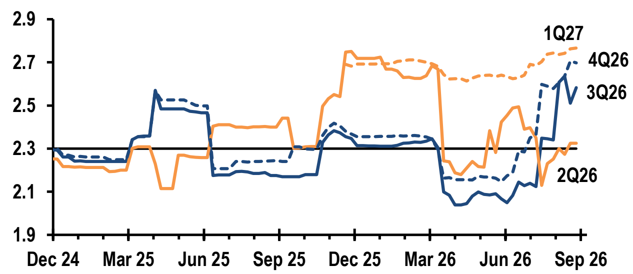
See here for real-time snapshots and methodology reports.

JPM forecast evolution, GDP and CPI

Our forecast for 3Q growth ticked up to 2.6%ar, led by an upward revision to our US forecast (Figure 1). Our 3Q26 core CPI forecast moved sideways at 2.7%ar (Figure 2).

Figure 1: J.P. Morgan global GDP

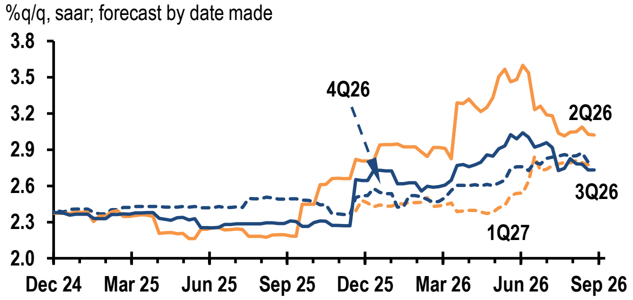
% change saar; forecast by date made, black line shows potential growth



Source: J.P. Morgan Global Economics

Figure 2: J.P. Morgan global core CPI forecast

%q/q, saar; forecast by date made



Source: J.P. Morgan Global Economics

Table 1: Change in forecast revision indexes

%-pt revision to rolling year-ahead outlook over 13 weeks

	GDP	Inflation	Core inflation	Policy rate
Global	0.2	-0.2	0.0	0.2
DM	0.2	-0.2	0.0	0.1
US	0.2	-0.4	-0.1	0.3
Euro area	0.2	0.2	0.2	0.0
UK	0.3	-0.7	-0.2	0.0
Japan	0.3	-1.2	0.0	0.3
EM	0.3	-0.2	-0.1	0.2
EM Asia	0.5	-0.3	-0.2	0.1
M. China	0.3	-0.4	-0.3	0.1
Korea	1.5	0.6	0.8	0.3
Taiwan	1.6	0.3	0.0	0.0
India	0.7	0.0	-0.5	0.0
LatAm	0.0	0.0	0.0	0.4
Brazil	0.5	0.2	0.1	1.0
Mexico	0.2	-0.3	-0.1	0.0
EM EMEA	-0.3	0.2	0.6	0.5
CE4	-0.2	-0.6	-0.5	-0.1
Türkiye	-0.3	-0.5	1.0	-2.0
South Africa	0.1	-0.1	0.3	0.3

Source: JPM Global Economics. Long-form nomenclature for China & Taiwan: Mainland China & Taiwan (China)

GDP nowcaster and recession probabilities

Our nowcaster estimate of 3Q global GDP ticked up to 2.2%ar, suggesting downside risk to our forecast (Table 2).

Table 2: Real GDP

%q/q, saar. Underline indicates J.P. Morgan forecast.

	2Q26		3Q26	
	Actual/Fcst	Nowcast	Forecast	Nowcast
Global	**2.3**	**2.6**	**2.6**	**2.2**
Weighted Avg*	**2.0**	**3.6**	**2.4**	**2.6**
Developed*	**1.6**	**2.7**	**2.0**	**1.6**
US	1.5	3.1	2.7	1.8
EMU	1.8	2.3	1.3	1.0
UK	1.7	2.1	0.8	2.1
Canada	3.3	4.6	1.4	2.4
Japan	1.1	0.6	1.0	1.6
Emerging*	**2.7**	**5.2**	**3.1**	**4.3**
EM Asia*	**2.6**	**6.7**	**3.7**	**5.9**
China	2.4	6.6	3.6	6.1
Korea	2.5	5.0	4.0	3.7
Taiwan	5.7	7.9	4.5	6.1
Singapore	5.7	15.0	3.5	5.1
Latam*	**2.8**	**0.9**	**1.5**	**0.6**
Brazil	2.0	1.5	1.2	0.1
Mexico	5.8	-0.6	0.4	0.4
Argentina	-1.5	1.1	3.8	-1.7
Chile	-0.1	1.3	4.0	3.7
Colombia	5.2	4.2	0.0	4.2
Peru	-0.4	-0.3	4.0	2.1
EMEA EM*	**2.8**	**3.5**	**2.6**	**1.8**
Poland	3.6	4.2	3.2	3.0
Hungary	1.6	3.3	1.7	1.5
Czech Rep.	1.4	3.4	2.2	3.0
Romania	0.0	-0.5	3.6	0.9
Russia	3.2	4.3	1.0	0.6
Türkiye	4.0	3.7	5.5	3.0
South Africa	-0.2	1.3	0.5	1.7

Source: J.P. Morgan Global Economics. * Aggregates are GDP weighted averages of constituents. The long-form nomenclature for references to China and Taiwan is Mainland China and Taiwan (China).

Data this week broadly reinforced our call for a cyclical lift. The DM composite output index rose 0.7-pt to 54.0, its highest level in four years. The series is now consistent with a 2.2%ar rise in DM GDP, suggesting some upside risk to our already above-trend 2.0% DM GDP forecast. Global corporate profits also came in strong, booming 35%oya in 2Q26. This profit surge is already promoting a sentiment and non-tech capex recovery, and should spill over to increased labor demand in coming quarters. This non-tech pick-up helped contribute to the 12%ar boom in export volumes in 1H26, with signs of ongoing strength into 3Q.

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Table 3: J.P. Morgan global aggregates

%ch, sa (ar for qrt). PMIs are levels. Confidence is std.dev from 2010-19 avg

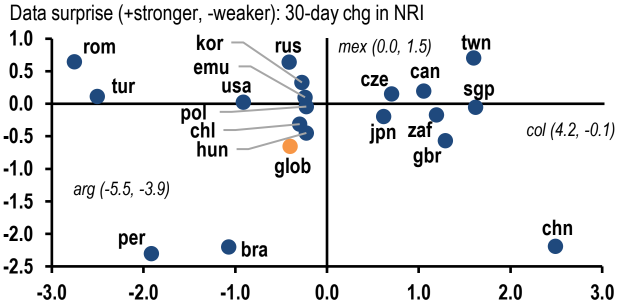
	2Q26	3Q26	Jun 26	Jul 26	Aug 26	Sep 26
PMI, mfg	53.3	52.2	53.0	52.7	52.1	51.7
PMI, serv	51.4	52.5	51.7	52.5	52.4	52.5
IP	2.5	-0.9	-0.2	-0.1	0.0	0.1
Retail sales	2.1	1.1	0.0	-0.1	0.2	0.2
Auto sales	20.4	3.5	1.2	0.4	-0.1	-0.1
G-3 cap. ship.	5.3	-2.2	-0.2	-0.1	-0.2	-0.1
G-3 cap. orders	16.2	0.4	-0.8	-0.6	0.6	-0.2
Cap. exports	29.1	5.4	1.5	0.4	0.0	0.6
Mfg bus conf	-0.7	-0.6	-0.7	-0.7	-0.6	-0.5
Cons conf	-0.9	-0.6	-0.8	-0.7	-0.6	-0.6
Nowcast (ar)	2.6	2.2	2.1	2.1	2.2	2.2

Source: J.P. Morgan Global Economics, S&P Global, and national statistical agencies. Note. Shaded values show forecasts computed by the Kalman filter estimates from the dynamic factor model. Underlined values are our estimates based on available data and our judgment.

About 45% of the economies we track have seen data surprise stronger over the past 30 days. The nowcaster implies upside risks to 3Q26 growth in around 45% of these economies (Figure 3).

Figure 3: GDP nowcaster: risk bias for 3Q26 vs data surprises

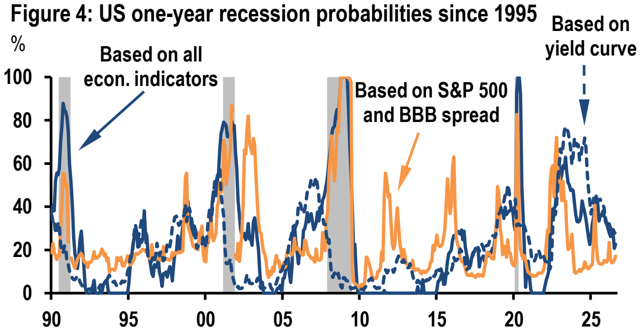
Data surprise (+stronger, -weaker): 30-day chg in NRI



Source: JPM Global Economics

US recession probabilities based on all economic indicators ticked up to 23% this week (Figure 4).

Figure 4: US one-year recession probabilities since 1995



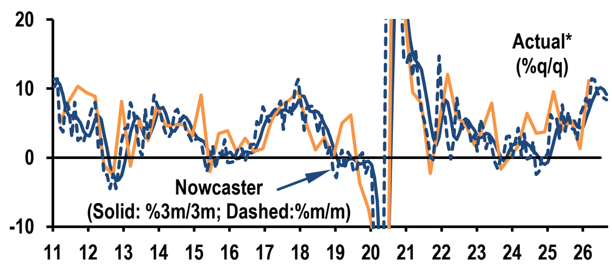
Source: J.P. Morgan

Capex Nowcaster

Our CapexNow model's 3Q26 estimate moved up 0.8%-pt to 9.2%ar, driven upwards by strong US data (Figure 5).

Figure 5: Global capex, actual and nowcaster

%chg saar. Actual thru 1Q26; Nowcast thru 3Q26.



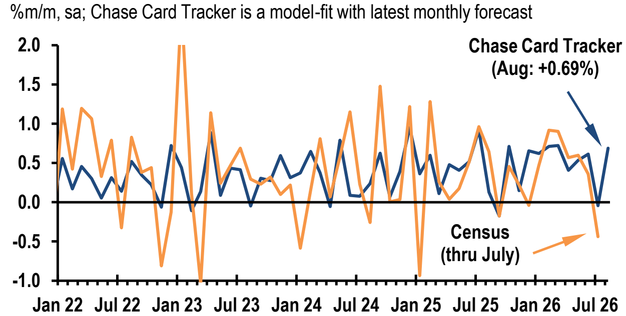
Source: J.P. Morgan Global Economics. Details on request. *Global ex China.

Global consumption tracking

Based on Chase Consumer Card data through August 20, our estimate of the US Census control measure of retail sales is 0.69% in August (Figure 6).

Figure 6: US retail sales control, Census and Chase Card Nowcaster

%m/m, sa; Chase Card Tracker is a model-fit with latest monthly forecast

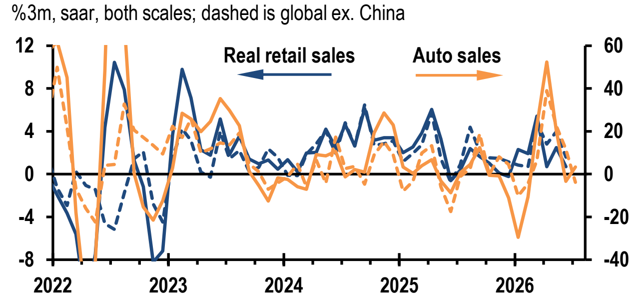


Source: JPMorgan Chase Bank, NA, JPMC Index File 2.0, select Chase credit and debit card transaction data. See here for disclaimers and methodology.

Global retail sales rose 0.7%ar in the three months through June. Auto sales growth has slowed, with global ex China falling 3.8%3m, saar in July (Figure 7).

Figure 7: Global consumer spending

%3m, saar, both scales; dashed is global ex. China



Source: National sources, J.P. Morgan. Details on request.

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NLP of central bank speak

G-4 central bank communications this week include:

- Fed's Warsh (HDS: +29, trailing 5-speech avg: +33)
- ECB minutes (HDS: +14, trailing 5-speech avg: +10)
- BoJ's Himino (HDS: +9, trailing 5-speech avg: +2)
- Fed's Collins (HDS: +24, trailing 5-speech avg: +18)

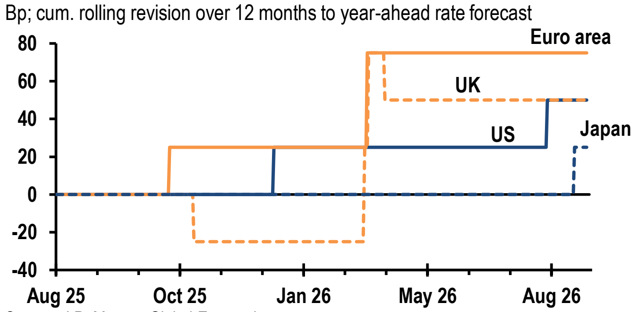
Table 4: Hawk-Dove Scores
3m mov avg: -100 (Dovish) to +100 (Hawkish)

	Current	Change over period 1m	3m	6m
United States	26.7	6.7	15.8	27.9
Euro area	19.7	2.2	3.6	14.6
United Kingdom	25.1	1.1	10.5	30.4
Japan	13.4	-2.5	0.6	9.2
Australia	28.6	-1.3	-1.7	3.1
Canada	4.0	5.8	-1.2	6.7
Sweden	1.9	-7.3	-12.1	-5.5
Korea	42.4	3.0	29.0	40.3
Indonesia*	-5.6	-8.8	-2.5	11.2
Czechia*	38.0	-3.7	-6.6	9.5
South Africa	15.2	-1.5	0.9	32.8
Brazil*	9.1	3.2	15.1	7.1
Mexico*	0.2	-1.8	1.6	-7.7

Source: J.P. Morgan. * HDS based on CB statements and are not moving averages; rest reflect speeches.

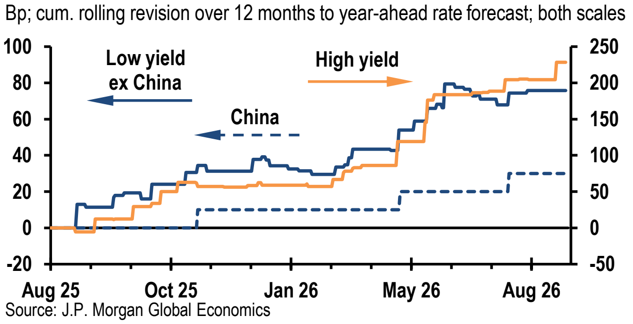
JPM forecast evolution, policy rates

Figure 8: J.P. Morgan policy rate forecast revision index, DM
Bp; cum. rolling revision over 12 months to year-ahead rate forecast



Source: J.P. Morgan Global Economics

Figure 9: J.P. Morgan policy rate forecast revision index, EM
Bp; cum. rolling revision over 12 months to year-ahead rate forecast; both scales



Source: J.P. Morgan Global Economics

J.P. Morgan forecasts vs. market

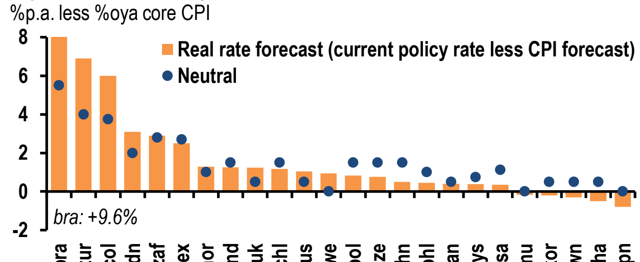
Table 5: Policy Rate: J.P. Morgan and Market

	Current	Basis point change from current: End 3Q26		End 4Q26		End 2Q27		End 4Q27	
	%pa	JPM	Mkt	JPM	Mkt	JPM	Mkt	JPM	Mkt
Global	3.91	5	8	10	17	4	26	-9	3
Global Ex-China	4.60	6	11	16	22	8	34	-7	8
Developed	3.08	8	14	25	32	25	53	18	52
US	3.75	0	9	25	27	25	45	25	39
EMU	2.25	25	28	25	44	25	62	0	62
Japan	1.00	25	18	50	40	75	72	125	97
UK	3.75	0	3	25	26	0	55	-25	57
Norway	4.25	0	15	25	24	0	20	-25	6
Sweden	1.75	0	14	25	31	25	64	25	84
Canada	2.25	0	3	0	15	0	60	0	83
Australia	4.35	0	11	0	27	0	29	-49	17
New Zealand	2.50	25	24	50	55	75	93	75	127
Emerging	5.27	0	1	-10	-2	-24	-8	-48	-53
Emerging Ex-China	8.70	0	57	-11	50	-38	40	-74	-4
EM Low Yield	1.98	0	-18	-4	-15	0	-13	-7	-7
EM High Yield	11.62	0	70	-24	54	-73	31	-129	10
EM HY Ex-RU	11.17	0	75	-23	74	-68	72	-115	39
EM Asia	1.56	0	0	-6	2	-2	3	-10	9
EM Asia Ex-China	2.70	0	6	17	26	52	46	52	76
China	1.40	0	0	-9	0	-9	-3	-19	0
Hong Kong	4.00	0	--	25	--	25	--	25	--
India	5.25	0	7	0	41	0	74	0	104
Indonesia	5.75	25	--	25	--	25	--	25	--
Korea	3.00	0	7	25	31	75	50	75	81
Malaysia	2.75	0	0	25	6	25	15	25	24
Philippines	4.75	25	--	75	--	75	--	75	--
Taiwan	2.00	0	3	0	15	0	35	0	63
Thailand	1.00	0	3	0	8	0	23	0	43
EMEA EM	15.73	0	73	-54	9	-153	-73	-244	-62
Czechia	3.75	0	14	25	42	25	76	0	74
Hungary	5.50	-25	--	-50	--	-75	--	-75	--
Israel	3.50	-25	-48	-50	-59	-50	-61	-50	-55
Poland	3.75	0	6	0	14	0	38	0	42
Romania	6.50	0	--	0	--	-25	--	-50	--
Russia	14.00	0	19	-25	-64	-100	-187	-200	-169
South Africa	7.00	25	9	25	32	25	46	-25	43
Turkey	37.00	0	-10	-200	-151	-500	-314	-700	-300
LATAM	9.91	-10	31	-9	38	-24	53	-74	-217
Brazil	14.00	-25	-10	-25	-8	-75	-4	-175	--
Chile	4.50	0	1	0	2	50	27	50	34
Colombia	12.00	0	9	0	44	0	44	-100	-31
Mexico	6.50	0	0	0	9	0	38	0	86
Peru	4.25	0	--	25	--	75	--	100	--

-- indicates market-based policy rate forecast is unavailable. Market-based forecast data are lagged 1-2 days.
FRI is Forecast Revision Index, the bp cumulative revision to rolling year-ahead policy rate forecast
Real rate defined as policy rate less %oya core inflation.
Source: J.P. Morgan Global Economics. The long-form nomenclature for China, Hong Kong, and Taiwan is Mainland China, Hong Kong SAR (China), and Taiwan (China).

Real policy rates

Figure 10: Real policy rate and neutral: forecast for 3Q26
%p.a. less %oya core CPI



Source: J.P. Morgan Global Economics. US uses core PCE forecast.

See here for NLP methodology and a full set of central bank NLPs. For additional policy rate detail, see our full policy rate QED report.

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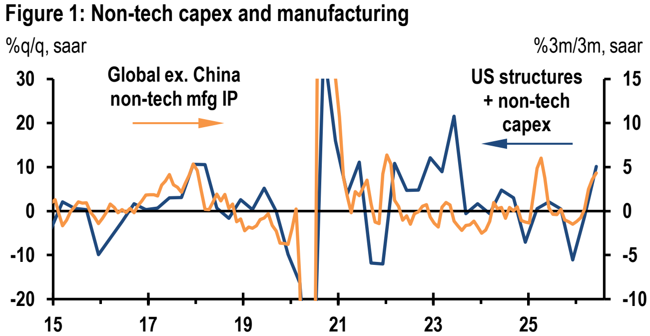
Recoupling remains reasonable

- **Global employment increased at a sluggish 0.5%ar last quarter**
- **We continue to anticipate that above-trend GDP growth will deliver stronger job growth**
- **The unfolding dynamic of booming profits, easy credit, and rebounding business sentiment generally boosts labor demand**
- **Recent business surveys point to a significant step up in hiring intentions this quarter**
- **At a projected 0.9% pace, global job growth will settle 0.5%pts slower than its pace over the past decade**
- **The forecast thus balances cyclical lift with a structural boost to productivity**

Our conscious recoupling narrative anticipates a rebound in global employment growth this year as part of a broader rebalancing of global demand. Labor-saving technologies are likely boosting productivity growth, but last year's near-stall in global hiring is also linked to business sector caution that depressed spending outside tech. With trade war fears fading and corporate profits surging, a rebound in sentiment and non-tech activity is now underway, reflected in a rebound in global production and US demand (Figure 1). Combined with solid consumer goods spending and still strong tech demand, 1H26 global factory output rose a robust 3.4%ar, supporting above-potential GDP gains despite a material energy sector shock.

Figure 1: Non-tech capex and manufacturing



Source: National sources, J.P. Morgan. Details on request.

Following a slide to a 0.4%ar gain in global employment ex. China in 2025, we anticipated this lift to be accompanied by a pickup in job growth toward a 1%ar. DM hiring did pick up last quarter, rising at a 0.7%ar (Table 1). But the anticipated broad-based recovery has not materialized. The US met expectations, rising a 0.7% ar. But its latest employment report points to a June-July stall. Meanwhile, the 0.4%ar gain in 1H26 Euro area hiring represents a downshift from 2025, while the UK and Canada have continued to shed jobs. Smoothing out substantial quarterly volatility in Asia, global employment looks to be rising at a still-depressed 0.5%ar.

Table 1: Global employment

%chg, ar

	2015-19	2020-23	2024	2025	1Q26	2Q26
Global ex. China	**1.4**	**1.0**	**0.9**	**0.4**	**0.4**	**0.5**
DM	**1.5**	**1.0**	**0.9**	**0.3**	**0.2**	**0.7**
US	1.6	0.8	0.9	0.1	0.3	0.7
Euro area	1.4	1.0	0.8	0.7	0.4	0.4
UK	1.4	1.2	0.2	-0.3	-0.1	-0.5
Japan	1.2	-0.1	0.8	0.5	-1.5	2.9
Canada	1.5	1.7	2.0	1.0	-1.0	0.5
Australia	2.2	2.3	2.6	1.0	2.3	1.0
EM ex. China	**0.9**	**0.9**	**0.7**	**0.6**	**1.3**	**-0.5**
Korea	1.1	1.0	-0.1	0.7	1.6	-1.5
Brazil	0.2	1.5	2.9	1.2	2.6	0.2
Mexico	2.2	1.8	0.5	1.9	0.0	1.2

Source: National sources, J.P. Morgan. Details on request.

While acknowledging the disappointment, two developments suggest that a labor market recoupling is still likely. The first is the mix of 1H26 news showing booming profit gains, supportive financial conditions, and a rebound in business sentiment following its step back at the outbreak of the Middle East conflict. These are dynamics associated with stronger business demand that have reliably pointed to firmer job growth. The second development is the latest round of DM surveys showing hiring intentions picking up as we move through the current quarter. Indicative of this shift, the DM PMI employment index rose to its highest level in three years in August.

While anticipating firmer labor demand, the projected path for the global economy—of 0.9% global employment gains and a 2.2% rise in global GDP ex China over the coming four quarters—also incorporates stronger productivity growth than the past expansion norm. With job growth settling 0.5%pts slower than its pace over the past decade, our narrative represents a balancing of cyclical forces promoting stronger labor demand with structural impulses boosting productivity (Figure 2).

We have consistently argued that recoupling will create a more sustainable growth base as it promotes balanced labor and corporate income. The backdrop of still-elevated inflation and weak labor supply generates a rub, however, as labor markets are expected to tighten over the coming year and inflation is anticipated to prove inertial. The upshot of the recoupling is thus a higher interest rate environment, spurred by broad-based central bank tightening.

Figure 2: Real GDP and employment, global ex. China

% change over 2Q, saar, both scales

Source: National source, J.P. Morgan. Details on request.

Figure 4: DM business confidence and employment

Std dev from 2010-19 avg %3m/3m, saar

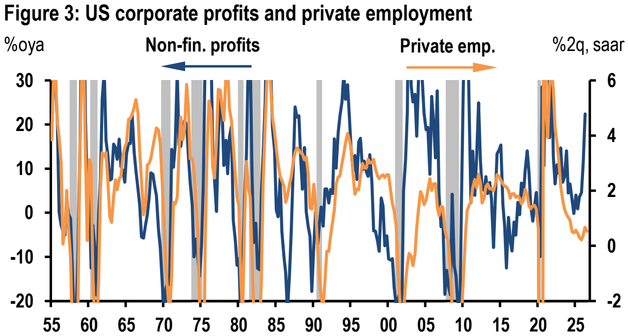
Source: National sources, J.P. Morgan. Details on request.

The case for a pickup remains in place

Although employment gains have yet to display a clear acceleration, the macroeconomic backdrop for a pickup remains in place. In this regard, we place weight on two factors:

- **Profit recovery should boost demand.** Global real GDP posted a solid 2.3%ar gain last quarter, absorbing a significant energy price shock. With DM nominal GDP exceeding 5% and the wage bill growing at less than 4%, DM corporate earnings built on the the acceleration that took hold in mid 2025. While cautious hiring supports the turn in the profit cycle, an acceleration in profits has been a strong correlate to firming labor demand (Figure 3).

Figure 3: US corporate profits and private employment



Source: BLS, BEA, J.P. Morgan. Profit before-tax (IVA, CCA). Shading denotes US recessions.

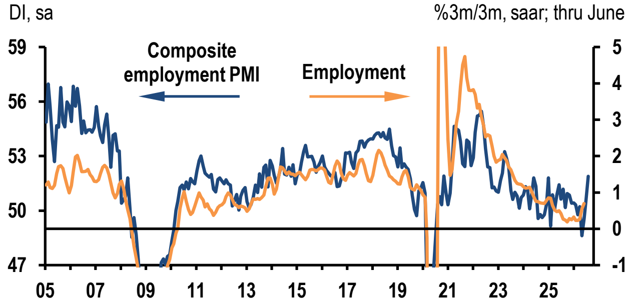
- **Sentiment normalization is back on track.** As the Middle East war broke out, there was a concern that the normalization in global business sentiment could be interrupted. A slide in our composite expectations index in March and April has subsequently reversed, however, bolstering confidence in our projection of a recovery in our CEI to the past expansion norms (Figure 4). Indeed, the available August readings place our DM composite expectations index near its level before the outbreak of the trade war in April 2025.

Incoming indicators are encouraging

Looking beyond the official employment data, a wide range of labor market indicators point to firming labor demand. The most encouraging signal comes from the PMI survey. The August employment PMI jumped 1.3-pt to its highest level since 2023. While not an accurate guide to short-term employment gains, the PMI is currently tracking job growth at roughly 1.5%ar (Figure 5). Looking across countries, the US and Western Europe have each recorded significant increases in their employment PMIs in recent months (Figure 6). The US ISM, available through July, is not sending as strong a signal but has moved above its 2025 average in recent months.

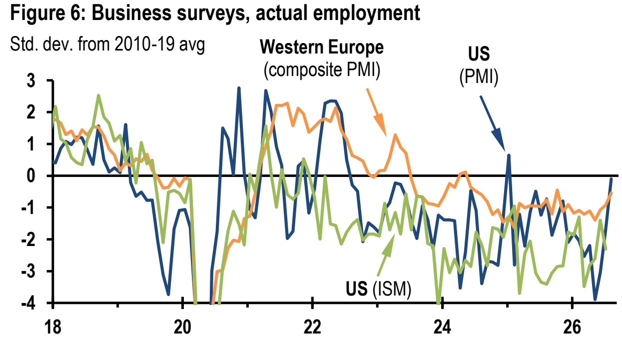
Figure 5: DM employment, PMI and actual

DI, sa %3m/3m, saar; thru June



Source: National sources, S&P Global, J.P. Morgan. Details on request.

Figure 6: Business surveys, actual employment



Source: Federal Reserve Banks, ISM, S&P Global, J.P. Morgan

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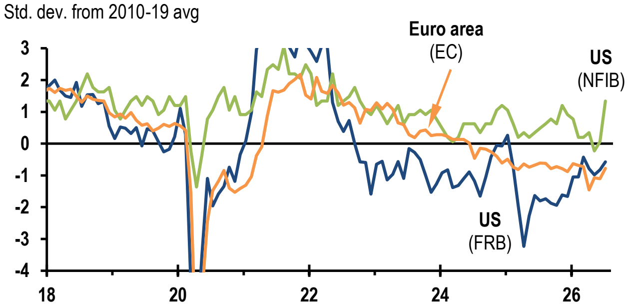
Employment expectations surveys, where available, generally reinforce this signal (Figure 7). US surveys—NFIB and regional Fed readings—point to a substantial pickup in labor demand. In the Euro area, the composite employment expectations reading from the EC survey has also moved up but to date has only reversed a decline recorded earlier this year.

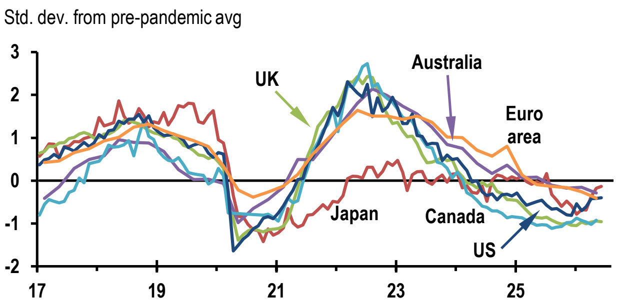
Figure 7: Business surveys, employment expectations



Source: BoF, Federal Reserve Banks, IFO, NFIB, J.P. Morgan

The sharp swings in vacancies during this expansion are difficult to interpret as there have been notable swings upward and then downward in labor force growth as well as hiring and separation rates (Figure 8). Most indicators suggest that gross flows remain depressed. It is therefore difficult to link the recent stabilization in vacancies across much of the DM to labor demand. A notable rise is taking hold in the US, however, where vacancies have moved up sharply, against the backdrop of stable job hirings and separations.

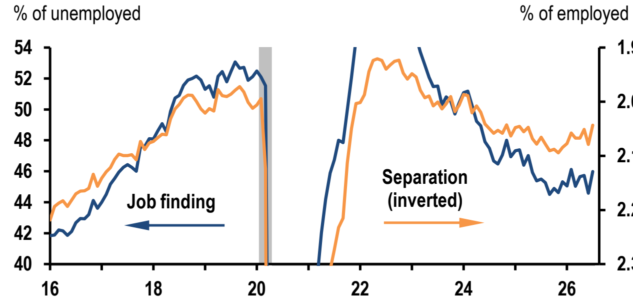
Figure 8: DM vacancies-per-unemployed ratios



Source: National sources, J.P. Morgan. Details on request.

An alternative measure of labor demand comes from the Chicago Fed decomposition of movements in the US unemployment rate into a job-finding and a job-separation rate (Figure 9). Their analysis points to modest improvement on both fronts that were sustained through the disappointing July report.

Figure 9: Chicago Fed u-rate consistent flow rates

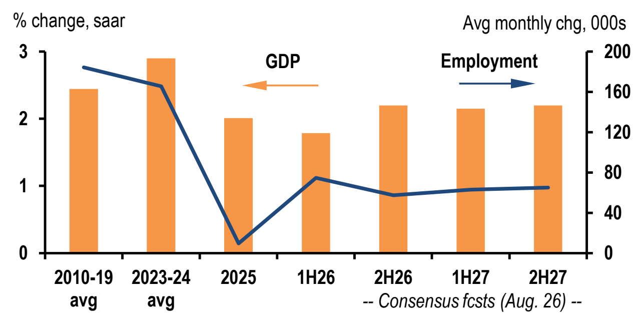


Source: Chicago Fed, J.P. Morgan

Not one or the other

Despite these positive signals, consensus expectations continue to anticipate a sustained period of a weak employment growth ahead. DM central banks and consensus forecasts incorporate stable unemployment and above-potential growth in their forecasts. With labor supply gains moderating, the implication of these forecasts is that weak labor demand will persist. This point is reinforced by consensus US forecasts, which project 2.1%ar GDP growth and 65k job gains over the coming six quarters (Figure 10). Expansion phases in which US GDP growth has been 2% or stronger have generally produced job gains at more than twice this pace.

Figure 10: US GDP and employment, consensus forecasts



Source: BEA, Bloomberg Finance L.P., BLS, J.P. Morgan

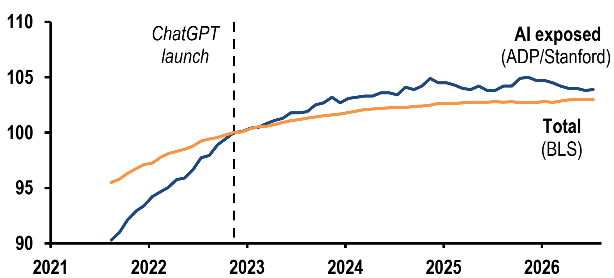
Consensus forecasts that juxtapose weak job growth and solid GDP gains embed a structural change toward a less labor-intensive production function. To be sure, the past year has delivered weak job growth, strong investment spending, and a pickup in productivity growth across the DM. Our main counterpoint to this narrative is that the evidence suggests that both cyclical and structural factors have contributed to this outcome.

Gauging the balance between a cyclical lift in labor demand as the forces promoting stronger productivity growth proceed is not easy. What the analysis above suggests is that the evidence points to a lift taking hold. That this dynamic is likely to rebound in job growth currently not incorporated in consensus expectations is based on other judgments as well.

- **It's not one thing or the other.** There is growing evidence that AI diffusion is influencing labor market outcomes. However, the fear of a disruptive move has not materialized in the form of layoffs. The analysis from a collaboration between ADP and the Stanford Digital Economy Lab reinforces this message while pointing to slower job growth in relatively exposed sectors, with a particular focus on workers in their early careers. But after accounting for an expected slowing in tech hiring following its 2021-23 surge, the trajectory of employment gains over the past two years in AI-exposed sectors has not materially diverged from the broader trend toward softening demand, supporting the notion that broader macroeconomic forces have played a dominant role in the US job stall (Figure 11).

Figure 11: Employment of AI exposed workers

Index, November 2022 = 100

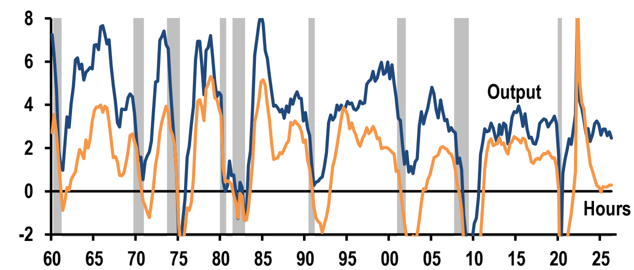


Source: ADP Research, BLS, Stanford Digital Economy Lab, J.P. Morgan

- **Tech generates positive spillovers to labor demand.** Technological waves that boost investment spending have normally generated significant positive feedback to growth through profit gains, wealth effects, and supportive financial conditions. All of these channels look to be operating now. Not surprisingly, our GDP forecasts have moved higher in recent months, and this development should be supportive of firmer labor demand.
- **Sustainability.** We have argued that a continued jobless expansion poses a threat that a stretched consumer pulls back. Having lowered its personal savings rate based on expectations that the recent period of weak labor income gains would be transitory, persistent weakness in hours and labor income growth would not likely sustain the fall in savings rates that has allowed a jobless expansion over the past year (Figure 12).

Figure 12: US non-farm business output and hours

% change over 8q, saar



Source: BLS, J.P. Morgan

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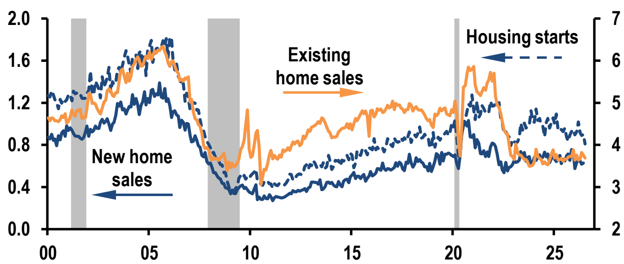
US: Little room for improvement

- **Spending on residential improvements has contracted over the past year, despite gains in household wealth**
- **Renovations have been weighed down by low housing turnover, high mortgage rates, and tariffs**
- **The lack of growth in improvements may be emblematic of broadly weaker spending on durable goods**

Consumers have shown remarkable resilience in recent years as the unemployment rate has remained low while many households, particularly upper-income ones, have experienced sizable gains in their net worth. Despite this favorable backdrop, the housing market has remained stagnant for several years (Figure 1). Both inventories and mobility are low as home prices and mortgage rates remain high, keeping affordability depressed and many homeowners stuck in place.

Figure 1: Single-family housing market

Million units, both axes

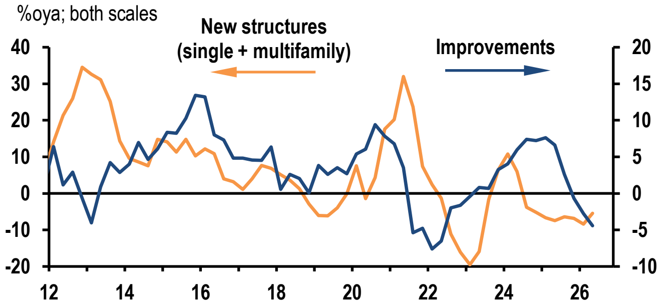


Source: Census Bureau, NAR, J.P. Morgan

Consistent with the above slowdown in starts, investment in new structures fell for eight consecutive quarters before finally posting a small annualized gain in 2Q26. Nonetheless, investment in real structures has contracted 5.5% over the past year. Sequential home improvement spending has also declined in each of the past four quarters, pulling the year-ago growth rate below zero (Figure 2). Spending on improvements is currently nearly 40% of total residential investment.

Figure 2: Components of real private fixed residential investment

%oya; both scales



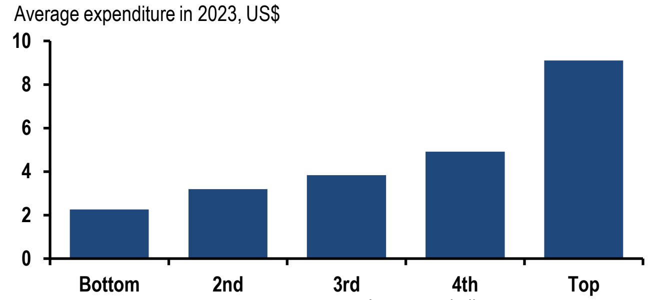
Source: BEA, J.P. Morgan

Figure 2 also highlights that spending on improvements tends to be cyclical, following sales with a lag of 3 to 6 quarters, as new owners undertake needed repairs and desired improvements. Micro-level studies find that outlays on renovations tend to be front-loaded in the years immediately following a purchase and taper off as owners settle in. But with fewer home sales (again, Figure 1) and less mobility than in the past, the weak housing market is now depressing spending on the durable goods (e.g., building materials, fixtures, appliances) that constitute residential investment in improvements.

Despite the economic health of upper-income households, who tend to be more likely to own their own homes and who have accounted for a disproportionate share of improvement spending in recent years (Figure 3), owners deterred from relocating by high financing costs have not chosen to renovate their existing homes instead. Rather, real spending on renovations and remodeling has weakened sharply this year, with the year-ago rate falling 4.4% in 2Q26.

Figure 3: Household spending on home improvements by income

Average expenditure in 2023, US$



Source: JCHS, Census Bureau, J.P. Morgan

A variety of factors appear to be contributing to this slowdown, including high mortgage interest rates (which discourage refinancing or taking a home equity line of credit) and high prices for building materials, fixtures, and appliances. While prices for these renovation-related items surged in the aftermath of the pandemic supply chain disruptions, tariffs put in place since early 2025 have compounded these affordability issues, further depressing real spending on home improvements. This represents an important drag on goods demand by US consumers that appears likely to persist.

A surprising and underappreciated drag

Indeed, the outlook for private residential spending on improvements is weak. The Leading Indicator of Remodeling Activity (LIRA), produced by Harvard's Joint Center for Housing Studies, projects the smoothed four-quarter average of spending to slow from 2.0% through 2Q26 to just 0.5% for 2Q27 (Figure 4). Given that real improvements spending is already running well below nominal—down 4.4%oya against roughly flat nominal growth—the real outlook is weaker still.

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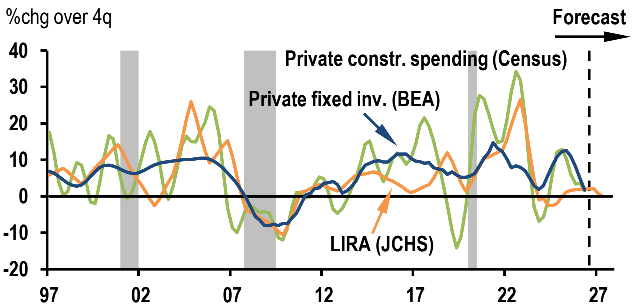
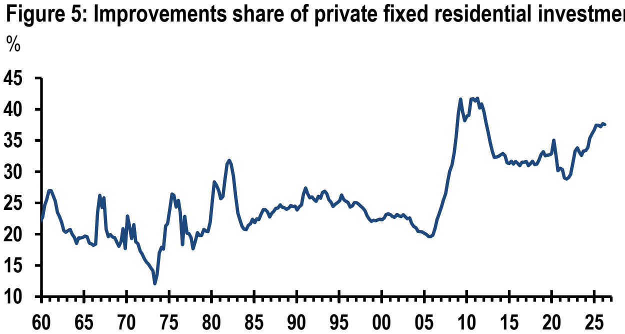
Figure 4: Measures of home improvement spending (nominal)



Source: Census Bureau, JCHS, J.P. Morgan; shading denotes US recessions

While new private residential construction of single-family and multi-family structures gets the bulk of attention in markets, spending on remodeling now accounts for nearly 40% of private residential investment (Figure 5). This share has rebounded since the pandemic; it was closer to 30% from 2015-19 and had averaged less than a quarter in the two decades before the GFC.

Figure 5: Improvements share of private fixed residential investment

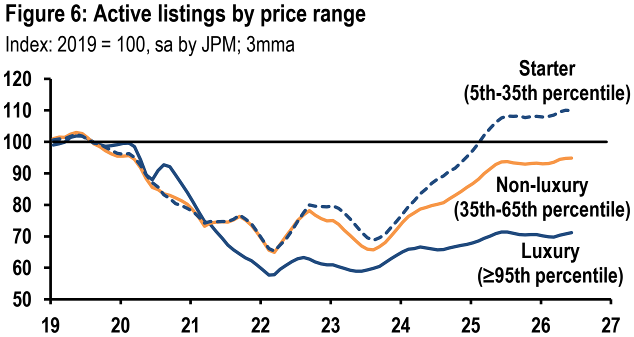


Source: BEA, J.P. Morgan

Luxury scarcity offers little lift

Supply is scarce at the upper end of the market, where active listings remain well below pre-pandemic levels (Figure 6). Given that high-income households account for a disproportionate share of improvement spending, one might expect affluent owners—unable to find homes to move into—to direct more spending toward renovating their homes instead.

Figure 6: Active listings by price range



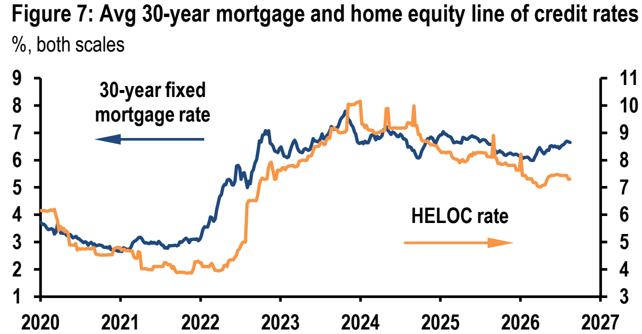
Source: Redfin, J.P. Morgan

Yet this potential source of demand has not been enough to lift overall improvement spending. High-income homeowners may be staying put, but they do not appear to be renovating at a pace sufficient to offset other drags. And, as noted earlier, growth in improvement spending has been highly procyclical, closely following existing home sales with a lag. Indeed, existing home sales enter JCHS's LIRA model with a five-quarter lead. The persistent weakness in sales therefore helps explain why improvements spending has remained weak. This low pace of housing turnover has been abetted, in turn, by elevated financing costs.

The financing constraint

High mortgage rates have weakened improvement spending through two channels. First, they have reduced housing turnover and the renovation activity that often accompanies a home purchase. Mortgage rates have remained above 6% since the Fed's hiking cycle and have risen another 55bp over the past six months (Figure 7). With rates still well above those on most outstanding mortgages, many homeowners have little incentive to move.

Figure 7: Avg 30-year mortgage and home equity line of credit rates



Source: Federal Home Loan Mortgage Corporation, Bankrate.com, J.P. Morgan

Second, high interest rates have made it more expensive for homeowners to finance improvements by drawing upon their home equity. Record-high home prices have generated substantial equity, but they have also raised the cost of purchasing a larger or newer home and increased the potential size of renovation projects. Homeowners therefore face a one-two punch: moving is prohibitively expensive, while borrowing to improve their current home is costly as well.

Tariffs add to renovation costs

Higher mortgage rates and the concomitant reduction in mobility and housing supply aren't the only costs putting a lid on spending on improvements. Tariffs have added another obstacle to a recovery in improvement spending. The realized tariff rate on a basket of imported home-improvement products reached 15.4% in June, more than double the 6.8% rate across all US imports (Figure 8). Metals products were the clear outlier at 36.5%. Realized rates for wood products, fin-

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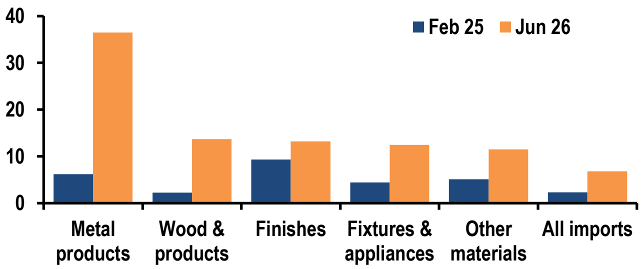
ishes, fixtures and appliances, and non-metallic materials ranged from 11.5% to 13.7%.

Figure 8: Realized tariff rate on imports of home improvement goods

%, Calculated duties* as share of import value



Source: USITC, J.P. Morgan; *Derived using duty rates from Harmonized Tariff Schedule

Imported materials account for a portion of projecst costs, and higher duties on building products, appliances, and fixtures have raised costs at the margin. Labor is another component of construction costs that, while not directly impacted by tariffs, may see some pressure to the upside (at least in certain markets) as the crackdown on immigration continues. These higher costs could lead to renovations being delayed or deferred, with some portion potentially shifted toward less expensive repairs.

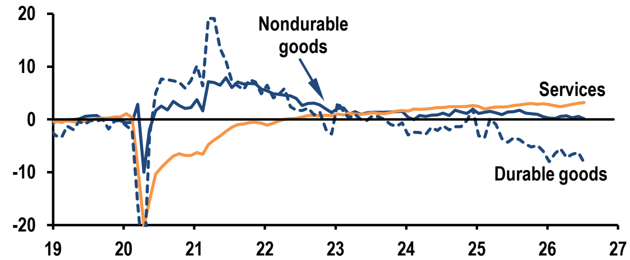
A fading appetite for durable goods

Taking a step back, the weakness in home improvement spending also appears to reflect a broader post-pandemic shift in household demand. Consumers sharply increased their purchases of durable goods early in the pandemic, including many products used to furnish or improve their homes. That boom has since faded as consumption has rotated back toward spending on services.

Real spending on durable goods is running below its pre-pandemic trend and continues to soften (Figure 9). By contrast, spending on services and nondurable goods remains above trend. The weakness in remodeling therefore reflects more than just a stagnant housing market. It also appears to be part of a broader normalization in household spending after the pandemic-era surge in demand for homes and home-related goods. Many younger families report feeling closed out of homeownership due to affordability issues, which may be adding to a shift in spending away from accumulating durable goods and instead toward experiences (e.g., services).

Figure 9: Real consumer spending relative to pre-pandemic trend

% deviation from trend, estimated Jan 2015 - Dec 2019



Source: BEA, J.P. Morgan

This dynamic has implications beyond the consumer space, as it suggests that one historically important channel for goods demand—namely housing construction—is likely to contribute to soft production by industry. Outside of the AI space, capex has been limited to tech-adjacent spending (such as power generation and data center equipment) plus some pickup in capex for oil and gas exploration and extraction as global energy prices remain elevated. But direct evidence of a broader capex recovery remains scarce, and the weakness not only in new residential construction but also in spending on improvements is a contributing factor.

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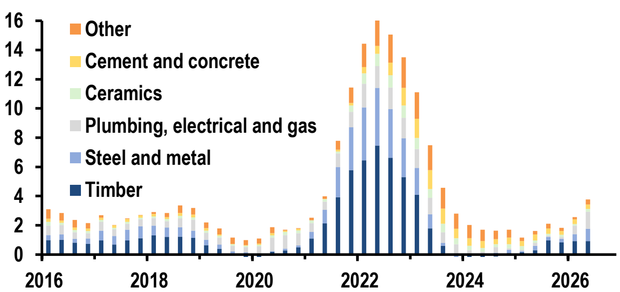
Australia: The ins and outs of building costs

- **House construction input costs rose sharply in the second quarter…**
- **...reflecting higher prices for commodities supplied through the Strait of Hormuz**
- **Rising input costs put pressure on consumer prices...**
- **...but a softening housing market should moderate pass-through to final prices**

Australia's house construction input PPI rose 2.1%q/q in 2Q26, the largest quarterly increase since 2022. The rise was concentrated in metal, plumbing and electrical inputs, driven by sharp price gains in commodities affected by the closure of the Strait of Hormuz. As the largest single component of Australia's corresponding CPI basket, new dwelling construction prices are important to the inflation outlook. Here we assess how much of the latest input/cost shock is likely to pass through to CPI new dwelling prices, and examine the PPI-CPI relationship more broadly.

Figure 1: PPI house construction input costs

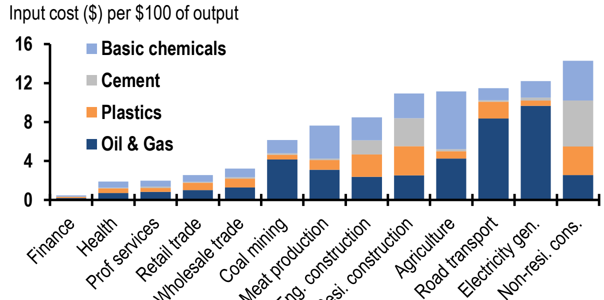
%-pt contribution, 4q rolling



Source: ABS, J.P. Morgan

Figure 2: Exposure to select commodities by industry

Input cost ($) per $100 of output



Source: ABS, J.P. Morgan

Residential construction is among the most commodity-sensitive parts of the domestic economy. This was evident during the 2022/23 post-COVID reopening inflation wave, when building cost inflation reached nearly 16%oya. Regarding this year's shock, using the ABS' input-output tables, we estimate that roughly $12 of every $100 of output is exposed to commodities supplied through the Strait of Hormuz (Figure 2), and the latest PPI data show input costs rising again. However, today's demand backdrop is less supportive of cost pass-through relative to 2022. In our view, softer demand conditions in coming quarters should limit the extent to which higher input costs flow through to CPI new dwelling prices, reducing the risk of a similar inflation overshoot.

Something is missing

House construction input costs are a useful, but incomplete predictor of their CPI analogue, new dwelling purchase prices. In a univariate regression, input costs explain around half the variation in the CPI series (Table 1, regression 1). Including a lagged term improves the model somewhat, suggesting that input cost shocks diffuse into output prices over multiple quarters, though the gain in explanatory power is marginal (regression 3). The relationship is much stronger when using house construction output prices, with an adjusted R-squared near 90% (regressions 4 and 5).

Table 1: New dwelling price regressions

Dependent variable: %q/q growth in new dwelling purchase cost index, 4Q00-2Q26.
Coefficient estimate (bold) and t-stat shown

Regressor	(1)	(2)	(3)	(4)	(5)
PPI input costs (%q/q)	**0.80**		**0.40**		**-0.02***
	10.38		*3.56*		*-0.27*
PPI input costs, 1Q lag (%q/q)		**0.79**	**0.50**		**0.87**
		9.76	*4.42*		*18.68*
PPI output prices (%q/q)				**0.93**	**0.13**
				29.89	*2.35*
Adjusted R-squared	51.1%	48.3%	57.0%	89.7%	90.2%

Source: J.P. Morgan *Not statistically significant

Output prices sit closer to the CPI concept than raw input costs, as they capture labour, operating expenses and most importantly, margins, so the performance uplift is to be expected. However, conceptual differences between the CPI and PPI remain. For one, the CPI estimates new dwelling prices for owner-occupiers only and includes both detached houses and multi-family buildings. PPI input costs are published only for detached housing, but cover both owner-occupiers and investors. Scope also differs in the treatment of dwelling alterations and additions, which are excluded from the PPI but included in the CPI.

Second, the CPI measures out-of-pocket prices paid by households, while the PPI measures prices charged by producers. Changes to taxation and government grants can then cause the series to diverge at times. The HomeBuilder grant in 2020/21 is one example, in which eligible owner-occupiers received grants of up to $25k to build new homes (Figure 3).

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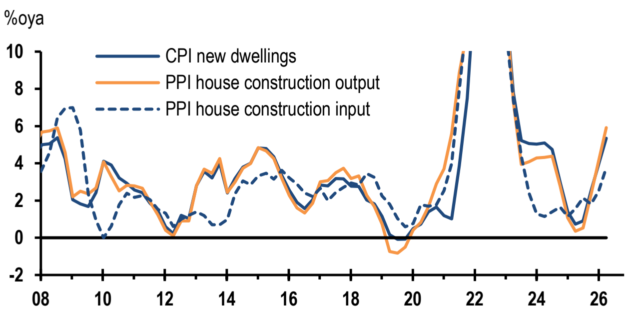
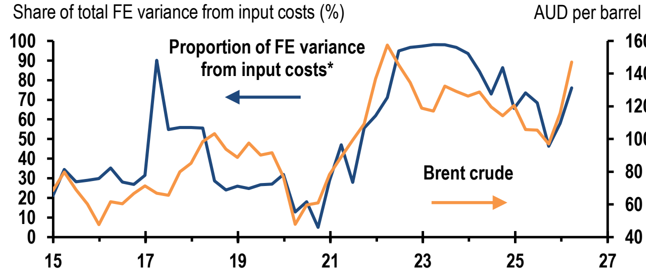
Figure 3: House construction price measures



Source: ABS, J.P. Morgan

Figure 5: New dwelling construction input and output FEVD*



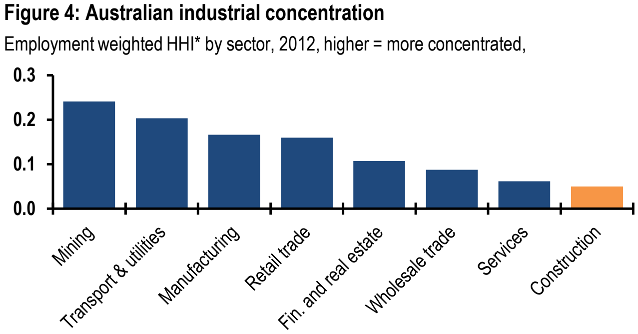
Source: J.P. Morgan

*Rolling VECM (20qtr window) of house construction input PPI and new dwelling CPI (%q/q), with a structural forecast-error variance decomposition at a 2qtr horizon. Shocks are identified via a Cholesky (recursive) ordering with input prices ordered first.

What goes in must come out

Producer pricing decisions sit in the gap between input costs and output prices. In the short run, the two can diverge, though over time, economic forces should limit persistent deviations. Firms facing an input cost shock, for example, have an incentive to raise output prices to preserve margins. Whereas if output prices rise because of strong demand, margins should still be back drawn back toward competitive levels over time, an assumption supported by research from the RBA showing a historically low degree of market concentration in the construction sector (Figure 4).

Figure 4: Australian industrial concentration



Source: RBA, J.P. Morgan

*Herfindahl–Hirschman index

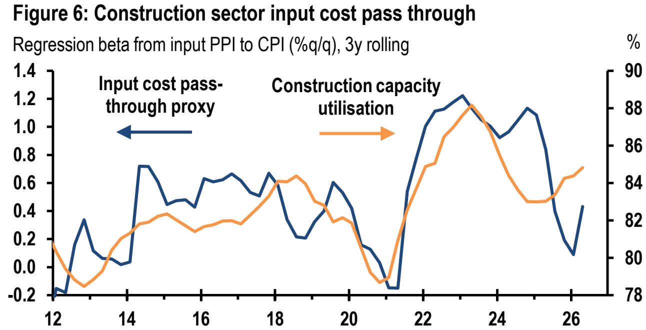
These dynamics imply that input and output prices are related through a long-run equilibrium relationship [1]. An error-correction framework is one such tool we can use to study the joint dynamics of the two series. We consider the two price series (PPI input costs and CPI new dwelling prices) as a system in which each is estimated as a function of autoregressive lags and deviations from a long-run equilibrium relationship. Under this framework, we estimate the proportion of forecast error variance attributable to input cost shocks (Figure 5).

Figure 5 suggests that in normal periods (e.g. 2015-19), input costs explain the minority of variance in the input/output price system, roughly 30-50%, with margins implicitly flexing in the opposite direction. However, if input cost shocks are a sufficiently large and broad, as seen in 2021/22, they account for a larger share of variation in the system. Energy prices have surged once again in 2Q26, as have a number of related commodity prices exposed to Middle East production/shipping constraints, reminiscent to 2022's breadth and stronger pass-through. But this still leaves an identification problem, as demand conditions presumably also guide pass-through.

Just passing through

To demonstrate, we present the rolling (3y) beta from PPI input costs to CPI new dwelling prices (specified in %q/q changes, Figure 6). Pass-through rose sharply during the post-COVID reopening period, when surging energy and materials prices collided with strong construction demand, buoyed by government stimulus and record low borrowing costs. Capacity utilisation was tight, and builders faced challenges in sourcing labour supply. Together, these conditions gave construction firms (at least, those without fixed price contracts) unusual pricing power, with output prices moving largely one-for-one with input costs.

Figure 6: Construction sector input cost pass through



Source: ABS, J.P. Morgan

1. Our own testing implies cointegration at a moderate significance (10%).

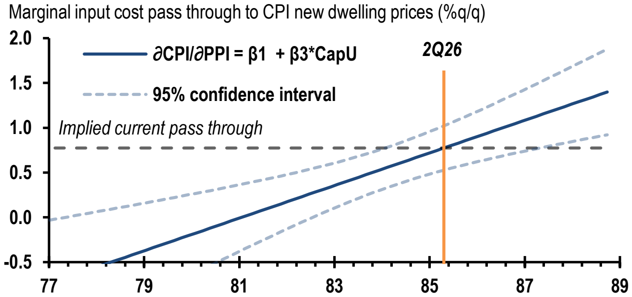
As capacity pressures eased in the building sector through 2024/25, so has cost pass-through. The most recent observation (2Q26) suggests pass-through has lifted a little with utilization, but for now both measures remain well below their 2022/23 peaks.

A more general specification further clarifies the relationship between capacity utilisation and input cost pass-through. We estimate the following model, which introduces an interaction effect between input costs and capacity utilisation:

$$CPI_{New\ Dwelling} = \beta_1 PPI + \beta_2 CapU + \beta_3 PPI \times CapU + \varepsilon$$

Here, *CPI* is new dwelling purchase prices (%q/q), *PPI* is house construction input costs (%q/q), and *CapU* is construction-sector utilisation. We estimate β_1, β_2 and β_3 via OLS. Taking the partial derivative with respect to PPI yields a linear relation between cost pass-through ($\partial CPI/\partial PPI$) and sector capacity utilisation (*CapU*). The relationship is upward sloping and significant ($\beta_3 = +0.18$, $p=0.00$), suggesting that input cost pass-through tends to rise with utilisation.

Figure 7: Construction input cost pass through w.r.t capacity util.



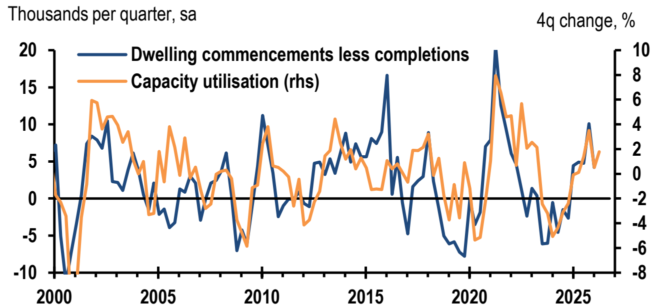
Source: ABS, J.P. Morgan

The somewhat-elevated level of capacity utilisation (85.3%), implies an above-average pass-through beta of 0.77. For 2Q26, this produces an estimate of new dwelling CPI growth of 1.79%q/q, very close to the actual 1.80%q/q result.

Pipe dreams

We have argued the degree of input cost pass-through in the construction sector depends on demand conditions. We turn now to the outlook for demand in the construction sector. The current pipeline of dwelling construction looks well-supported, and largely explains the rise in capacity utilisation over the past year (Figure 8). As discussed previously, dwelling commencements surged through 2025, while completions have yet to catch up. The ongoing data centre construction boom adds an additional tailwind and is likely to remain supportive of construction demand over the next few years, though the overlap with home building resources is only partial.

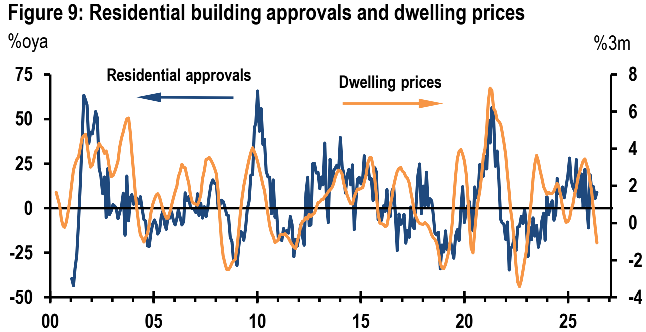
Figure 8: New dwelling commencements and utilisation



Source: ABS, NAB, J.P. Morgan

While current measures of residential construction activity appear resilient, leading indicators suggest easing from here. Australia is experiencing a downswing in the established housing market (see here and here) following RBA tightening earlier in the year, and changes to the tax treatment of investment properties. Dwelling prices tend to correlate with building approvals, a leading indicator of the dwelling construction pipeline. While residential approvals have shown strength recently, a downturn in established housing prices reduces the incentive to construct new homes or do alterations to existing housing, and we expect to see residential approvals slow over the next year.

Figure 9: Residential building approvals and dwelling prices



Source: ABS, Cotality, J.P. Morgan

Given the inherent lags in the construction sector and the current dwelling construction pipeline remaining substantial for now, we expect relatively elevated building cost pass-through to persist in the very near term. Still, cost pressures remain well below the 2021/22 episode, and the slowdown in the established housing market should cap capacity use in the construction sector over time, further bounding cost pass-through.

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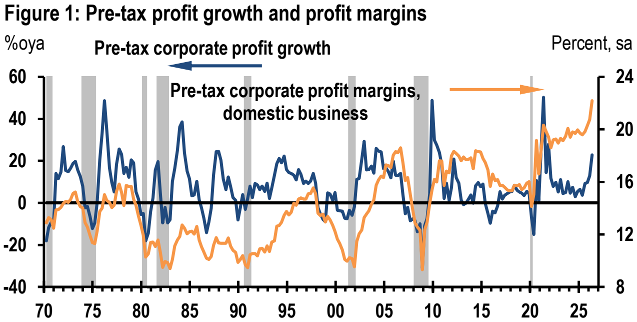
United States

- **Warsh's Jackson Hole speech was moderately hawkish**
- **We still think the FOMC won't hike until December, but a firm August CPI could deliver a September hike**
- **2Q profits were strong and early 3Q data likewise solid, leading us to raise 3Q GDP from 2.5% to 2.75%**
- **Next week: 50k payrolls, 4.1% unemployment rate**

Fed Chair Warsh's Jackson Hole speech again eschewed forward guidance but did provide more clarity on how he sees the current state of the economy, while also affirming the Fed's 2% PCE target after having wobbled on that point at the July press conference (see our writeup). The net takeaway was somewhat hawkish and markets re-priced the probability of a September hike from 36% yesterday to 60%. We continue to expect that a hike won't come until December, though agree that the September meeting is live. Moreover, regardless of the exact timing of hikes, Warsh's speech suggested a Chair more willing to translate his concern about inflation into a policy tightening.

Between now and the September FOMC meeting we get one employment report and one CPI report. We expect next week's employment report will show a 50k increase in payrolls and a stable 4.1% unemployment rate. While a summer downside surprise on jobs is possible, the unemployment rate trend should be sufficient to leave FOMC members with a reasonably favorable view of the labor market. That then shifts the focus to the next inflation report, which should have more bearing on the FOMC outcome. A reading in the low 0.2%m/m range is probably sufficient to keep the Fed on hold for a little while longer, though this remains a close call.

Figure 1: Pre-tax profit growth and profit margins



Source: BEA, J.P. Morgan

This week's economic reports were generally upbeat, and we've raised our 3Q GDP tracking from 2.50% to 2.75%, moving closer to the 3% rate suggested by the July PMI, which had continued to rally earlier this month. We've boosted our consumer spending forecast a percentage point, to 2.75%, and see equipment investment again rising more than 10%, meaning it should be another solid quarter for private domestic final demand. Corporate profit growth was robust (Figure 1), which augurs well for future job growth, and the low level of jobless claims suggests the possibility that unemployment will fall below the 4.0% level we've forecasted for next year.

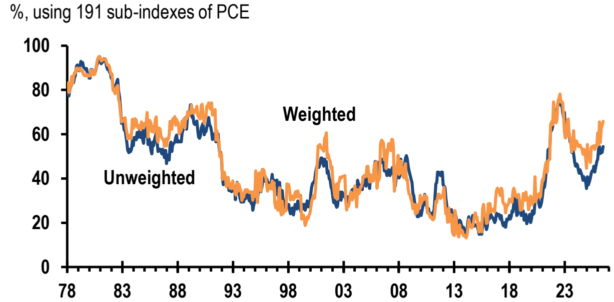
More clarity at Jackson Hole

Chair Warsh's Jackson Hole address contained a more substantive discussion of current economic conditions than he has previously offered. There were two clear takeaways. First, he expressed broad comfort with the state of the labor market, remarking that "On the employment side of the Fed's dual mandate, our country is doing well," and that "I believe the labor markets are consistent with full employment." He also considered some pockets of concern that have arisen over time — low turnover, low job growth, young college graduates — and noted either that these were in fact not so concerning or that good aggregate performance was ultimately more important.

Second, having established the upbeat news in the labor market, he emphasized that on inflation "the numbers are more concerning." Moreover, were underlying inflation to fail to get back to target with sufficient speed, then "we have work to do." Warsh was also clearer than in his last press conference about what that work might entail, noting in a section on principles that "short-term interest rates are the predominant tool to achieve the dual mandate." In discussing the concept of underlying inflation, he brought up inflation breadth, a topic that Governor Waller has also recently hit on. This appears a less opportunistically-chosen inflation metric than his earlier dalliance with trimmed-mean PCE: unlike the trimmed-mean, the above 3% share is still well above even pre-GFC norms (Figure 2).

Figure 2: Share of PCE components with 12m change > 3%

%, using 191 sub-indexes of PCE



Source: BEA, J.P. Morgan

In many ways, the discussion of the economy was quite conventional and in line with what prior Fed Chairs might have said. We've recently been critical of Warsh for not providing more clarity on his reaction function, and in this speech he

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explicitly argued that providing a clear-cut function, such as a Taylor rule, would be difficult. We don't disagree. But we think the economic summary in his speech got at the answer in a reasonable way, by articulating how the Fed is performing against its dual mandate, and linking progress toward the mandate to monetary policy actions.

Strength in profits

Corporate profits rose 41%q/q saar in 2Q, and 23%oya. It was the best quarterly outcome in five years, and if you exclude post-recession recoveries, the best four-quarter change in more than 20 years. Profit margins, which were already high post-COVID, advanced again to historically elevated levels.

The link between profits and jobs in the midst of an expansion is somewhat loose, but strong profitability, which is going hand-in-hand with moderate labor costs, should provide room for firms to continue to grow hiring in the quarters ahead. At a minimum, the profit path is the opposite of a late-cycle compression brought about by rising wages. One caveat to this is that the largest source of profit growth is the technology sector, which is itself still shedding jobs. AI investments could also potentially be used to trim labor, though we don't expect any significant near-term rise in aggregate joblessness from AI.

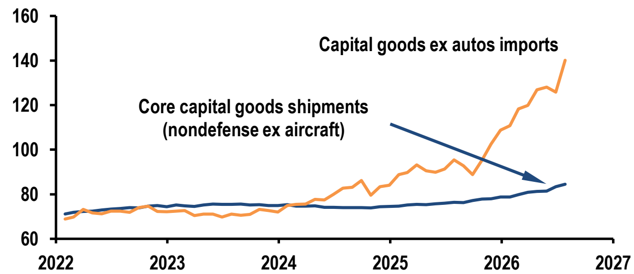
The other benefit of solid profit margins and low unit labor costs is that it gives firms some flexibility to raise wages without putting too much upward pressure on inflation. Unit labor costs only rose 1.4%oya in the year to 2Q.

Activity data looking solid

As expected, the July PCE report showed no change in real consumer spending. A drop in auto sales and the shift of some online sales events from July to June had dinged the July spending data. Although this was in line with our forecasts, we had already been seeing some upside risk to our original 1.75% real PCE forecast for 3Q. And with Chase card spending data looking strong for August, we decided to raise the third quarter.

Incoming signals on equipment investment also look solid. Core capital goods orders growth moderated in July, though this came after significant gains in prior months, and shipments continued to rally (Figure 3). Tech investment mostly shows up in net trade, and there too the signal was positive, as the capital goods deficit widened considerably. The ongoing growth in tech spending is not surprising. We noted last quarter also saw a broadening out in equipment spending growth, and we will be watching to see if that continues through this quarter as well.

Figure 3: Core capital goods shipments, capital goods ex auto imports
$bn, sa



Source: Census Bureau, J.P. Morgan

The one piece of the activity data that was less impressive was housing, as new single-family home sales dropped 10%m/m in July and sales are down 13% saar on a 6m/6m basis. The housing sector continues to be restrained by high interest rates, and elevated new home inventories could continue to dampen housing construction. We also wrote this week about how sluggishness in home-sale activity is translating into lower spending on home improvements. Even as equipment investment is strong, this is one factor contributing to the gradual normalization of durable goods spending back toward pre-COVID shares.

Other matters to attend to

Late last Friday trade talks broke down between the US and Canada, causing 50% tariff rates on about 5% of Canada's imports to the US to go into effect. On an aggregate basis, this only raises the global tariff rate about 0.2%, so the immediate implications for the US economy are small. More important is that this highlights the ongoing uncertainty related to US trade policy, with the administration testing new legal authorities — Section 338 in this case — and starting to tariff some USMCA compliant goods. Both of those points are likely to lead to legal challenges. No new trade talks have been scheduled, and it is unclear how long these new tariffs will be in effect. Canada has also announced retaliatory tariffs that will go into effect on September 8, and the US administration has in turn threatened further escalation.

This week also ended with the BLS publishing the preliminary estimate of the 2026 payroll benchmark. It showed a 79k (178k private) downward revision to the March 2026 level of employment. The benchmark update won't be finalized until early next year, and the key data used in the benchmark are likely to be revised up by then, which would yield a small positive revision. The key takeaway is that after a couple years of large downward revisions to employment, this year's benchmark shouldn't produce much net revision in either direction.

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Data releases and forecasts

Sources for all: ADP/Moody's Analytics, BEA, BLS, Census Bureau, Conference Board, Department of Labor, Federal Reserve Board, ISM, J.P. Morgan forecasts, NAHB, NAR, NFIB, NY Fed, Philadelphia Fed, S&P Global, Standard & Poor's, University of Michigan, US Treasury

Tue
Sep 1
9:45am

S&P Global manufacturing PMI (US final)
Index, sa

	Jul 25	Jul 26	Flash Aug 26	Final Aug 26
Composite	49.8	53.9	53.2	53.5
Output	51.3	53.9	51.9	
ISM-weighted composite	49.4	53.9	53.0	

Tue
Sep 1
10:00am

ISM manufacturing
Sa

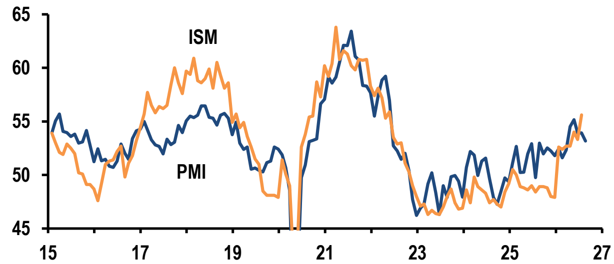
	May	Jun	Jul	Aug
Overall index	54.0	53.3	55.6	55.0
New orders	56.8	56.0	56.7	
Production	54.3	52.2	58.5	
Employment	48.6	49.7	52.8	
Supplier deliveries	60.6	57.4	58.9	
Inventories	49.9	51.4	51.2	
Export orders	50.6	48.5	53.0	
Imports	53.0	52.9	55.7	
Prices	82.1	73.0	71.1	

We expect the August ISM manufacturing survey to edge down to 55.0 from 55.6, while the final PMI is likely to hold broadly steady at 53.5, up slightly from the 53.2 preliminary reading but below July's 53.9. The ISM index continues to point to solid U.S. manufacturing activity, with the series having reached its strongest level of the current cycle in the second half of the year. The ISM-weighted composite of the already released July Empire, Philadelphia, Richmond, and Kansas City Fed surveys slipped to 55.7 from 56.1 in July. However, the decline in the flash PMI suggests manufacturing growth may be plateauing in August.

The weakness in the preliminary PMI manufacturing reading was attributed to fading precautionary demand from firms that had front-loaded orders during the Middle East conflict amid concerns over higher prices and shipping disruptions. This was reflected in declines in stocks and quantities of purchases in August, both of which fell close to pre-conflict levels. That said, the July ISM press release noted that "the Customers' Inventories Index remained in 'too low' territory, contracting at a faster rate," which could limit the risk of a more material downturn in coming months.

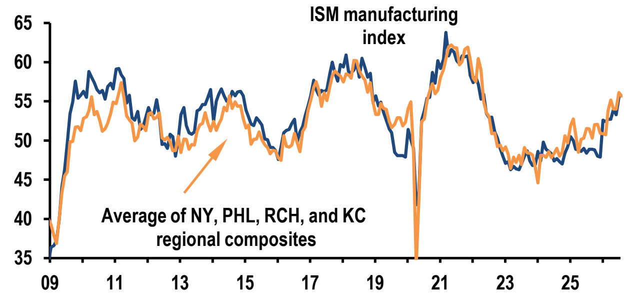
Concerns about price increases stemming from persistent supply chain challenges and tariff policies were also evident in qualitative comments from the July ISM report. Price indexes remain elevated despite moderating in recent months. The ISM prices index declined to 71.1 in July from 73.0 in June, with similar declines in input and output price measures in the early August PMI.

PMI and ISM manufacturing composites
Diffusion index, sa



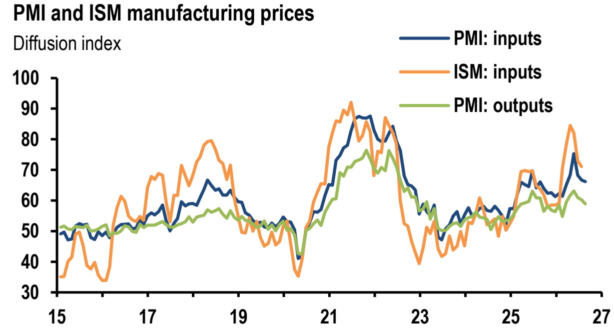
Source: S&P Global, ISM, J.P. Morgan

ISM manufacturing index and regional ISM-weighted composites
index, sa



Source: ISM, Federal Reserve Banks of NY and Philadelphia, J.P. Morgan

PMI and ISM manufacturing prices
Diffusion index



Source: S&P Global, ISM, J.P. Morgan

Tue
Sep 1
10:00am

JOLTS
Thousands, sa, unless noted

	Apr	May	Jun	Jul
Job openings	7585	7537	7359	7200
Job openings rate (%)	4.6	4.5	4.4	4.3
Hires	5215	5252	5348	
Hires rate (%)	3.3	3.3	3.4	
Separations	5038	5260	5351	
Separations rate (%)	3.2	3.3	3.4	
Quits	3043	3153	3232	
Quits rate (%)	1.9	2.0	2.0	
Layoffs	1667	1761	1766	
Layoffs rate (%)	1.0	1.1	1.1	

We look for the job openings rate in the JOLTS to fall from 4.4% in June to 4.3% in July. While the measure of daily job openings reported by Indeed inched higher through the month, growth in JOLTS has outpaced the Indeed index and similar private measures, which could signal some downtick

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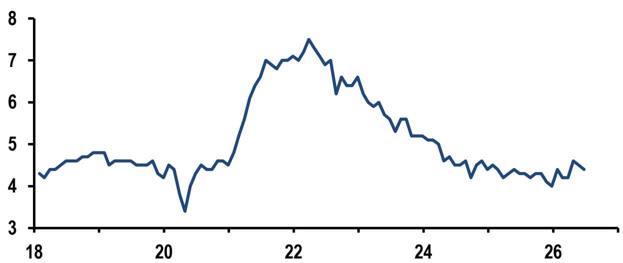
in job openings. Growth in non-farm payrolls was muted in June, with private payrolls up 30k and total employment down 23k, which could be reflected in lower hires, following a solid increase in the last report.

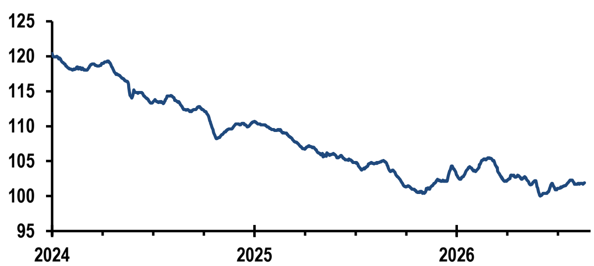
Other labor market indicators continue to be mixed, as the unemployment rate fell to 4.1%, while the labor market differential from the consumer confidence survey moved to a cycle low of 2.7%, before inching higher to 7.5% in August. Both quits and layoffs remain low, with information and mining/logging remaining the few industries with a sustained rise in layoffs.

Job openings rate
Percent, sa



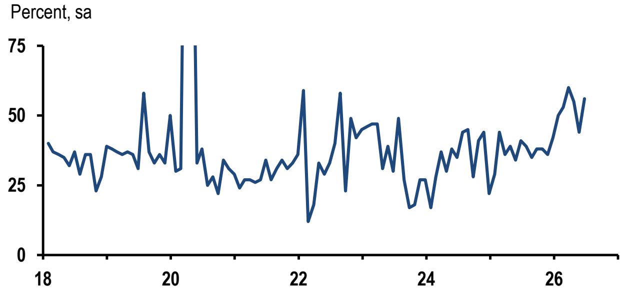
Source: BLS, J.P. Morgan

Daily Indeed job postings
Index, sa



Source: Indeed, J.P. Morgan

Layoff and discharge rate: information
Percent, sa



Source: BLS, J.P. Morgan

Tue
Sep 1
10:00am

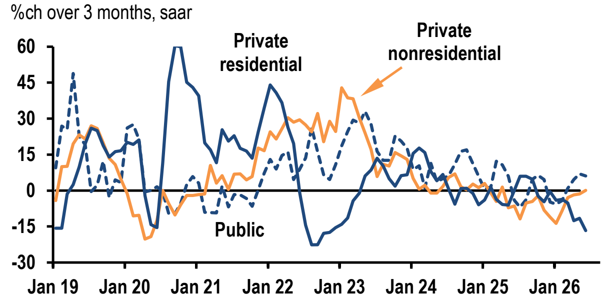
Construction spending
%m/m, sa

	Apr	May	Jun	Jul
Nominal	-1.4	0.0	-0.1	-0.2
Private	-2.2	-0.2	-0.1	-0.4
Residential	-3.9	-0.3	-0.3	-1.0
New residential	0.7	-0.2	-0.6	-1.9
Improvements	-10.1	-0.4	0.1	
Nonresidential	0.0	-0.1	0.1	0.3
Public	0.9	0.6	0.0	0.4

We project construction spending to fall 0.2%m/m in July after a soft 0.1% decline in June. Much of this weakness stems from a large 10% contraction in single-family housing starts, along with a 21% fall in the volatile multifamily segment, reflecting elevated inventory levels, higher borrowing costs and affordability concerns among consumers.

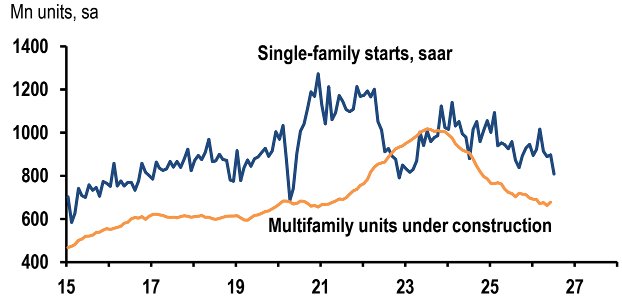
Nonresidential construction has been weak since 4Q25, as manufacturing construction spending continues to be weighed down by the unwind of earlier CHIPS Act-related investment and recent softness in commercial construction. However, data center construction continues to rise, increasing 7% m/m in June. Solid July IP readings, along with elevated PPI and import prices for computers and peripherals, point to further strength.

Main categories of construction spending, nominal spending
%ch over 3 months, saar



Source: Census Bureau, J.P. Morgan

Leading indicators of residential construction spending
Mn units, sa



Source: Census Bureau, J.P. Morgan

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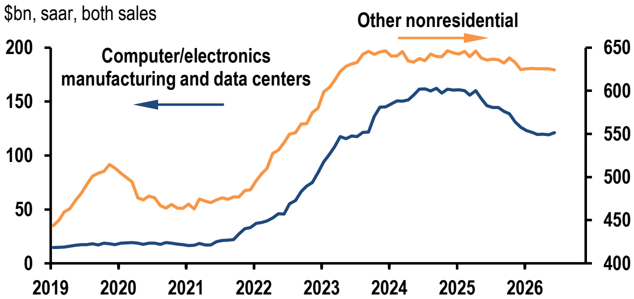
Private construction: computer mfg + data centers. vs other nonres



Source: Census Bureau, J.P. Morgan

Tue
Sep 1

Light vehicle sales
Millions, saar

	May	Jun	Jul	Aug
Light trucks and autos	16.3	16.6	16.3	16.4
Domestics	12.6	12.7	12.5	
Autos	1.8	1.8	1.8	
Light trucks	10.8	10.9	10.6	
Imports	3.7	3.9	3.9	

Our autos equity team expects light vehicle sales in August to inch up to 16.4mn from 16.3mn in July, as the combination of rising equity prices and affordability concerns keep sales steady. They also note that the recent announcement of tariffs on Canada could result in a ~1% rise in costs for automakers.

Thu
Sep 3
8:30am

Productivity and costs
Nonfarm business sector, %q/q, saar, unless noted

	1Q26	Rev 1Q26	Pre 2Q26	Rev 2Q26
Productivity	0.8	0.8	1.4	1.4
%oya	2.9	2.9	2.2	2.2
Output	1.5	1.5	1.7	1.7
%oya	3.3	3.3	2.5	2.5
Hours	0.7	0.7	0.3	0.3
%oya	0.4	0.4	0.2	0.2
Hourly compensation	2.1	2.1	2.7	2.7
%oya	3.3	3.3	3.7	3.7
Unit labor costs	1.3	1.3	1.3	1.2
%oya	0.4	0.4	1.4	1.4

Productivity growth is likely to remain stable at 1.4%q/q saar in the revised 2Q report, with a similar over-year-ago pace of 2.2%. Much of the report is expected to remain unchanged, apart from a slight downtick in unit labor costs, which fall to 1.2% from 1.3% in the preliminary report. We estimate the over-year-ago rate will remain at 1.4%.

Thu
Sep 3
8:30am

International trade
$billion, samr

	Apr	May	Jun	Jul
Balance(BOP basis)	-54.6	-77.6	-73.3	-90.3
Services	28.3	28.3	28.8	29.3
Goods	-82.9	-106.0	-102.1	-119.6
Exports (%m/m)	3.0	-3.2	-0.9	-1.7
Services	0.1	0.4	1.0	0.8
Goods	4.4	-4.9	-1.9	-2.9
Imports (%m/m)	2.0	3.3	-1.8	3.1
Services	1.6	0.5	0.7	0.5
Goods	2.1	4.0	-2.5	3.7

We expect the trade deficit to widen to ＄90.3bn in July from ＄73.3bn in June. This largely reflects the already released advance goods trade report, which showed exports falling another 2.9% while imports rose 3.7%. In services, World Cup-related support should continue to sustain a solid pace of exports in July, driven by international travel, tourism spending, and IP exports related to broadcasting rights.

Thu
Sep 3
8:30am

Jobless claims
Thousands, sa

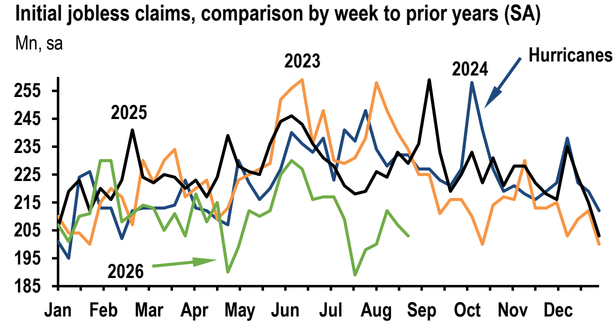
	New claims (wr.) Wkly	New claims (wr.) 4-wk avg	Continuing claims Wkly	Continuing claims 4-wk avg	Insured Jobless,%
Jun 20	216	225	1806	1801	1.2
Jun 27	217	223	1821	1810	1.2
Jul 4	217	219	1798	1809	1.2
Jul 11	209	215	1789	1804	1.2
Jul 18[1]	189	208	1777	1796	1.2
Jul 25	198	203	1799	1791	1.2
Aug 1	200	199	1781	1787	1.2
Aug 8	212	200	1796	1788	1.2
Aug 15[1]	207	204	1778	1789	1.2
Aug 22	203	206			
Aug 29	205	207			

1. Payroll survey week

We expect initial jobless claims to remain broadly stable at 205k in the week ending August 29 from 203k in the prior week. The series continues to move below prior years, and remains an optimistic indicator of labor market strength. Residual seasonality has held jobless claims at steady levels through the end of August in the recent years, which would push the four-week average to 207k.

Continuing claims have been moving in a narrow range since the middle of July, and residual seasonality could push them down slightly through early September. Claims suggest that the unemployment rate will continue dropping over time, though we expect the rate remained stable in August.

Initial jobless claims, comparison by week to prior years (SA)



Source: Department of Labor, J.P. Morgan

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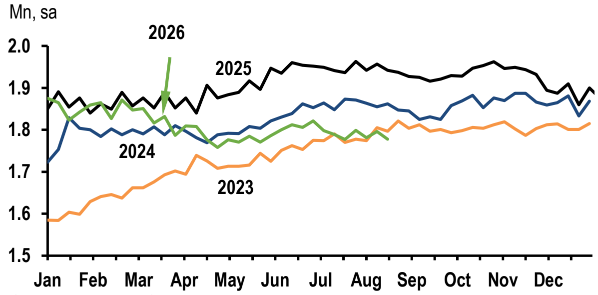
Continuing jobless claims, by week of the year (SA)

Mn, sa



Source: Department of Labor, J.P. Morgan

Thu
Sep 3
9:45am

S&P Global services PMI (US final)

Index, sa

	Jul 25	Jul 26	Flash Aug 26	Final Aug 26
Business activity	55.7	54.6	56.8	56.5
New business	54.1	54.2	55.3	

Thu
Sep 3
10:00am

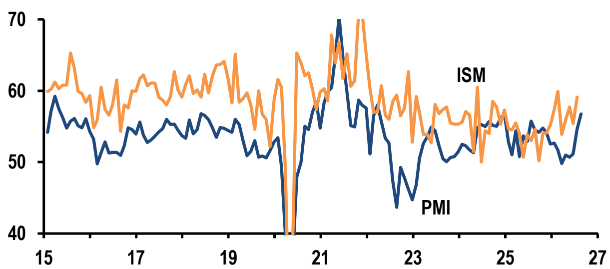
ISM services

Sa

	May	Jun	Jul	Aug
Headline composite	54.5	54.0	54.1	54.0
Business activity	57.7	55.4	59.1	
New orders	57.3	55.1	57.2	
Employment	47.9	51.2	47.4	
Prices	71.3	67.7	70.3	

PMI and ISM services business activity

Diffusion index, sa



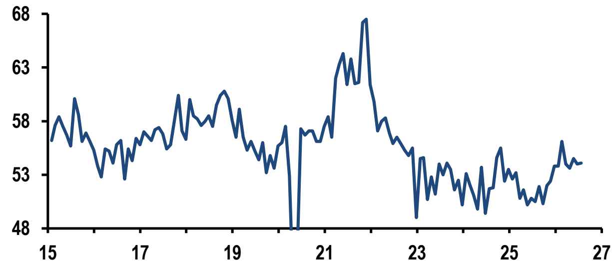
Source: S&P Global, ISM, J.P. Morgan

We expect the August ISM services composite to hold steady at 54.0, little changed from 54.1 in July. We also expect the final PMI services business activity index to edge down to 56.5 from the 56.8 preliminary reading, though still above July's 54.6. Despite concerns that the World Cup-related boost to services activity may be fading, the early PMI print rose to one of the highest levels of the current cycle. Meanwhile, the ISM services series has moved sideways in recent months, with both business activity and new orders edging higher in July.

Inflationary pressures remained firm in July, as the ISM prices index rose to 70.3 from 67.7 in June and the PMI price measures climbed to their highest levels since the post-Liberation Day spike early last year. However, the August PMI report pointed to some moderation: input prices fell to 59.3 from 63.0 in July, while output prices declined to 55.4 from 58.5. This was accompanied by a notable rise in the employment index, which increased to 53.2 in the early August survey from 50.8 in July.

ISM services composite

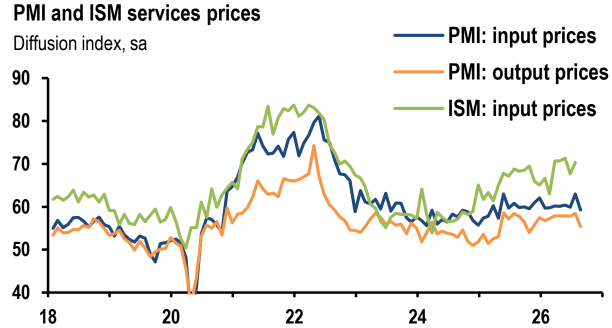
Diffusion index, sa



Source: ISM, J.P. Morgan

PMI and ISM services prices

Diffusion index, sa



Source: S&P Global, ISM, J.P. Morgan

Fri
Sep 4
8:30am

Labor-market report

Sa

	May	Jun	Jul	Aug
Payroll employment				
(ch, m/m, 000s)	63	20	-23	50
Private payrolls	61	30	30	40
Goods-producing	3	14	25	0
Construction	2	5	22	5
Manufacturing	-2	11	5	-5
Service-providing	60	6	-48	50
Private service-providing	58	16	5	40
Wholesale trade	3	3	5	
Retail trade	5	-4	-19	
Professional services	6	34	18	
Temporary help	0	11	3	
Education/health	24	54	25	
Leisure and hospitality	42	-43	-40	
Government	2	-10	-53	10
Average weekly hours	34.3	34.3	34.3	34.3
Index, hrs worked (%m/m)	0.1	0.0	0.0	0.0
Hourly earnings (%m/m)	0.2	0.3	0.1	0.25
(%oya)	3.3	3.4	3.2	3.0
Unemployment rate (%)	4.3	4.2	4.1	4.1
Participation rate (%)	61.8	61.5	61.4	61.5

We expect that nonfarm payrolls rose 50k in August (40k private) and that the unemployment rate held at 4.1%. We also look for a stable workweek at 34.3 and average hourly earnings growth of 0.25%m/m.

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Establishment survey

Private sector employment growth has averaged in the 40-55k range over the past 3, 6, and 12 months and we think that underlying trend is continuing, though there are a few factors that could dampen August job growth. While this growth isn't that strong on a historical basis, we think a low breakeven rate means that the labor market is doing reasonably well, as captured by the falling unemployment rate.

NFP growth, average over recent months (000s)

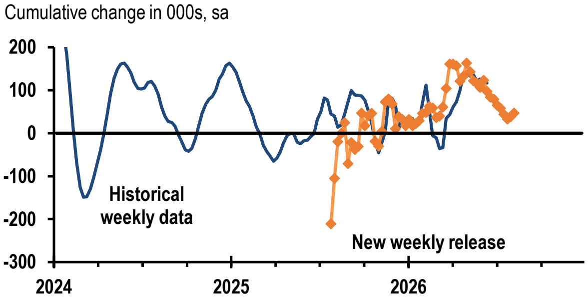
	12 months	6 months	3 months
Total	26	44	20
Private	53	54	40
Federal govt	-21	0	1
S&L govt	-5	-10	-21
Total ex federal govt	47	45	19

Source: BLS, J.P. Morgan

The weekly ADP data shows cumulative private-sector job gains of 47k in the four weeks to the week ending August 8, which is one week prior to the August payroll survey week — the week including the 12th of the month. This is very similar to the 43k gain in the four weeks through the July survey week, so ADP is pointing at roughly stable job growth. Jobless claims did rise 18k between the July and August survey weeks, though the July print had been unusually low and claims remain well below prior-year levels, so we still take this as a decently positive sign.

ADP four week change in private payroll employment

Cumulative change in 000s, sa



Source: ADP, J.P. Morgan

The PMI employment index also rose over 2pt in August, to the best level since the start of 2025, though this tends to have a loose relationship to employment growth. The Conference Board labor market differential also rebounded in August from a July cycle low to the best level since April, and the NFIB labor metrics rose in July, though both of these are more correlated with the unemployment rate. Indeed job openings have been stable between July and August, and JOLTS job openings had a 2Q average that was the highest in a couple years.

Labor market indicators

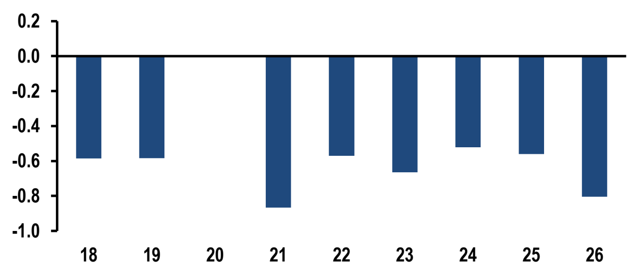
	Aug 25	Feb 26	Mar 26	Apr 26	May 26	Jun 26	Jul 26	Aug 26
Nonfarm payroll employment (m/m ch, 000s)	-70	-156	214	148	63	20	-23	
Ex federal government	-51	-160	221	149	59	19	-20	
Private	-20	-148	202	150	61	30	30	
Initial jobless claims (payroll reference week)	233	208	205	215	210	227	189	207
Four-week average	226	220	211	211	203	224	208	204
Continuing jobless claims (payroll reference week)	1.942	1.827	1.816	1.776	1.785	1.812	1.777	1.778
Four-week average	1.951	1.848	1.846	1.795	1.773	1.792	1.796	1.789
CB labor market differential	11.1	5.7	6.1	7.5	5.0	3.8	2.7	7.5
PMI all-industry employment	52.1	50.4	49.7	50.2	47.9	49.1	50.8	53.0
ISM all-industry employment	46.7	51.6	45.5	47.9	48.0	51.1	47.8	
Fed surveys all-industry employment	50.1	49.6	50.0	49.3	50.3	52.5	52.8	51.3
Chicago Fed CFSEC current hiring	-18.4	-30.6	-23.7	-20.5	-7.3	-5.2	-2.6	-16.1
NFIB: net % percent planning to increase employment	15	12	12	13	9	11	20	
NFIB: % of firms with open positions	32	33	32	34	29	32	36	
Indeed job openings index (average)	104.8	104.6	103.9	102.7	101.9	100.8	101.6	101.8
FRB Cleveland WARN factor (layoff indicator, nsa)	-0.72	0.04	-0.26	-0.06	-0.16	-0.51	-0.24	
Challenger announced job cuts (000s, nsa)	86	48	61	83	97	46	33	
Ex government	83	48	59	74	93	44	30	
Census BTOS employee index (average, nsa)	48.0	47.2	47.7	48.0	48.4	48.7	48.6	48.2
ADP private employment (m/m ch, 000s)	49	66	61	105	122	95	44	
Revelio private employment (m/m ch, 000s)	11	1	38	54	45	82	70	
Revelio government employment (m/m ch, 000s)	-17	-4	-1	0	-2	46	13	
Intuit small business employment (%m/m)	0.07	-0.11	-0.11	-0.09	-0.07	-0.10	-0.11	

Source: BLS, DoL, S&P Global, ISM, Federal Reserve system, NFIB, Indeed, Challenger, ADP, Revelio, Inuit, J.P. Morgan

Slightly less favorable was Homebase employment, which looks soft between the July and August payroll survey weeks. Daily data shows the index outperforming 2025 during the July survey period, but converging closer to 2025 by the time of the August week.

Homebase change in employment from July to Aug payroll week

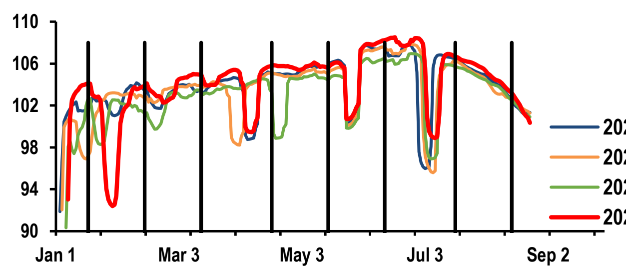
%ch per week, nsa. Change is between the week ending Sat including the 12th



Source: Homebase, J.P. Morgan

Homebase index, 7-day average of daily employment

Index, nsa. Vertical bars are week ending Sat including the 12th of the month



Source: Homebase, J.P. Morgan. Note that most recent values get revised up

Seasonal factors and industry considerations

One factor that could hold August back is potential summer weakness. Growth on average has been slow in each of the last couple summers, and private jobs have fallen in August in each of the last two years. Looking since 2010, August first prints have averaged 40k below the trailing three-month average.

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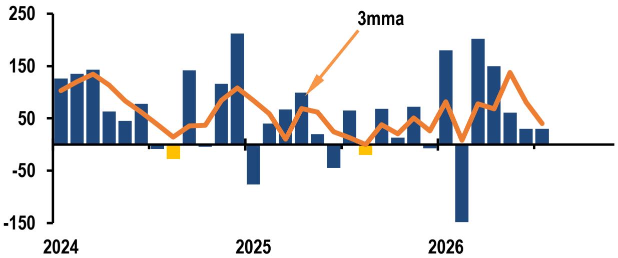
Private payroll growth

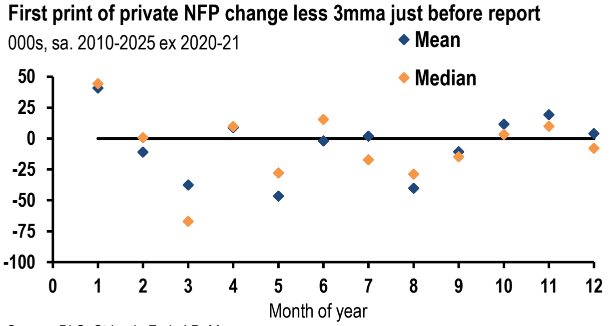
m/m in 000s, July months highlighted in yellow



Source: BLS, J.P. Morgan

First print of private NFP change less 3mma just before report

000s, sa. 2010-2025 ex 2020-21



Source: BLS, St Louis Fed, J.P. Morgan

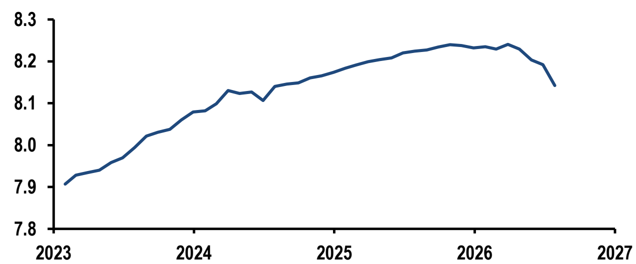
Another consideration is the end of Temporary Protected Status for around 350,000 Haitians on July 27, at which point any work permits obtained via this status were terminated. While this change in status could affect a sizable number of working-age individuals, the effects could be drawn out. Immigrants may be slow to report a change in immigration status to an employer, and employers don't always maintain records that would allow them to identify which of their employees have been affected. In addition, employers could reach out to employees and ask for an updated employment authorization document (EAD) instead of immediately terminating them, since workers may be able to obtain an EAD under an alternative immigration status. In addition, some people may have been employed without a valid EAD to begin with. Finally, the number of people forcibly removed from the country is still small so far, with the first deportation flight not occuring until August 20.

Employment related to the World Cup also should have wound down by early August. We've previously found little evidence that this was providing an employment lift, so we likewise don't expect much of a drag, though on the margin this could lead to some small job loss.

A final point is what happens to local government education employment, which fell 50k in July. There were five weeks between the June and July payroll survey weeks, which tends to be associated with below-trend growth in seasonally adjusted education employment. However, this hasn't usually been associated with much of an August rebound. For instance, in the prior 25 years, excluding COVID, there have been four other instances with a five-week payroll week gap in July. In only one instance (2004) did local government education payrolls subsequently increase in August, and then only by 9k. Further, we don't think this year's large drop was just a seasonal quirk. Educational employment has been falling since April. News reports have noted staffing cuts related to the prior end of pandemic-era federal aid to schools. Fiscal year budgets and thus new staffing levels often need to be adopted by July 1, which could have driven the timing of recent job cuts. That could also mean, however, that cuts should have come to an end, or at least moderated, by August.

Local government education employment

Mn, sa



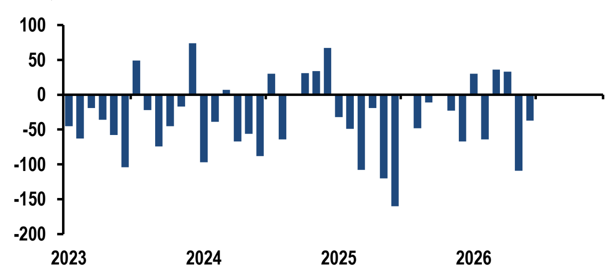
Source: BLS, J.P. Morgan

Revisions

The July jobs report brought the return of large negative revisions, though the overall revision pattern has become more balanced over the last 12 months. The second revision to June has often been negative so another downward revision could occur. The first revision of July has also tended to be mildly mildly negative, though that could be reversed in the second July revision.

Revision to change in nonfarm payrolls, 1st to 3rd estimate

000s, sa. Last bar is 1st to 2nd estimate



Source: BLS, J.P. Morgan

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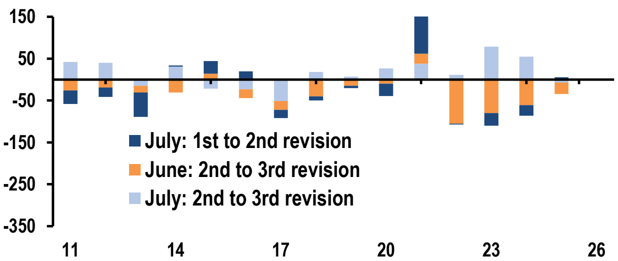
Revision pattern for June and July payrolls

000s

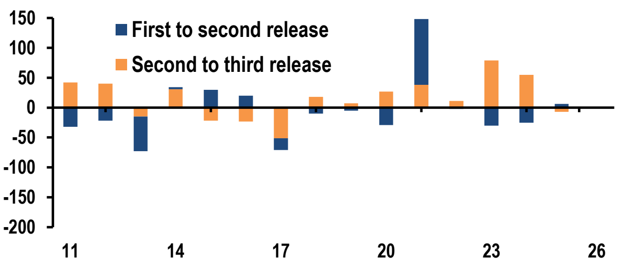


Source: BLS, J.P. Morgan

As for future revisions to August, there isn't clear directionality on the first revision, though there may be a tendency for the second revision to be positive.

Revisions to August nonfarm payrolls

000s, sa



Source: BLS, J.P. Morgan

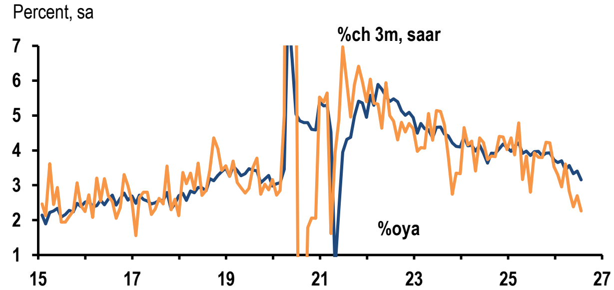
Hours and earnings

After chopping back and forth between 34.2 and 34.3 hours, the workweek has managed to hold at 34.3 for four straight months in a sign of an improving jobs market, and we expect that to again remain stable.

Average hourly earnings have continued to soften, rising just 0.05%m/m in July, and we expect some recovery in August. Growth rates can be higher when there are fewer weekdays in the month. August can have 21 to 23 weekdays, and this year there are just 21, another reason to expect higher earnings. We look for growth of 0.25%m/m.

Average hourly earnings growth

Percent, sa



Source: BLS, J.P. Morgan

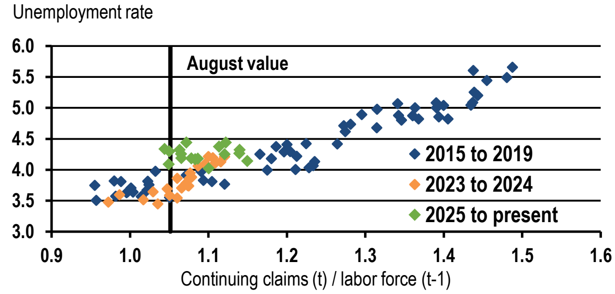
Household survey

The unrounded unemployment rate has fallen steadily for three straight months, including a 10bp drop from June to July, to 4.09%. We expect the rounded rate to hold at 4.1%, though continuing claims do suggest downward pressure on the rate could continue over time.

Leading indicators of unemployment have all started to turn in a better direction recently. While continuing claims had begun to improve late last year and the Manpower survey in June, the NFIB measure of hiring plans and the Conference Board labor market differential had continued to weaken. But both of those measures have started to improve, with the NFIB gaining in July and the labor market differential in August. Both continuing claims and the NFIB metric suggest the unemployment should keep gradually declining over time. The Conference Board measure is less clear on that, as it only improved back to where it was in April.

Unemployment rate vs. continuing claims to labor force ratio

Unemployment rate



Source: Department of Labor, BLS, J.P. Morgan

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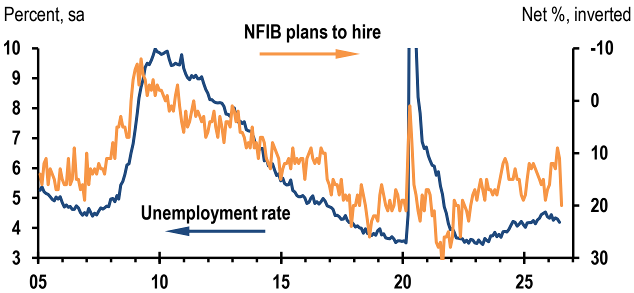
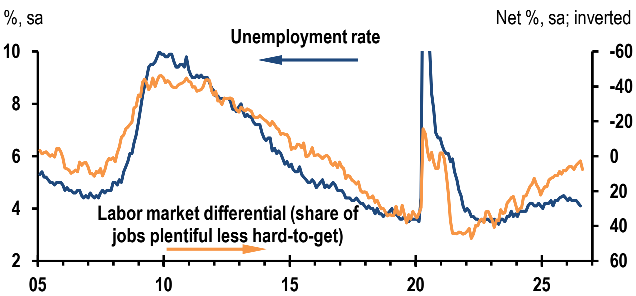
Unemployment rate vs. NFIB plans to hire



Source: BLS, NFIB, J.P. Morgan

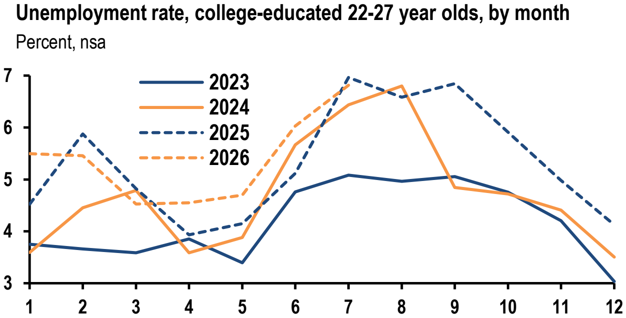
Unemployment rate and Conference Board labor market differential



Source: BLS, Conference Board, J.P. Morgan

In terms of seasonal effects on unemployment, younger college graduates have recently tended to exhibit higher unemployment during the summer than they did back in 2023, or when the unemployment rate was at a similar level in the pre-COVID period. This pattern has continued to play out this year and at the margin could put upward pressure on the unemployment rate, though so far this hasn't stopped the overall rate from continuing to drop.

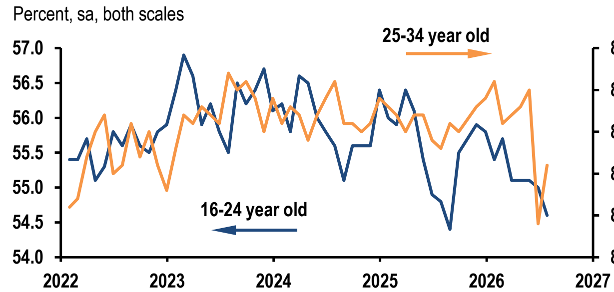
Unemployment rate, college-educated 22-27 year olds, by month



Source: BLS, J.P. Morgan

The overall participation rate has continued to grind lower, falling from 61.8% in May to 61.5% in June and 61.4% in July. We look for it to increase back to 61.5% in August. There is residual seasonality in the 16-24 year old population that will probably keep pushing down that age group's rate through August, though an unusual drop in the 25-34 year old group in June has only partially reversed, and thus still likely has room to rise in August. The 25-34 year old labor force is almost twice as large as the 16-24 year old segment.

Participation rate by age group



Source: BLS, J.P. Morgan

Review of past week's data

Sources for all: ADP/Moody's Analytics, BEA, BLS, Census Bureau, Conference Board, Department of Labor, Federal Reserve Board, ISM, J.P. Morgan forecasts, NAHB, NAR, NFIB, NY Fed, Philadelphia Fed, S&P Global, Standard & Poor's, University of Michigan, US Treasury

New home sales (Aug 25)

	May		Jun		Jul	
Total (000s,saar)	~~618~~	630	~~628~~	678	~~620~~	607
%m/m	~~-4.3~~	-1.7	~~1.6~~	7.6	~~-1.3~~	-10.5
%oya nsa	~~-1.8~~	0.0	~~-5.3~~	3.5	~~-4.3~~	-5.7
Months' supply	9.4			8.5		9.6
Median price (%oya)	~~-3.0~~	-2.0				-0.9

New home sales fell 10.5%m/m in July to 607k saar, the slowest pace since January. While upward revisions to the prior two months softened the decline, sales still stood 3.4% below June's initially reported level. Demand remains subdued more broadly. The three-month average of sales stands at 638k saar, 6% below the 2025 pace. Regional details were mixed. Sales fell sharply in the South, the largest homebuilding region, and dropped to their weakest pace since 2012 in the Midwest. Sales increased in the Northeast and West.

Consumer confidence (Aug 25)

Sa

	Jun	Jul		Aug	
Conference Bd index	92.2	~~90.8~~	90.2	~~91.0~~	89.4
Present situation	118.5	~~114.9~~	114.4		121.2
Jobs plentiful	25.5	~~24.6~~	24.4		27.0
Jobs hard to get	21.7	~~21.5~~	21.7		19.5
Labor mkt diff	3.8	3.1			7.5
Expectations	74.7	~~74.7~~	74.0		68.2

The Conference Board consumer confidence index slipped to 89.4 in August from 90.2 in July, but the present situation index rose close to 7pts as households reported a better view of job conditions. The labor market differential, which hit a cycle low of 2.7% last month, increased to 7.5% in August, the highest since April. The labor market differential, traditionally a good contemporaneous indicator of unemployment,

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had steadily deteriorated through last month. But even after the August bounce, the differential is still worse than it was late last year, when the unemployment rate was peaking.

Personal income (Aug 26)

%m/m, sa, unless noted

	May		Jun		Jul	
Personal income	0.7		~~0.2~~	*0.2*	~~0.2~~	*0.4*
Wages & salaries	~~0.4~~	*0.4*	0.2		~~0.1~~	*0.3*
Disposable personal income	~~0.7~~	*0.7*	~~0.2~~	*0.2*	~~0.2~~	*0.5*
Real disposable personal incor	~~0.2~~	*0.2*	~~0.3~~	*0.3*	~~0.1~~	*0.4*
Consumption	~~0.9~~	*0.9*	~~0.3~~	*0.3*	~~0.2~~	*0.2*
Real consumption	0.4		~~0.4~~	*0.4*	~~0.0~~	*0.0*
PCE price index	0.5		-0.1		~~0.16~~	*0.16*
PCE price index (%oya)	4.1		3.7		~~3.66~~	*3.70*
Core price index	0.3		0.1		~~0.25~~	*0.25*
Core price index (%oya)	3.4		3.3		~~3.29~~	*3.34*
Mkt-Based Core	0.2		0.2			*0.2*
Mkt-Based Core (%oya)	3.2		3.0			*3.0*
Saving rate	~~2.8~~	*2.8*	~~2.7~~	*2.6*	~~2.7~~	*3.0*

The core PCE deflator rose 0.25%m/m (3.34%oya, 3.0% 3m saar). Overall, core PCE inflation still looks pretty firm on both an over-year-ago or three-month basis. Over the last three months, the core PCE has continued to run well above core CPI, with a gap of 1.4%-pt over that period. One piece of good news was that the market-based core rose just 0.15%m/m (3.0%oya, 2.3% 3m saar), as portfolio management fees again made a large contribution to overall core. Real consumer spending was flat. A drop in motor vehicle sales, along with a shift in Amazon's Prime Day event from July to June this year, contributed to a soft July spending figure. Income was better than expected, with personal income rising 0.4%m/m (JPMC and consensus: 0.2%) and disposable personal income up 0.5%. Income was supported by compensation growth of 0.3%, and this month lacked some of the noise caused by farm support payments over the first half of the year.

Gross domestic product (Aug 26)

%ch, q/q, saar, real, unless noted

	1Q26		Adv 2Q26	Sec 2Q26	
Real GDP	2.1		2.0	~~1.6~~	*1.5*
(%oya)	2.7		2.7	2.1	
Final Sales	1.9		1.6	~~2.3~~	*2.2*
(%oya)	3.5		3.4	~~2.2~~	*2.2*
Domestic final sales	2.2		2.8	~~3.3~~	*3.3*
(%oya)	2.0		2.1	~~2.2~~	*2.2*
Net exports (pct.pt.contr.)	-0.4		-1.3	~~-1.0~~	*-1.1*
Inventories (pct.pt.contr.)	0.2		0.4	~~-0.7~~	*-0.7*
Consumption	0.5		1.6	~~3.4~~	*3.4*
Equipment	15.8		17.2	~~15.5~~	*13.6*
Intellectual property	13.8		13.0	~~8.3~~	*8.8*
Nonres. structures	-4.7		-6.7	~~-5.0~~	*-1.8*
Residential investment	-7.8		-8.0	~~1.5~~	*1.3*
Government	4.4		4.4	~~-0.8~~	*-1.0*
Exports	10.9		12.9	~~4.5~~	*4.5*
Imports	11.8		21.4	~~11.5~~	*12.5*
Net exports ($bn)	-1001.8		-1067.5	~~-1073.4~~	*-1083.7*
Inventories (ch, $bn)	-16.7		-7.5	~~-50.8~~	*-53.1*
Nominal GDP	5.8		5.6	~~7.9~~	*8.0*
(%oya)	6.1		6.0	~~6.5~~	*6.6*
GDP chain price index	3.6		3.6		*6.4*
(%oya)	3.3		3.3		
PCE price index	0.5		1.6		*3.4*
(%oya)	3.1		3.1		*3.9*
Core PCE price index	4.4		4.3		*3.6*
(%oya)	3.1		3.1		
Corporate proifts (%q/q, sa)	1.7			~~8.9~~	*9.1*
(%oya)	12.8			~~14.2~~	*22.8*
Employee compensation	~~3.4~~	*3.4*	4.0		*3.6*
(%oya)	~~3.7~~	*3.7*	4.3		*3.9*
Wages and salaries	~~3.4~~	*3.4*	4.1		*3.6*
(%oya)	~~3.6~~	*3.6*	4.3		*3.9*

In the second revision to 2Q GDP, real headline growth was unchanged at 1.5% between the first and second release, and there were only minor changes in the details, the most notable of which were a 3.2%-pt upward revision to nonresidential structures and a 1.6%-pt downward revision to equipment investment. Pre-tax corporate profits had a strong quarter, rising 9.1%q/q (not annualized), the best gain in five years. Over the last year profits have jumped 23%. Excluding COVID and the post-GFC rebound you would have to go all the way back to 2004 to see a strong four-quarter change.

Durable goods (Aug 26)

%m/m, sa

	May	Jun	Jul	
New orders	-4.0	0.5	~~0.4~~	*1.1*
Ex transportation	1.8	0.7	~~0.6~~	*0.4*
Nondef cap. gds ex air	1.9	1.2	~~0.4~~	*0.2*
Shipments	1.1	0.8	~~0.3~~	*1.0*
Ex transportation	0.9	1.1	~~0.6~~	*0.8*
Nondef cap. gds ex air	0.1	2.0	~~0.4~~	*1.4*
Inventories	0.2	0.1		*0.3*

The July durable goods report showed continued solid growth in key categories. Total durable goods orders rose 1.1% in July, led by a 10.6% increase in the aircraft segment. Excluding transportation, orders increased 0.4%, while core capital goods orders (nondefense ex aircraft) rose 0.2% following an upwardly revised 1.7% gain in June. Shipments also remained firm, increasing 1.0% overall, 0.8% ex transportation, and

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1.4% for core capital goods.

Business inventories (adv.) (Aug 27)
%m/m, sa, unless noted

	May	Jun		Jul	
Wholesale	0.3	~~0.2~~	*0.3*	~~0.2~~	*1.3*
Retail inventories	0.8	~~-0.2~~	*-0.2*	~~0.4~~	*0.7*
Ex autos	0.7	-0.4		~~0.4~~	*0.7*
Autos	0.9	~~0.4~~	*0.5*	~~0.3~~	

International trade (adv.) (Aug 27)
$bn, samr, unless noted

	May		Jun		Jul	
Balance of goods, Cen. Basis	~~-105.3~~	*-105.3*	~~-101.4~~	*-101.4*	~~-105.0~~	*-118.8*
Exports (%samr)	~~-5.0~~	*-5.0*	~~-1.8~~	*-1.8*	~~2.0~~	*-2.9*
Imports (%samr)	~~4.0~~	*4.0*	~~-2.4~~	*-2.4*	~~2.5~~	*3.7*

The advance economic indicators showed an unexpected widening in the trade deficit in July, though with some offset from robust growth in nominal inventories. The goods deficit widened $17.4bn, as exports fell 2.9%m/m and imports rose 3.7%. The import rise was driven entirely by capital goods, and the capital goods deficit widened $12.3bn, which is good for domestic equipment investment. The drop in exports was driven by industrial supplies, which include petroleum, and excluding industrial supplies exports rose 2.4%. Meanwhile, total business inventories rose 0.8% in July.

Consumer sentiment (Aug 28)

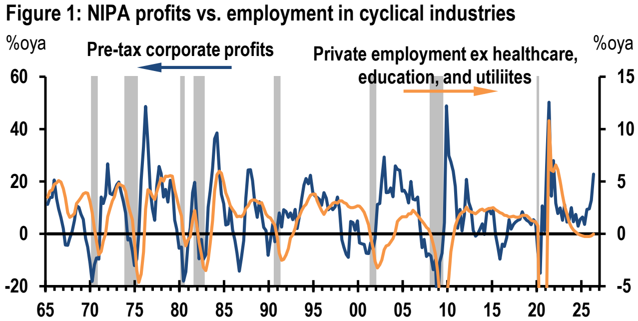
	Jul	Pre Aug	Fin Aug	
Univ. of Mich. Index (nsa)	55.2	51.0	~~51.0~~	*51.7*
Current conditions	54.8	51.8		*51.9*
Expectations	55.4	50.6		*51.5*
Inflation expectations				
Short term	4.2	4.3		*4.0*
Long term	3.3	3.3		*3.3*

The University of Michigan consumer sentiment index rose to 51.7 in the final August report from 51.0 in the preliminary print and down from 55.2 in July. Most of this improvement was reflected in the expectations index, which increased 0.9 points from the early August survey. This was also coupled with lower short-term inflation expectations, which inched down to 4.0% after rising to 4.3% earlier this month, while the long-term metric of inflation expectations continued to remain stable at 3.3%.

US Focus: The effect of soaring profits

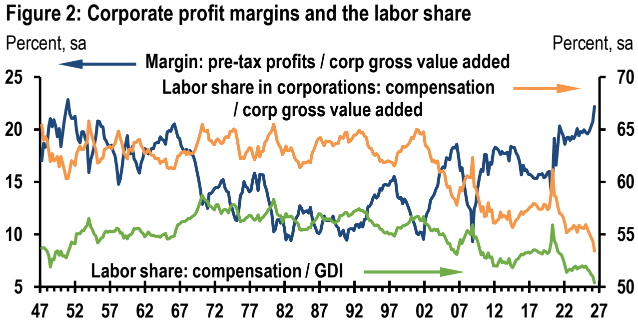
Nominal pre-tax corporate profits in the national income and product accounts (NIPA) were very robust in both 2Q (41% ar) and over the last year (23%). Excluding post-recession spikes, we haven't seen a year this strong since the mid-2000s. This kind of profit growth should eventually translate into stronger labor demand, a point discussed more in the global context here. Since the mid-1980s, there has been a somewhat loose relationship between profits and employment gains during expansions, and weak population growth could continue to depress absolute job gains relative to past cycles (Figure 1). But the key point is that despite already-low unemployment, we aren't seeing the typical late-cycle compression in profits as wage costs accelerate. That provides a runway for firms to grow hiring and possibly wages, supporting our view that the unemployment rate will remain at low levels. Indeed, given recent trends in indicators such as continuing claims, there is an increasing risk that the unemployment rate will dip below our forecast's 4.0% floor.

Figure 1: NIPA profits vs. employment in cyclical industries



Source: BEA, BLS, J.P. Morgan

Figure 2: Corporate profit margins and the labor share



Source: BEA, J.P. Morgan

In absolute terms, corporate profits can grow owing to faster GDP growth, a larger role for corporate business in the economy, or higher margins. Higher margins are the key driver, as 23%oya domestic profit growth was far in excess of the 8% increase in corporate value added. Profit margins (pre-tax profits divided by value added) increased close to 250bp over the last year, and are approaching all-time highs, whereas the labor share is hitting new lows (Figure 2). Note that the 2Q profit improvement is not related to IEEPA refunds, which don't affect NIPA profits. Lower post-IEEPA tariffs also played only a small role in the 2Q profit increase: annualized profits rose $400bn q/q whereas customs duties ex IEEPA refunds—which subtract from pre-tax profits—only fell $20bn.

One possible source of slippage between profits and hiring could be the industry makeup of rapid profit growth. The industry breakdown for 2Q is not yet available, so we illustrate by looking at net income for S&P 500 firms (Table 1). Over half of profit growth in the last year has come just in technology. That industry has been steadily losing employment since late 2022 and is well below the pre-COVID trend, despite consistently high earnings. And while we aren't overly worried about an AI-induced job apocalypse, some of the profit growth here is arguably premised on the idea of saving labor in other sectors.

Table 1: Change in S&P 500 net income ($bn)

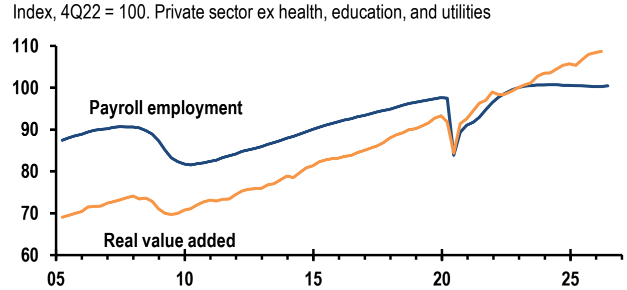
	2Q26 - 1Q26	2Q26 - 2Q25	2Q26 (12m) - 2Q25 (12m)
Energy	34	35	35
Materials	4	5	12
Industrials	10	8	22
Discretionary	39	47	69
Staples	5	4	9
HealthCare	-4	-5	-3
Financials	27	38	115
Technology & Comm Svcs	85	184	363
Utilities	-1	1	3
Real Estate	-1	0	5
Total	196	316	629
Memo: Tech & Comm Svcs / Total (%)	43	58	58

Source: FacetSet, I/B/E/S, J.P. Morgan

One other point of caution is that high profit margins in prior quarters didn't translate into much job growth, although the unemployment rate stayed low. Per Figure 2, while profit margins jumped in the last year they were already at historically high levels ever since COVID. However, employment growth in the cyclically sensitive part of the labor market — the private sector less health, education, and utilities — has mostly flat-lined since 2022, despite rising output (Figure 3).

Figure 3: Real value added vs. employment in cyclical sectors

Index, 4Q22 = 100. Private sector ex health, education, and utilities



Source: BEA, BLS, J.P. Morgan

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Euro area

- **More signs of resilient growth, with surveys moving to above-potential levels**
- **German economy has grown at almost a 1.5%ar over the past three quarters, as the IFO jumps**
- **German rebound offsets weakness in France, but French data also firmer into 3Q26**
- **Higher headline and (a tick) lower core inflation in France/Spain; ECB to hike in September**

Having absorbed the trade war surprisingly well in 2025, we expected fading trade policy risks and increased German fiscal delivery to push Euro area growth to an above-potential 1.75%ar by 2H26. The Iran war interrupted this, prompting us to revise growth lower. Incoming data, however, continue to show a surprisingly modest energy impact. Last week, the Euro area composite PMI for August consolidated a large 2pt jump in July, keeping the GDP growth signal at 1.4%ar. This week's data reinforce that message: while French GDP was revised down in 2Q26, German GDP growth was revised higher, and both economic sentiment and credit growth have also picked up.

Risks have not disappeared: oil prices remain elevated, natural gas prices are testing new highs and the situation in the Middle East remains hard to gauge. The pickup signaled by the PMI in July/August has, however, come despite the reintensification of the energy markets and the record heat across Europe, which has caused disruptions due to low water levels in key rivers.

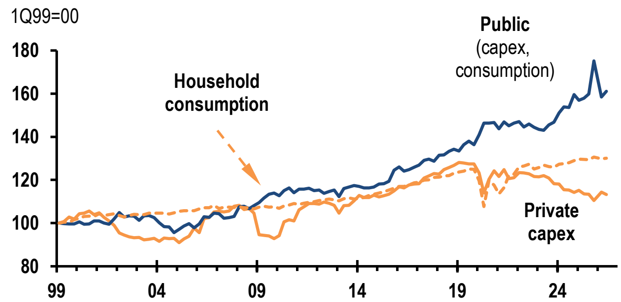
This resilience keeps growth risks tilted to the upside for 2H26, despite the upward revisions we have already made. Incoming growth news is significantly firmer than the ECB staff's June projections and makes a September hike effectively a done deal. That is also suggested by the French and Spanish flash inflation prints for August, which showed significant increases in headline inflation. The bigger question is whether the ECB will deliver another hike beyond September. Core inflation may have nudged lower in August and the pricing indices in the business surveys have continued to moderate despite the renewed increases in energy prices. A more benign inflation narrative therefore remains possible, although that would likely require energy prices to moderate again in the next 2-3 months. The risk around our ECB rate call is skewed to a third hike in December.

German economy returns to solid growth

This week's final GDP report for 2Q26 shows a German economy having grown effectively at a 1.5%ar over the past three quarters, bringing to an end a three-year period of stagnation. That was back up by a larger-than-expected jump in the IFO in August, which reinforced the signal from the German PMI of accelerating momentum.

Fiscal policy is an important part of this. The deficit has widened to an average 4% of GDP in the last three quarters, whereas it was set to consolidate to below 2% of GDP before last year's fiscal sea change. The impact is seen in higher public investment and higher public consumption. Public capex spiked in 4Q25 and has settled lower in 1H26, but this reflects lumpy spending on defence/infrastructure and therefore should likely be averaged over multiple quarters (Figure 1). We expect the fiscal delivery of defence and infrastructure spending to make further progress in the coming quarters.

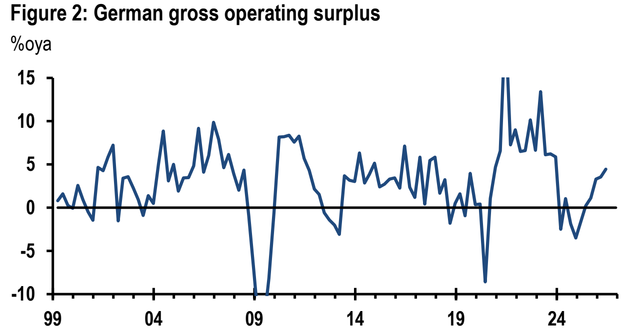
Figure 1: Germany domestic final sales



Source: Destatis, J.P. Morgan

For now, the growth in consumer spending has softened somewhat and private capex has only managed to stabilise. Households have, however, been impacted by the jump in energy prices and private capex may still have been held back by a slow delivery of the government's reform agenda. The latter has improved over the summer and the pickup in the IFO may suggest that the government is managing to turn the narrative. That the pickup in GDP growth has yet to translate into a firmer labour market is already acting to boost corporate profits and raise labour productivity (Figure 2 and 3).

Figure 2: German gross operating surplus



Source: Destatis, Eurostat, J.P. Morgan

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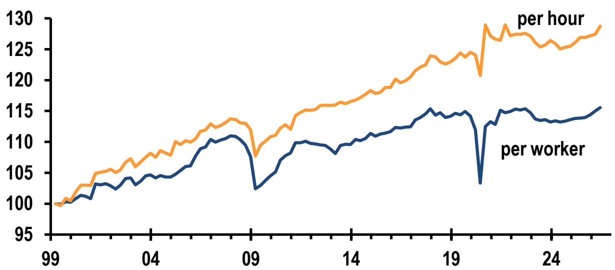
Figure 3: German labour productivity

1Q99=100



Source: Destatis, J.P. Morgan

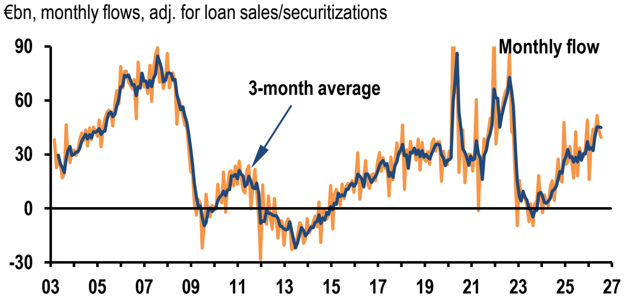
The 0.4%-pt upward revision of German 2Q26 growth was offset by a downward revision in France. This keeps Euro area GDP showing an above-potential pace over the past three quarters, but leaves France underperforming. In fact, French GDP currently shows contraction in 1H26 after near-1% growth last year. The silver lining is that higher-frequency indicators look better at the start of 3Q26. The French PMI has also improved and is signaling positive growth so far in 3Q26, while the INSEE is even firmer. Consumption of goods posted a third consecutive monthly gain in July, putting the July level over 4%ar above the 2Q26 average.

Bank lending accelerates further

The news on growth has been firmer than the ECB staff forecast, making upward revisions at the September meeting likely. The ECB will also look at the credit data as an indicator of how monetary policy is affecting growth. The latest M3 report suggests that the current rates level is not very restrictive. Despite the ongoing geopolitical uncertainties and structural challenges facing the region, credit growth has continued to pick up, with net lending of €39bn in July (4.4%3m3m saar), firmer than pre-pandemic when the policy rate was still much lower. This week, ECB Governing Council Radev said that the neutral rate was "probably around 2.5%", a bit higher than the official staff analysis.

Figure 4: Euro area bank lending to the real economy

€bn, monthly flows, adj. for loan sales/securitizations



Source: ECB, J.P. Morgan

July minutes lean hawkish

The ECB was on hold in July after having hiked in June. "All" members of the Governing Council agreed to "pause" at the meeting, although "some" would not have opposed a hike. The decision to pause was not controversial as the June inflation report was softer than expected, wage signals remained quite contained, inflation expectations were still seen as anchored and the situation in the Middle East was "fragile, rather than acute". The additional information that would become available by September (new staff forecasts, 2Q26 GDP, two more inflation prints, etc.) also argued for a pause, as did the credibility the ECB bought itself by hiking in June.

Those who would have supported a hike saw a "low likelihood" of not needing to do more (i.e. move into "mildly restrictive" territory) and therefore saw "low" value in waiting. They were pessimistic about a durable resolution in the Middle East, they worried that this would eventually generate indirect and second-round effects, and they pointed to better-than-expected growth as making it easier for firms to pass on costs. Other members also saw upside risks on inflation, but felt less rushed to deliver a back-to-back hike. The compromise was to pause, whilst emphasizing commitment to meeting the inflation target and that a pause did not necessarily mean the end of the tightening cycle.

The recent data are leaning in the direction of the hawkish near-dissenters, as they reinforce the upside risks on growth. Another hawkish point from the minutes was that "insurance" hikes could be appropriate in future, whereas the June hike had to clear a higher threshold (i.e. be robust across all staff scenarios including a milder one). Such insurance moves are easier to deliver when growth is resilient.

Energy pushing inflation higher again

The French and Spanish flash inflation prints for August showed headline inflation rising 0.3%-pt and 0.6%-pt, respectively. This was likely due to the energy component as core inflation nudged lower in both countries in August while food inflation continues to surprise on the downside.

In the EC survey, corporates' pricing intentions moderated further in August. The moderation has been a bit less pronounced than in the PMI output price index, but the direction is noteworthy given the renewed increases in energy prices over the past two months. Both surveys are still signaling underlying price pressures at around 2.5% but that could ease further if the situation in the Middle East were to improve (which is uncertain). For next week, we expect Euro area inflation to also show an increase in headline inflation alongside a 0.1%-pt decline in core inflation.

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Data releases and forecasts

Week of August 31- September 4

Purchasing managers index final - manufacturing

		Jun	Jul	Flash Aug	Final Aug
Tue	**Euro area**				
Sep 1	Manufacturing - Headline	51.4	51.9	52.8	52.8
10:00am	Manufacturing - Output	51.7	52.9	53.4	53.4

The Euro area manufacturing PMI increased for the third consecutive month in August according to the flash report. The German press release noted support from higher defence spending and AI data centre build-outs. The details were solid as the orders-to-inventory ratio improved further and the employment index posted a large 1.4pt gain. If confirmed, the PMI would be signaling a return to steady IP growth. The pickup has been particularly pronounced in Germany. The French manufacturing PMI improved around 2pts in the flash report, which we expect to the confirmed, while the rest of the region may have declined, albeit from a firmer starting point. Overall, this would leave Germany as the big mover, while the rest of the region is seeing more steady growth in manufacturing.

Purchasing managers index final

		Jun	Jul	Flash Aug	Final Aug
Tue	**Germany**				
Sep 1	Manufacturing - Headline	50.3	52.2	54.1	54.1
9:55am	Manufacturing - Output	51.6	54.7	56.7	56.7

Purchasing managers index final

		Jun	Jul	Flash Aug	Final Aug
Tue	**France**				_
Sep 1	Manufacturing - Headline	51.2	49.8	51.5	51.5
9:50am	Manufacturing - Output	49.1	48.5	50.7	50.7

Purchasing managers index final

		May	Jun	Jul	Aug
Tue	**Italy**				_
Sep 1	Manufacturing - Headline	52.9	52.2	51.3	51.1
9:45am	Manufacturing - Output	53.2	52.8	52.3	51.0

Purchasing managers index final

		May	Jun	Jul	Aug
Tue	**Spain**				_
Sep 1	Manufacturing - Headline	51.2	49.7	50.2	49.9
9:15am	Manufacturing - Output	50.6	49.3	49.1	47.8

Real GDP

		4Q25	1Q26	Flash 2Q26	Final 2Q26
Tue	**Italy (final)**				
Sep 1	%q/q, sa	0.3	0.3	0.2	0.2
8:45am	%q/q, saar	1.2	1.1	0.9	0.9
	%oya	0.9	0.8	1.0	1.0
	GDP components (%q/q, saar)				
	Private consumption	0.4	2.2		_
	Government consumption	0.7	-0.2		_
	Fixed investment	4.0	2.8		_
	Exports	-3.9	9.0		_
	Imports	5.4	-3.0		_
	Contribution to GDP growth (%q/q, saar)				
	Domestic final sales	1.2	1.8		_
	Inventories	2.8	-4.2		_
	Net trade	-2.7	3.6		_

Purchasing managers index final - services & composite

		Jun	Jul	Flash Aug	Final Aug
Thu	**Euro area**				
Sep 3	Services - Activity	49.4	51.7	51.7	51.7
10:00am	Composite - Output	50.0	52.0	52.1	52.1
	Composite- Employment	49.9	50.0	50.7	50.7
	Composite - New Orders	49.2	52.0	52.2	52.2
	Composite - Future Output	58.1	58.7	58.0	58.0
	Composite - Input Prices	64.4	62.9	62.6	62.6
	Composite - Output Prices	55.7	54.7	54.0	54.0

The Euro area composite PMI has improved solidly even as an uncertain situation in the Strait of Hormuz has pushed energy prices higher. The flash report for August showed the composite PMI nudging higher, consolidating a large 2pt jump in July. At its current level, it is consistent with GDP growth at a 1.4%ar. Apart from a modest decline in future output expectations, other details were solid. The composite employment index rose 0.7pt to a level consistent with private sector jobs growth at comfortably above a 0.5%ar. Composite new orders were up 3pts over July and August, while the PMI output price index continued to moderate. The latter is remarkable given the renewed increases in energy prices. We expect these messages to be confirmed in the final report. Finally, we note that at the sector level, the PMI services activity index is lower than the manufacturing output index, but this gap is modest and therefore not a source of concern.

At the country level, the flash report was modestly lower in Germany and France, in both cases due to services. That implies a 1pt increase in the rest of the region, driven by a 2pt increase in services. The latter would put services outside of Germany and France at a very strong 57pts.

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Purchasing managers index final - services & composite

				Flash	Final
		Jun	Jul	Aug	Aug
Thu	**Germany**				
Sep 3	Services - Activity	48.6	49.8	48.5	48.5
9:55am	Composite - Output	49.5	51.3	51.0	51.0

Purchasing managers index final - services & composite

				Flash	Final
		Jun	Jul	Aug	Aug
Thu	**France**				
Sep 3	Services - Activity	46.8	49.6	48.4	48.4
9:50am	Composite - Output	47.2	49.4	48.8	48.8

Purchasing managers index final - services & composite

		May	Jun	Jul	Aug
Thu	**Italy**				
Sep 3	Services - Activity	49.4	50.2	52.5	55.2
9:45am	Composite - Output	50.4	50.8	52.5	54.1

Purchasing managers index final - services & composite

		May	Jun	Jul	Aug
Thu	**Spain**				
Sep 3	Services - Activity	50.1	54.2	58.3	60.9
9:15am	Composite - Output	50.2	53.3	56.5	58.2

Manufacturing orders

		Apr	May	Jun	Jul
Fri	**Germany**				
Sep 4	Volumes, sa				
8:00am	Total (%m/m)	-3.2	0.3	3.1	-1.0
	%oya	2.1	4.7	6.8	
	Total ex. bulk orders (%m/m)	-3.3	-0.6	-0.5	1.0
	%oya	1.9	4.7	3.6	
	Domestic (%m/m)	-2.4	1.3	7.8	
	%oya	-2.6	6.6	13.5	
	Foreign (%m/m)	-3.8	-0.3	0.2	
	%oya	5.2	3.4	2.6	

The new orders index of the German manufacturing PMI jumped 3pts in August to 55.1, signaling a return to growth at around a 2-3%ar. Actual orders rose almost 6%q/q saar in 2Q26, but recent months and quarters have been very noisy. This is partly due to the lumpiness of defence orders, which are recorded in full in the month they are placed. Ex-bulk orders were broadly unchanged in 2Q26, but had been on a solid upward trend in the prior two quarters. We expect that upward trend to re-establish itself in July, with ex-bulk orders rising 1%m/m even as total orders fall due to some temporary payback on bulk orders.

Unemployment

Harmonized measure (Eurostat)

		Apr	May	Jun	Jul
Tue	**Euro area**				
Sep 1	Unemployment rate (%, sa)	6.3	6.3	6.3	6.3
11:00am	Unemployment (ch m/m, 000s)	-87.0	-65.0	71.0	

The recent stability of the Euro area unemployment rate at 6.3% hides significant monthly volatility in the number of unemployed. That volatility often comes from Italy and Greece, and makes it hard to gauge if the unemployment rate will nudge down or not. Pressure is likely skewed in that direction due to the recent pickup in growth and our forecast has the unemployment rate nudging lower over the next few quarters. We have, however, penciled in a stable outcome for July.

Retail sales

		Apr	May	Jun	Jul
Fri	**Euro area**				
Sep 4	Sales ex. autos and petroleum, volumes, sa				
11:00am	%m/m	-0.4	0.4	-0.3	0.2
	%oya	1.0	1.9	0.7	

We expect Euro area retail sales to have increased 0.2%m/m in July. This would leave retail sales getting off to a soft start in 3Q26 as the level would only be 0.2%ar above the 2Q26 average. Our forecast for total consumption is 1.25%q/q saar. The past data can, however, get revised higher and retail spending may also improve later in the quarter. What is hard to gauge is the impact of the hot weather.

Retail sales

		Apr	May	Jun	Jul
Tue	**Germany**				
Sep 1	Sales ex. autos, volumes, sa				
8:00am	%m/m	-0.4	1.1	-0.7	0.5
	%oya	-0.4	2.1	0.0	

German retail sales rose at a relatively steady 1-1.5% annualized pace in 4Q25 and 1Q26, before softening to 0.4%q/q saar in 2Q26. The government's temporary energy price support measure expired in July and global energy prices began to increase again as tensions in the Middle East intensified. High heat may also have impacted retail spending, although this effect is less clear-cut. Overall, we have penciled in a partial recovery from June's decline.

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J.P.Morgan

Import and export price indexes

		Apr	May	Jun	Jul
Mon	**Germany**				
Aug 31	Terms of trade				
8:00am	%m/m, sa	-0.4	-0.2	0.6	
	%oya, sa	-2.4	-3.1	-2.3	
	Export prices				
	%m/m, nsa	0.8	0.5	0.1	
	%oya, nsa	2.9	3.4	3.5	
	Import prices				
	%m/m, nsa	1.2	0.7	-0.7	_
	%oya, nsa	5.3	6.8	6.1	_

Consumer prices

		May	Jun	Jul	Aug
Tue	**Euro area (flash)**				
Sep 1	%oya, unless otherwise stated				
11:00am					
	HICP	3.2	2.8	2.9	3.3
	Core	2.6	2.4	2.5	2.4
	Core goods	0.9	0.7	0.9	0.9
	Services	3.5	3.2	3.3	3.3
	Energy	10.8	8.5	10.3	13.8
	Food	1.9	1.5	1.2	1.4
	HICP (%m/m, sa ECB)	0.0	-0.1	0.5	0.4
	Core	0.2	0.1	0.3	0.2
	Core goods	0.1	-0.1	0.4	0.0
	Services	0.2	0.3	0.2	0.2
	Energy, nsa	-1.2	-1.8	2.7	2.5
	Food	-0.1	-0.1	0.1	0.4

We expect headline inflation to increase 0.4%-pt to 3.3%oya, driven by the renewed increases in energy prices. While oil prices stabilized after increasing at the start of August, natural gas prices have increased throughout the month. That makes the exact impact on the HICP harder to gauge although the pass-through to household gas bills tends to be somewhat delayed. In contrast, food inflation likely remained surprisingly low, although upward pressures remain in place for the coming months. Finally, we expect core inflation to decline 0.1%-pt to 2.4%oya reflecting a more modest monthly gain. The latter would be closer to the ECB target pace, after a few firmer months. Nevertheless, we currently think that core inflation will still increase and reach 2.6%oya by January.

Consumer prices

		May	Jun	Jul	Aug
Mon	**Germany (prelim)**				
Aug 31	%oya, unless stated otherwise				
2:00pm					
	HICP	2.7	2.4	2.8	2.9
	CPI	2.6	2.3	2.8	2.8
	%m/m, nsa	-0.2	-0.3	0.8	0.1
	Core CPI	2.5	2.5	2.4	2.4
	%m/m, nsa	0.4	0.1	0.3	0.0
	Baden Wuerttemberg (%oya)	2.4	2.1	2.5	2.6
	Bavaria (%oya)	2.6	2.5	2.8	2.8
	Brandenburg (%oya)	2.8	2.4	2.7	2.8
	Hesse (%oya)	2.6	2.3	2.7	2.9
	North-Rhine West (%oya)	2.4	2.1	2.7	2.7
	Saxony (%oya)	2.8	2.3	2.8	2.9

Consumer prices

		May	Jun	Jul	Aug
Tue	**Italy (prelim)**				
Sep 1	%oya, unless otherwise stated				
11:00am					
	HICP	3.2	3.0	2.9	3.3
	CPI	3.2	3.0	2.9	3.3
	%m/m, nsa	0.4	0.0	0.3	0.5

Producer prices

		Apr	May	Jun	Jul
Thu	**Euro area**				
Sep 3	%m/m, nsa	0.6	0.2	-0.3	_
11:00am	%oya, nsa	4.9	5.9	4.6	_

Producer prices

		Apr	May	Jun	Jul
Wed	**Italy**				
Sep 2	%m/m, nsa	0.3	-0.2	0.0	_
12:00pm	%oya, nsa	6.8	7.3	5.8	_

Source: European Commission, Eurostat, ECB, FSO, Bundesbank, IFO, INSEE, ISAE, Istat, INE, CBS, BNB, Markit, and J.P. Morgan forecasts

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Review of past week's data

Real GDP

	1Q26		Flash 2Q26	Final 2Q26	
Germany (final)					
%q/q, sa	0.4		0.2	~~0.2~~	*0.3*
%q/q, saar	~~1.7~~	*1.8*	0.9	~~0.9~~	*1.3*
%oya	~~0.6~~	*0.7*	0.9	~~0.9~~	*1.0*
GDP components (%q/q saar)					
Private consumption	~~0.1~~	*-2.3*			*0.5*
Government consumption	~~4.7~~	*3.7*			*0.6*
Mach, equip, other investment	~~-4.8~~	*-6.4*			*-5.5*
Construction investment	~~-9.6~~	*-6.9*			*0.4*
Exports	~~13.8~~	*9.8*			*8.0*
Imports	~~0.4~~	*2.2*			*6.3*
Contribution to GDP growth (%q/q saar)					
Domestic final sales	~~0.0~~	*-1.5*			*0.3*
Inventories	~~-3.3~~	*0.3*			*0.2*
Net trade	~~5.1~~	*3.0*			*0.8*

Real GDP

	1Q26		2nd Est. 2Q26	Final 2Q26	
France (final)					
q/q, sa	~~-0.1~~	-0.2	0.2	~~0.2~~	*0.0*
%q/q, saar	~~-0.6~~	*-0.7*	0.7	~~0.7~~	*0.1*
%oya	~~0.8~~	*0.7*	0.7	~~0.7~~	*0.5*
GDP components (%q/q saar)					
Private consumption	~~-1.0~~	*-1.1*	0.7	~~0.7~~	*1.2*
Government consumption	1.1		1.8	~~1.8~~	*1.6*
Fixed investment	~~-3.2~~	*-3.1*	-1.1	~~-1.1~~	*-1.0*
Exports	~~-11.8~~	*-11.5*	10.9	~~10.9~~	*11.9*
Imports	~~-2.8~~	*-2.2*	3.0	~~3.0~~	*4.5*
Contribution to GDP growth (%q/q saar)					
Domestic final sales	~~-0.9~~	*-1.0*	0.6	~~0.6~~	*0.8*
Inventories	3.6		-2.3	~~-2.3~~	*-2.9*
Net trade	~~-3.2~~	*-3.3*	2.5	~~2.5~~	*2.3*

National business surveys

	Jun	Jul		Aug	
German IFO survey					
2015=100, sa					
Business climate	85.7	~~86.6~~	*86.7*	~~86.6~~	*88.8*
Business situation	87.0	86.5		~~86.2~~	*88.5*
Business expectations	84.3	~~86.7~~	*86.8*	~~87.0~~	*89.1*

The German IFO increased more than expected in August. The level remains below the PMI, but we tend to rely on the PMI for tracking German GDP. That the IFO is improving is nevertheless supportive of our forecast that German GDP will pick up further in 2H26.

Economic Sentiment Survey

	Jun		Jul		Aug	
Euro area						
% balance of responses, sa						
Economic confidence	~~95.4~~	*95.6*	~~96.9~~	*97.1*	~~97.3~~	*98.4*
Industrial confidence	-7.5		-6.1		~~-5.0~~	*-5.3*
Construction confidence	-4.8		~~-5.3~~	*-5.2*	~~-4.3~~	*-5.0*
Retail confidence	~~-9.3~~	*-9.2*	~~-6.6~~	*-6.8*	~~-6.3~~	*-5.7*
Service confidence	~~4.2~~	*4.5*	~~4.7~~	*5.1*	~~4.5~~	*5.8*
Consumer confidence	-17.6		-15.9		*-15.5*	

Following last week's solid flash Euro area PMI, the European Commission's economic sentiment also sent a positive message on growth. Sentiment rose 1.3pts to 98.4 in August, reflecting improvements in both consumer and business confidence. The latter was broad-based across sectors. This leaves the surveys signaling above-potential growth at around a 1.4%ar, with recent GDP reports validating such a message. In the detail, the EC survey still showed pricing intentions well above the ECB target, despite some further moderation in August. It also showed employment intentions improving modestly.

National business surveys

	Jun		Jul		Aug	
Italy (ISAE survey)						
2015=100, sa						
Producer confidence	~~88.6~~	*88.7*	~~89.6~~	*89.7*		*89.9*

Labour market

	Jun		Jul		Aug	
Germany						
Unemployment						
Registered (ch m/m, 000s, sa)	~~-1~~	*0*	6		~~0~~	*3*
000s, nsa	2935.9		3007.2			*3061.4*
%, sa	6.3		6.4		*6.4*	
IAB barometer (110=very good, nsa)	99.3		~~99.4~~	*99.5*		*99.5*
	Jun		**Jul**		**Aug**	
Vacancies						
Change m/m, 000s, sa	~~0.0~~	*1.0*	0.0		~~0.0~~	*-1.0*
Employment						
IAB baramoter (110=very good, nsa)	99.9		~~99.4~~	*99.5*		*99.4*
	May		**Jun**		**Jul**	
Change m/m, 000s, sa	-27		-23		~~-10~~	*-14.0*

Even as German GDP has returned to above-potential growth over the past three quarters, the labour market remains soft. The number of unemployed is still edging higher (+3,000 in August), vacancies are moving sideways and employment is still contracting (-14,000 in July). At the same time, the PMI employment index has improved noticeably and usage of the short-time work subsidy scheme has declined. Over time, the pick-up in GDP growth should lead to an improvement in the

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labour market as well. The main positive of the labour market weakness is that labour productivity has picked up on a per worker and per hour basis, which has helped corporate profits to return to firm growth and with elevated unit profits.

Domestic consumption

	May		Jun		Jul	
France						
Consumption of goods, volumes, swda						
%m/m	~~0.3~~	*0.7*	~~0.4~~	*0.6*	~~-0.1~~	*0.5*
%oya	~~0.1~~	*0.4*	~~0.1~~	*0.6*	~~-~~	*1.4*

Producer prices

	May		Jun		Jul	
France						
%m/m, nsa	-0.2		~~-0.6~~	*-0.4*		*1.1*
%oya, nsa	3.1		~~2.6~~	*2.8*		*3.4*

Consumer prices
France (flash)
%oya, unless otherwise stated

	Jun	Jul	Aug	
HICP	2.0	2.4	2.7	
CPI	1.8	2.1	~~2.5~~	*2.4*
%m/m, nsa	-0.3	0.6	~~0.8~~	*0.7*

Consumer prices
Spain (flash)
%oya, unless otherwise stated

	Jun	Jul	Aug	
HICP	3.6	3.8	~~4.4~~	*4.5*
CPI	3.2	~~3.6~~	~~4.2~~	*4.3*
%m/m, nsa	0.6	~~0.3~~	~~0.6~~	*0.7*

M3 and lending

	May		Jun		Jul	
Euro area						
M3 (%m/m sa)	0.4		0.5			*0.0*
M3 (%oya)	3.0		3.3			*3.4*
Loans (%oya)1.	~~3.9~~	*3.8*	~~3.9~~	*3.8*		*4.1*
Loans (m/m, €bn)1.	~~69.2~~	*69.3*	~~55.1~~	*55.5*		*49.9*
Of which	-		-		-	
To households	~~17.1~~	*17.2*	~~17.1~~	*16.9*		*17.0*
To nonfinancial corporates	~~34.3~~	*34.5*	~~25.6~~	*26.8*		*22.4*

1. Loans to nonbank private sector, adjusted for securitization

Source: European Commission, Eurostat, ECB, FSO, Bundesbank, IFO, INSEE, ISAE, Istat, INE, CBS, BNB, Markit, and J.P. Morgan forecasts

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Japan

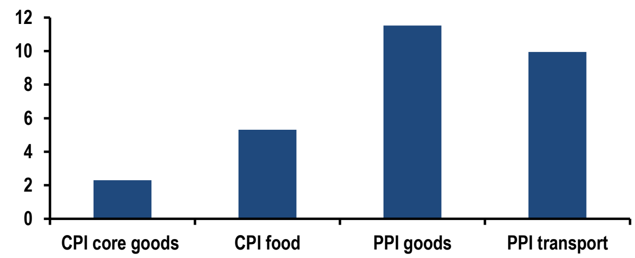
- **Media reports reinforce our view that the primary deficit could widen materially in FY2027**
- **BoJ Deputy Governor Himino highlights upside inflation risks, keeping a September hike firmly on the table**
- **August Tokyo CPI suggests that inflation continues to accelerate**
- **Next week: July IP and retail sales to increase, 2Q corporate profits and capex**

Recent developments regarding next fiscal year's budget continue to indicate the government's commitment to an expansionary fiscal stance. Initial media reports on preliminary FY2027 budget requests from ministries and agencies – which are due to be submitted by the end of this month – were not especially surprising for markets, but they reinforced the view that the primary balance deficit is likely to widen materially. At the same time, debt-servicing costs look set to increase: reflecting the rise in long-term JGB yields, the Ministry of Finance has raised its assumed interest rate on government bonds for FY2027 by 0.8%pts from this fiscal year to 3.8%, and total debt-servicing costs are reportedly set to increase by roughly JPY 5 trillion from the FY26 initial budget. A substantial portion of next year's spending envelope has yet to be pinned down, leaving meaningful upside risk to the eventual outturn; in particular, uncertainty over additional defense outlays and the scale of off-budget growth investment, together with proposed consumption tax cuts on food items that could entail revenue losses of around JPY 5 trillion, skews risks toward an even larger fiscal impulse. Taken together, these factors suggest that market concerns are likely to remain elevated in the near to medium term.

Comments from the BoJ Leadership members were also in focus this week. Governor Ueda did not attend the Jackson Hole meeting due to scheduling constraints. Deputy Governor Himino largely reiterated the BoJ's July policy stance. He emphasized that financial conditions remain accommodative and that the Bank's concerns are increasingly tilted towards upside inflation risks, arguing that the BoJ should pay closer attention to such risks than in the past. Himino avoided giving clear guidance on the timing of the next rate hike or the pace of subsequent tightening, but he did not push back against market expectations for a September move. His statement that rate hikes would be discussed 'at every Monetary Policy Meeting' keeps a September hike firmly on the table, and we continue to expect the next move then. Markets are already pricing in almost two hikes by next January and more than three by next July. As USDJPY gradually rises toward160, currency pressures continue to pose meaningful risks that a slower-than-expected pace of BoJ tightening could risk a sharper yen depreciation from already sensitive levels. While the BoJ is unlikely to explicitly signal an accelerated hiking path, these market pressures could ultimately bring forward additional tightening. We therefore continue to expect another hike in December this year and three further hikes next year.

Figure 1: 6-month changes in Tokyo CPI and PPI

%6m saar. Food excludes fresh food



Source: Statistics Bureau, BoJ, J.P. Morgan. Using August Tokyo CPI and July PPI.

This week's data also underscored the reacceleration in inflation amid heightened underlying price pressures. The BoJ's July services PPI showed that higher energy costs continue to push up transportation costs, which rose 6.4%oya in July. Alongside solid goods PPI, these cost pressures are gradually being passed through to consumer prices (Figure 1). The August Tokyo CPI reinforced this picture. Core goods prices firmed, with a notable increase in petroleum-related products, while food inflation remained elevated. Services inflation also rose above 2%oya excluding policy effects, with notable increases in medical costs and rents – categories that have historically tended to show more muted price trends. Taken together, these developments suggest that underlying inflation, which we believe is already running above 2%, is increasingly skewed to the upside. We expect the CPI trend to accelerate towards year-end, adding pressure on the BoJ and raising the risk that a delayed policy response could prove costly.

Tokyo CPI reinforces the inflation upswing

Tokyo CPI inflation firmed in August, underscoring a re-acceleration in underlying price pressures. The global core measure (ex. food and energy) rose 0.3%m/m sa and accelerated to 1.4%oya, up 0.2%pts from July (Figure 2). The increase in the official core CPI (ex. fresh food) was partially masked by government energy subsidies: the temporary electricity and gas subsidies likely lowered %oya inflation by about 0.4%pts. Even with those subsidies in place, however, official core CPI still rose 0.1%m/m sa and 1.8%oya. The pickup reflects firmer core goods inflation – consistent with more advanced pass-through of higher petroleum-related input costs – as well as continued strength in services prices. Tokyo core inflation measures remain materially suppressed by government mea-

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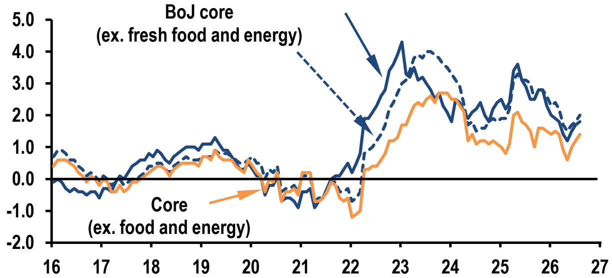
sures, particularly energy subsidies and free nursery fees. Adjusting for these effects suggests that all three core measures are already above the BoJ's 2% target; notably, official core and BoJ core are running at 2.6%oya and 2.5%oya, respectively.

Figure 2: Tokyo core CPI

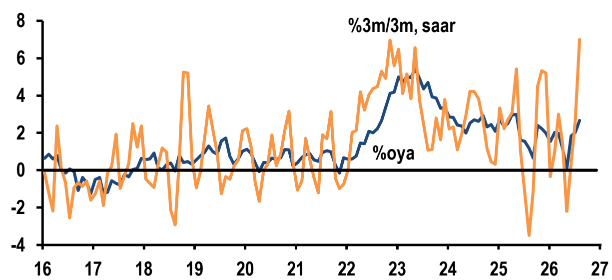
%oya



Source: Statistics Bureau, J.P. Morgan

Figure 3: Core goods (ex. food and energy) prices

% chg.



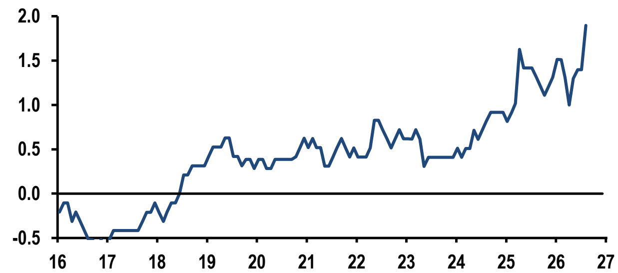
Source: Statistics Bureau, J.P. Morgan

In the details, core goods prices (ex. food and energy) rose 0.5%m/m sa and 2.7%oya (Figure 3). The three-month run rate rose to 7.0%3m saar – the highest since November 2022 – pointing to a clear acceleration. Petroleum-related product prices continued to climb in August. Furniture and household utensils rose 3.8%oya, driven by 4.2%m/m and 9.4%oya rise in household consumables. Recreational goods also strengthened, up 1.3% m/m and 4.1%oya. Recreational durables rose 3.2%oya, potentially reflecting higher chip-related costs amid the AI boom. By contrast, energy prices fell 2.0%oya, largely due to the summertime electricity and gas subsidies, which should continue to depress CPI readings through October.

Food inflation (ex. fresh food) softened, rising 0.1%m/m and 3.6%oya, partly due to a decline in rice prices following last year's surge. Even so, we expect food inflation to remain elevated as higher packaging and transportation costs continue to pass through to consumer prices. Meanwhile, dine-out prices rose sharply, up 0.6%m/m and 5.0%oya.

Figure 4: Tokyo Housing CPI

%oya, ex. the impact of consumption tax hike



Source: Statistic Bureau, J.P. Morgan

Services prices increased 0.3%m/m sa and 1.4%oya. Excluding the impact of free nursery fees, services inflation was a solid 2.3%oya. Medical services rose 1.3%m/m and 2.8%oya, reflecting government revisions to medical and long-term care fees. Housing prices also turned up, rising 0.5%m/m to 1.9%oya (Figure 4), mirroring a similar increase in rents. Medical costs and rents have historically been held down by administrative price-setting and technical features of rent measurement, respectively. As these components move towards (or above) 2%, it would reinforce the view that underlying inflation momentum is turning higher and underscore the risk that inflation could overshoot the 2% target by a meaningful margin.

Data releases and forecasts

Week of August 31 - September 4

Mon	**Commercial sales**				
Aug 31	%m/m, sa				
8:50am		**Apr**	**May**	**Jun**	**Jul**
	Total retail sales	2.1	1.7	-3.9	0.3
	%oya	2.8	5.0	0.6	1.9

We expect July retail sales to have increased, partly reflecting a rebound from June's weather-related decline. In addition, demand for air conditioners likely recovered, and rising food prices boosted nominal sales.

Mon	**Industrial production**				
Aug 31	%m/m sa, base year 2020				
8:50am		**Apr**	**May**	**Jun**	**Jul**
	Production	0.5	0.1	1.9	0.3
	Shipments	1.3	0.5	-0.2	
	Inventories	-0.3	-1.1	2.8	
	Inventory/shipments ratio	-0.9	0.7	4.1	

We expect July production to increase on the month, in line with manufacturers' projections for the month.

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Mon Aug 31 2:00pm	**Housing starts**	**Apr**	**May**	**Jun**	**Jul**
	Housing units %oya	11.4	33.9	18.6	10.6
	%m/m, sa	-1.7	4.6	3.9	-3.0
	Mn units saar	0.72	0.76	0.79	
	Floor space, 6mma* (%m/m, sa)	-1.7	0.3	0.1	

We expect July's housing starts to decline due to higher costs and constraints of inputs.

Tue Sep 1 8:50am	**MoF corporate survey** %q/q saar, unless noted, nonfinancial firms	**3Q25**	**4Q25**	**1Q26**	**2Q26**
	Sales	0.0	3.0	5.3	
	Current profits	19.8	11.5	17.4	
	Capex ex. software	0.4	14.5	-13.1	
	Capex ex. software (%oya)	2.9	7.3	-1.4	2.5

We expect capital expenditures excluding software in the MoF corporate survey – a key input to the second estimate of GDP – to rise 2.5% year over year in 2Q26. Although the first estimate of 2Q26 real GDP showed two consecutive quarterly declines in capex, high-frequency indicators point to a continued solid increase in machinery orders.

Tue Sep 1 2:00pm	**Consumer sentiment** DI, sa	**May**	**Jun**	**Jul**	**Aug**
	Consumer sentiment	33.6	33.8	34.9	35.3
	Standard of living	31.2	32.0	33.1	___
	Income growth	40.3	40.3	40.9	___
	Labor market conditions	38.3	38.4	40.1	___
	Durable goods purchases	24.4	24.6	25.6	___

1. The DI asks whether a respondent thinks that now is a good time to purchase durables

We expect the consumer sentiment index to rise in August, reflecting expectations of improved income conditions.

Review of the past week's data

Services producer prices (Aug 26)

	May		**Jun**		**Jul**	
%oya	~~3.4~~	*3.6*	~~3.2~~	*3.4*	___	*3.6*
Ex. international transportation	~~3.1~~	*3.3*	~~2.8~~	*3.1*		*3.1*

Tokyo consumer prices (Aug 28)
2025-based

	Jun		**Jul**		**Aug**	
%oya						
Overall	~~1.7~~	*1.6*	~~2.0~~	*1.8*	1.9	
Core (ex fresh food)	~~1.6~~	*1.5*	~~1.9~~	*1.7*	1.8	
Ex fresh food and energy	~~1.9~~	*1.7*	~~2.0~~	*1.8*	~~2.1~~	*2.0*
Ex food and energy	~~1.1~~	*1.0*	~~1.3~~	*1.2*	~~1.3~~	*1.4*
%m/m, sa						
Overall	0.3		0.4		0.2	
Core (ex fresh food)	0.3		0.3		0.1	
Ex fresh food and energy	0.4		0.3		0.3	
Ex food and energy	~~0.2~~	*0.3*	~~0.2~~	*0.1*	0.3	

See main essay.

Labor force survey (Aug 28)
Sa

	May	**Jun**	**Jul**	
Unemployment rate (% sa)	2.5	2.5	~~2.5~~	*2.4*
Job offers ratio (% sa)	1.17	1.18	1.18	

Sources for all data tables: ADA, BoJ, CAO, JCSA, JDSA, JFA, JLM, VMA, Markit, METI, MHLW, MILT, MoF, Reuters, Statistics Bureau, J.P. Morgan forecasts.

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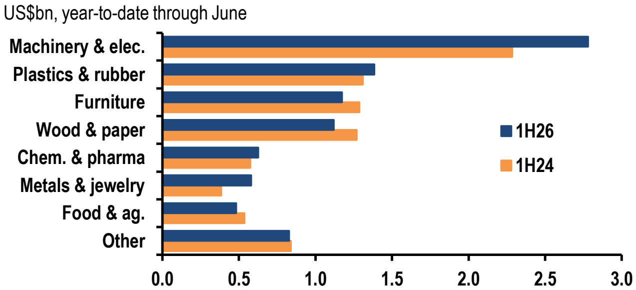
Canada

- **The trade war with the US took a turn for the worse**
- **2Q GDP rebounded 3.3%ar, but the outlook is cloudy**
- **Expect 10k August job growth; still cautious BoC**

What a difference a weekend makes. When we went to press last week, we flagged the risk that the tariff negotiations with the US might fail, but had expected they would move forward given news reports at the time. Instead, negotiations broke down late last Friday, Depression-era 50% tariffs on a range of Canadian exports to the US (Figure 1) were imposed Saturday morning, and the situation has deteriorated further into acrimony and tit-for-tat threats this week. On Tuesday, PM Carney announced retaliatory tariffs of 15 to 50% on around 6% of imported US goods, to take effect on September 8.

Figure 1: US imports of products exposed to Section 338 tarifffs

US$bn, year-to-date through June

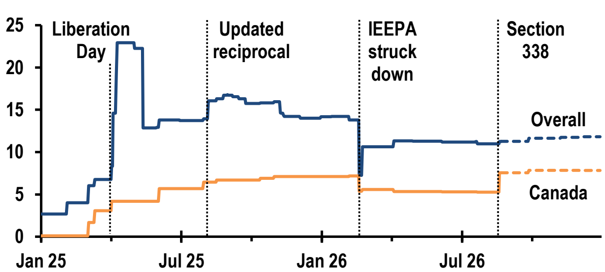


Source: USITC, J.P. Morgan

Last weekend's imposition of the 338 tariffs added about 2.3%-pts to the effective US tariff rate on Canada, raising it to 7.6% (versus an average of 11.3% across all US trading partners); it had been 0.1% at the start of last year. President Trump's threat to impose 50% tariffs on all autos and parts from Canada would add roughly another 1.7%-pts. Such an outcome would represent a sizable shock to business confidence as well as the cost base for exporters. It also would be a notable headwind to the improvement in growth that we are forecasting for midyear. The exact path for activity will depend upon if and when some de-escalation occurs.

Figure 2: Average effective tariff rates on US imports

%. Dashed lines are forecasts based on current law



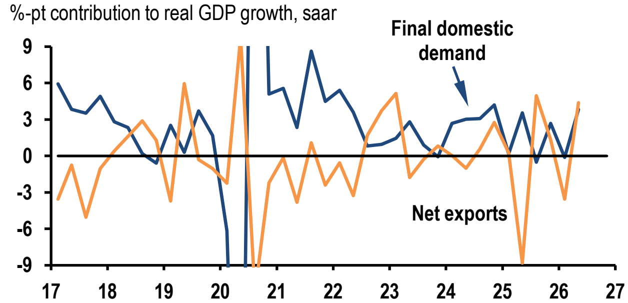
Source: Yale Budget Lab, J.P. Morgan

2Q growth rebounds before trade news

GDP rebounded by 3.3%q/q, saar in 2Q after growing just 0.3%ar in the prior quarter. A modest upward revision to 1Q means the economy avoided a technical recession at the start of the year. The recovery in domestic final sales was strong: consumer spending rose 3.3%ar in 2Q, while business fixed investment shot up 9.5% (Figure 3). Higher energy prices likely boosted corporate profits, which rose 9.6% (not annualized)—the fastest pace in five years. Exports surged 15.1%ar in 2Q but will likely pull back in the second half of the year given the escalating trade war with the US. The flash reading for July monthly GDP was unchanged, suggesting some moderation in the current quarter even before the latest news.

Figure 3: Real GDP

%-pt contribution to real GDP growth, saar



Source: Statistics Canada, J.P. Morgan

BoC to stay on hold ahead of LFS

An intensifying trade war was one key risk to the forecast that the Bank of Canada outlined earlier this year, which unfortunately looks prescient. While the additional impact on trade is not large so far, the risk for further protectionist measures is likely to weigh on hiring and investment decisions. As Ottawa has followed up with its own $20bn worth of tariffs in retaliation, the dilemma for policymakers has returned with potential upward pressure on inflation but downward pressure on activity. In this environment, we expect the BoC to once again note the unusually high level of uncertainty, which should reinforce a cautious, on-hold policy stance. Markets still price a rate hike by January, but that seems unlikely to us.

But the latest deterioration also comes against a background of a surprisingly strong rebound in employment growth over the past three months of 118k, with the unemployment rate reaching a two-year low of 6.4%. While the BoC is likely to still see this modest improvement as consistent with excess supply in the economy, the renewed trade war threats raise additional downside risks for employment growth. We expect the August LFS to mark a clear step down from the outsized gains of recent months, with employment up a modest 10k. That would pull the 3-month average down to roughly 34k. With labor force growth also expected to soften, we look for the unemployment rate to hold at 6.4%.

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Data releases and forecasts

Week of August 31 - September 4

Thu Sep 3 8:30am

International trade
Sa

	Apr	May	Jun	Jul
Balance (C$ bn)	3.58	3.70	3.86	3.54
Exports (%m/m)	3.4	0.7	0.4	0.1
Imports (%m/m)	0.6	0.6	0.2	0.5
Real balance	-4.10	-4.46	-2.20	

We project that Canada's nominal merchandise trade surplus narrowed to C$3.5bn in July from C$3.9bn in June. We think nominal exports grew 0.1% in June, while imports firmed 0.5% on the month. Strength in energy exports continues to provide an offset to weakness elsewhere.

Fri Sep 4 8:30am

Labor force survey
Sa

	May	Jun	Jul	Aug
Employment (mn)	21.12	21.14	21.21	21.22
(ch, m/m, 000s)	87.8	18.2	75.1	10.0
(%m/m)	0.4	0.1	0.4	0.0
(%oya)	0.7	0.5	0.9	1.3
Labor force (mn)	22.60	22.61	22.67	22.68
(%m/m)	0.0	0.0	0.3	0.0
(%oya)	0.3	0.1	0.4	0.6
Unemployment rate (%)	6.6	6.5	6.4	6.4
Avg hrly earnings (%oya)	3.2	3.7	3.0	3.2
Hours worked (%m/m)	0.6	0.2	0.6	0.1

We project that employment rose by 10k workers in August. We expect soft growth in the labor force to leave the unemployment rate unchanged at 6.4%. Average hourly earnings for permanent workers cooled to 3.0%oya in June. We expect wage growth to remain on a gradual downward trajectory for the rest of the year, consistent with a labor market operating under conditions of excess supply. We think hiring conditions will remain subdued in the months ahead as the trade war and the drag from less generous immigration policies continues to weigh on labor supply.

Review of past week's data

Monthly GDP
sa

	Apr		May		Jun	
Total,%m/m	0.6		0.3		~~0.2~~	*0.3*
%oya	~~1.1~~	*1.2*	~~1.7~~	*1.6*	~~1.9~~	*2.0*

Monthly GDP rose 0.3% in June after expanding at a similar pace in May. Strength in wholesale, finance and insurance, and retail trade offset weakness in utilities and agriculture, forestry, fishing and hunting. Statistics Canada's advance estimate for July suggests that activity flatlined last month. Growth in output-based GDP aligned closely with the official quarterly expenditure-based data in 2Q, and begins the 3Q tracking exercise pointing to a downshift to just above a 1%ar pace of growth this quarter.

Quarterly GDP (Aug 28)
Sa

	4Q25	1Q26		2Q26	
Real GDP,%q/q, ar	-1.0	~~-0.1~~	*0.3*	~~3.0~~	*3.3*
%oya	0.7	~~-0.1~~	*0.1*	~~0.9~~	*1.1*

Real GDP rebounded by 3.3%q/q, saar in 2Q after growing just 0.3%ar in the previous quarter. A modest upward revision to 1Q means the economy avoided a technical recession at the start of the year. Consumer spending expanded 3.3%ar in 2Q, while business fixed investment shot up 9.5%. Exports surged 15.1%ar in 2Q but will likely pull back in the second half of the year given the backdrop of an escalating trade war with the US.

Sources: Statistics Canada, Ivey Business School, CMHC, S&P Global, Teranet/National Bank of Canada, CREA, CFIB, Bank of Canada, J.P. Morgan forecasts

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Mexico

- **2Q26 GDP revised to 5.8%saar; full year now eyed at 1.5%y/y from 1.4% on early 3Q optimism**
- **1H August inflation at 3.26%oya, core at 3.93%**
- **Banxico's board balance reaffirmed our on-hold view at QIR presentation**
- **2Q26 current account records a 1.7% of GDP surplus**

Following the 5.8%saar in 2Q26 GDP, we are revising our full-year growth forecast to 1.5%y/y from 1.4%. To be fair, the most encouraging news was unveiled later this week with a strong July trade balance. Our revised outlook is now aligned with Banxico's estimate published in this week's Quarterly Inflation Report (QIR). The board reinforced an interesting balance of risks that validates our on-hold for long view, providing little indication that they are contemplating a move anytime soon. As said, this week also saw the release of key external sector data. The 2Q26 current account posted a sizable surplus and July trade data confirmed that the tech boom continues to drive non-auto external demand from both exports and imports. This time around, however, capital imports added to the encouraging news from the import side. Next week, the usual round of economic releases at the start of the month will provide further insight into the strength of the economy.

2026 GDP now eyed at 1.5%y/y

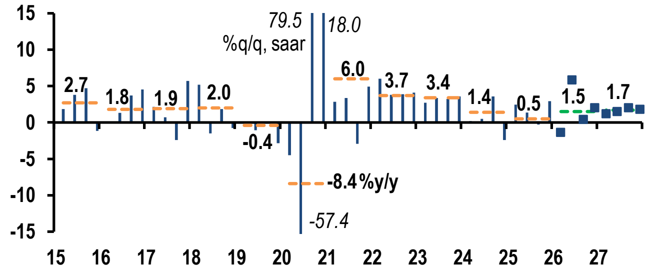
The final 2Q26 GDP print was revised slightly lower, with growth now standing at 5.8%saar (versus 6.2% in the flash release). Overall, while the solid bounce was encouraging (Figure 1), the strong reading was mostly explained by construction activity related to housing, as well as some payback following a very weak 1Q26. In non-seasonally adjusted terms, GDP grew 2.1%oya, leaving year-to-date growth at 1.1%.

The softer-than-expected quarterly performance was driven by a downward revision to May data (-0.44%samr versus a prior estimate of -0.25%), even as June data came in better than implied by the flash GDP estimate (-0.1%samr versus -0.6%).

Looking ahead, we now eye GDP growth of 1.5%y/y in 2026. We expect spillovers from infrastructure projects linked to Plan Mexico to gradually gain traction in 2H26, as well as lingering support from external-demand related manufacturing production.

The August PMIs should shed more color to the expected performance of the economy this quarter. We expect the IMEF manufacturing PMI to fall by 0.5pts to 48.9, and the non-manufacturing PMI to drop 0.3pts to 49.6. Equally important to better dissect the balance of risks to growth at the end of 1H26, next week June consumption (+0.2%samr) and fixed investment (+1.7%samr) will be released.

Figure 1: GDP growth in Mexico

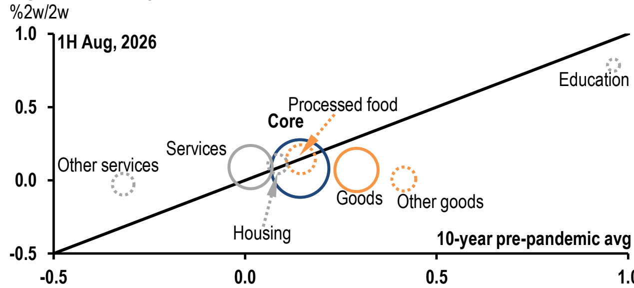


Source: INEGI and J.P. Morgan forecasts. *Dotted line: annual average (%y/y labeled); bars: observed seasonally adjusted annual rates (%q/q, saar)

Early August inflation remains soft

Headline inflation for the first half of August rose 0.10%2w/2w, below both consensus (0.13%) and our 0.15% forecast. The downside surprise in the headline print was driven by lower-than-expected non-core inflation (0.18%2w/2w versus our 0.35% estimate), while our expectation for a benign core print proved broadly accurate (0.08%2w/2w versus our 0.09% forecast and consensus' 0.13%). In annual terms, inflation rebounded modestly to 3.26%oya (Figure 2). We continue to eye headline at 3.9% by year-end as non-core mean reversion continues and core remains sticky.

Figure 2: Stability of core inflation components



Source: J.P. Morgan with data from INEGI. Size of circle is CPI weight

Banxico's QIR reaffirms our on-hold call

In this week's 2Q inflation report (QIR), Banxico updated its growth forecasts for both 2026 and 2027 (Figure 3). For 2026, growth is now projected at 1.5%y/y, in line with our updated forecast, and 0.4pp higher than in the May QIR. For 2027, growth was revised modestly lower to 2.0%y/y from 2.1%. During the presentation, board members delivered a neutral-to-hawkish message (relative to the minutes of the August COPOM). While members expressed concerns about

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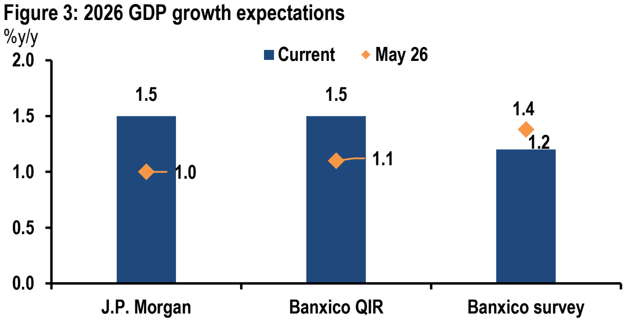
the persistence and level of core services inflation, they also noted the prevailing economic slack and that drivers of inflation, such as the strong MXN and lagged effects of the past monetary restriction, were consistent with inflation continuing to trend lower in the coming months. As such, we continue to believe the board will keep rates unchanged for the foreseeable future as they balance upside and downside risks to inflation.

Figure 3: 2026 GDP growth expectations

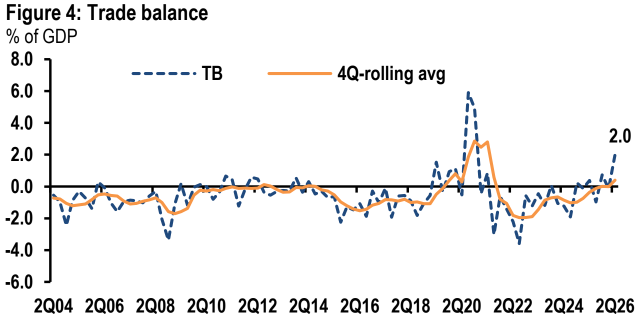


Source: Banxico and J.P. Morgan forecasts

Positive 2Q BOP and July trade data

The 2Q26 current account data recorded a surplus, supported by a large goods trade balance (Figure 4). Interestingly, despite the strong current account surplus, net FDI and portfolio investment continued to record inflows, rather than the outflows that would typically be associated with a current account surplus. While net FDI flows declined by 73.0%oya, the drop was largely driven by base effects following an exceptionally strong 2Q25.

Figure 4: Trade balance



Source: J.P. Morgan with data from Banxico

Turning our attention to the trade balance in July, Mexico recorded a US$0.8bn trade deficit. Still, this left the year-to-date balance at a record-high US$9.3bn. Moreover, the underlying details were anything but weak. The deficit owed to the "right reasons", with imports driven by strong increases in both intermediate and capital goods imports. That said, export performance was also robust, with exports growing 43.7%oya. While a significant portion of the increase in intermediate imports and manufacturing exports likely reflects higher prices in technology-related industries, 2Q GDP data suggests that real activity has also benefited from the surge. The positive momentum in capital imports is encouraging and poses upside risks to our recently-revised 1.5%y/y growth forecast for this year. Next week's July remittances (we are eyeing a 3.3%oya increase) should shed further light on the current account in 2H26 and the gradual recovery in consumption.

Data releases and forecasts

Week of August 31 - September 4

Tue	**Remittances**				
Sep 1		**Apr**	**May**	**Jun**	**Jul**
11:00am	Total (US$ bn)	5.0	5.6	5.5	5.6
	%oya	3.7	3.8	4.2	3.3
Tue	**IMEF PMI survey**				
Sep 1	Index, sa				
13:00		**May**	**Jun**	**Jul**	**Aug**
	Manufacturing	48.5	47.9	49.4	48.9
	Non-manufacturing	48.9	49.2	49.9	49.6
Fri	**Gross fixed investment**				
Sep 4	%oya				
8:00am		**Mar**	**Apr**	**May**	**Jun**
	Total	-0.6	-13.2	1.1	5.7
	M&Eq	-1.4	-16.4	-0.7	4.7
	Construction	0.1	-10.1	2.7	6.5

Review of past week's data

Economic activity index (IGAE)				
%oya, unless noted				
	Apr	**May**	**Jun**	
%oya	-1.6	1.1	~~1.9~~	2.8
%m/m sa	-0.3	-0.4	~~-0.6~~	-0.1
Consumer prices				
	Jul 1H	**Jul 2H**	**Aug 1H**	
%2w/2w	0.07	0.11	~~0.15~~	0.10
Core	0.16	0.12	~~0.09~~	0.08
%oya	3.10	3.14	~~3.31~~	3.26
Core	3.95	3.95	~~3.95~~	3.93
Trade balance				
	May	**Jun**	**Jul**	
Balance (US$ bn)	2.2	4.1		-0.8
Exports (US$ bn)	69.5	72.5		81.4
%oya	25.1	34.5		43.7
Imports (US$ bn)	67.3	68.5		82.3
%oya	24.0	28.0		45.0

Sources: Banxico, IMEF, INEGI, and J.P. Morgan forecasts

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Brazil

- **Concerns about the state of the economy are rising as private-sector fundamentals weaken**
- **Next week's 2Q GDP should confirm a slowdown to 2% q/q saar, with 2H likely running close to 1%**
- **Amid moderating inflationary pressures, this should clear the path for a 25bp cut in September**
- **However, high services CPI amid tight labor market and El Niño are to leave the BCB more cautious in 4Q**

It is now well established that one of the main challenges for the next administration will be to put Brazil's fiscal accounts on a more sustainable path. Another challenge is the stage of Brazil's economic cycle. While we projected a tad more resilience in 2H26 GDP growth in our mid-year outlook, on the back of a series of quasi-fiscal stimulus measures, our view remains that the economy is on a deceleration track.

The main reasons are deteriorating private-sector fundamentals: debt service is elevated across households and corporates, with a series of companies declaring bankruptcy; labor-market tightening is showing signs of exhaustion, including decelerating income gains; and corporate profitability is at multi-year lows. While some near-term support could still come, particularly from additional credit-related measures, we expect the overall fiscal and quasi-fiscal impulse to fade as the political cycle turns and policy space becomes more constrained. With monetary policy likely to remain in restrictive territory for a prolonged period, these private-sector fundamentals are likely to worsen, pushing growth below potential over the coming quarters.

The next episode of that deceleration should be confirmed by next week's 2Q GDP report. Following a very strong 1Q growth rate of 4.5% q/q saar, we expect GDP to have decelerated to 2% q/q saar last quarter. Based on the weakening monthly data available, our proxies for consumption and investment point to domestic final sales moderating after a high 5% reading. All domestic demand components should have slowed, particularly investment growth, which was distorted by oil platform imports in 1Q. Net exports are likely to have turned positive as the same platform effect phases out (Table 1).

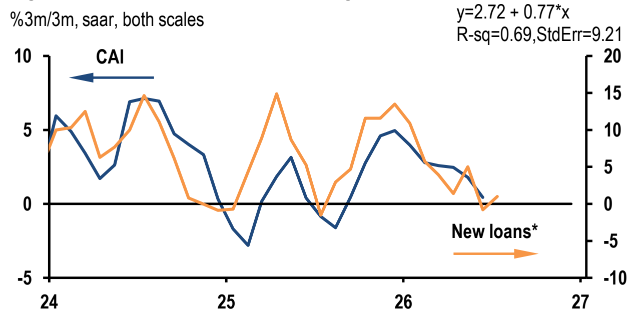
Table 1: Real GDP growth
%q/q saar

Items	Weight (%)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F
GDP	**100**	**5.2**	**1.4**	**0.4**	**1.0**	**4.5**	**2.0**
Domestic final sales		**3.6**	**0.2**	**1.1**	**-1.0**	**5.2**	**1.6**
Private Consumption	64	1.4	2.2	-0.1	1.0	3.9	2.2
Government Consumption	19	5.9	0.2	5.3	3.7	1.4	1.0
Investment	17	9.4	-7.0	0.9	-13.0	14.8	-0.2
Net exports		**3.1**	**6.3**	**8.0**	**10.1**	**-11.6**	**0.7**
Exports	18	21.2	4.2	15.9	15.8	-6.8	-1.5
Imports	-18	14.7	-8.0	-0.3	-4.4	18.7	-5.3

Source: IBGE and J.P. Morgan forecasts

The incoming 3Q data reinforces this trend of deceleration, but with GDP growth staying around 1%ar. After months of negative results, new loans to households recovered in July, indicating that consumption growth may improve, even if modestly, after three months of almost stability.

Figure 1: Consumption and new loans growth
%3m/3m, saar, both scales

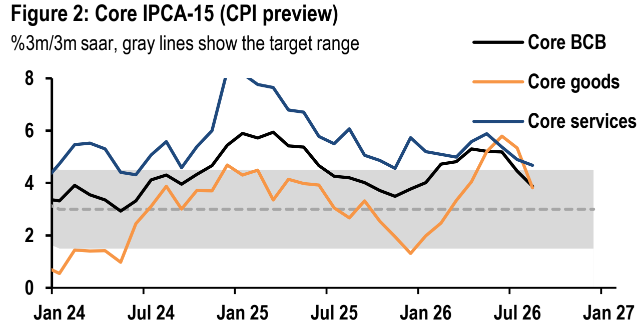


Source: BCB and J.P. Morgan. *Non-earmarked loans to households

Clearing the path for another 25bp cut

We had expected a combination of a deceleration in economic growth in 2Q — particularly towards the quarter-end — and softer inflation readings ahead of the COPOM meeting would justify another 25bp cut to 13.75%. This week's CPI preview (IPCA-15) likely clears the path for that, with the market pricing assigning over 90% odds to such a move. Following two favorable figures, the August IPCA-15 surprised to the downside, showing another moderation in its core metric back to within the target range for the run rate over the last three months (Figure 2). Given the BCB's stated data dependence, this improvement supports a continuation of the calibration cycle at the next meeting, with growing debate about whether the BCB could cut even further.

Figure 2: Core IPCA-15 (CPI preview)
%3m/3m saar, gray lines show the target range



Source: IBGE, BCB and J.P. Morgan

However, even as job growth moderates amid tight supply conditions, this week's July labor report reinforces that Brazil is operating at full employment. The unemployment rate, which drifted up by a tenth over the first half of the year, has most recently stabilized close to multi-decade lows (Figure 3). Job growth remains soft but accelerated slightly at the turn from 2Q to 3Q, in line with our expectations for economic growth that decelerates but remains around 1% ar this quarter. Wage growth, which has been the weakest part of the labor-

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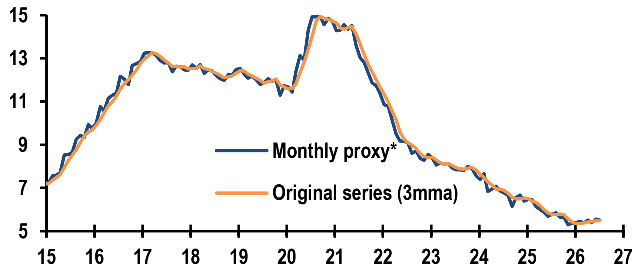
market story in the last three releases, rebounded in July.

Figure 3: Unemployment rate - original and monthly proxy

%, sa



Source: IBGE, BCB and J.P. Morgan *Based on BCB study in 2Q20 Inflation report - "Estimativa para dados "mensalizados" da PNAD Contínua"

As we've explored before, these labor-market conditions are feeding into a [persistently sticky trend inflation rate](). This week's IPCA-15 reinforces that message: while the deceleration in goods CPI is helping reduce inflationary pressures, core services remain elevated at levels inconsistent with inflation converging to target. In that sense, although the inflation backdrop has improved meaningfully relative to earlier this year, services inflation continues to signal persistence that argues against declaring victory too early. This backdrop — combined with our expectation that El Niño will add inflationary pressure in 4Q — is one of the main reasons we expect the BCB to pause after the September cut.

A final week before the election

Next week will mark the final week of decisions in Congress before the election. The ongoing debate around the PEC 6x1, which aims to reduce the maximum weekly working hours from 44 to 40, has gained prominence as government and Senate leaders push for progress before the electoral cycle. However, the timeline remains optimistic given the compressed schedule and the need for approval in both the Constitution and Justice Commission (CCJ) and the Senate plenary. Beyond the timing uncertainty, we see the potential upward pressure on unit labor costs as a risk that could weigh on margins and/or pass through to prices.

Narrowing of CAD halted in July

The current account deficit (CAD) has been narrowing for more than a year; in July, it widened slightly, coming in larger than anticipated. The trailing twelve-month CAD widened by 2bp to 2.49% of GDP, with the three-month seasonally adjusted rate at 2.6% of GDP. Foreign direct investment (FDI) moderated from 3.6% of GDP in June to 3.5% in July, interrupting the prior improvement in the basic balance, which widened from −0.2% of GDP in June to −0.4% in July. Overall, even with this release, we still see the external accounts as healthy at this point in the cycle.

Data releases and forecasts

Week of Aug 31 - Sept 04

Mon Aug 31 7:30am	**Fiscal sector**				
		Apr	**May**	**Jun**	**Jul**
	BRL bn				
	Primary	24.6	-56.1	-55.3	6.0
	12-month sum, as % of GDP				
	Primary	1.0	1.1	1.2	1.1
	Nominal	9.4	9.6	10.0	9.8
	Net debt, % of GDP	67.4	67.9	68.5	68.3
Tue Sept 01 8:00am	**Gross domestic product**				
		25Q3	**25Q4**	**26Q1**	**26Q2**
	%q/q saar	0.1	0.6	4.5	2.0
	%oya nsa	1.8	1.8	1.8	2.0
Wed Sept 02 8:00am	**Industrial production**				
		Apr	**May**	**Jun**	**Jul**
	%m/m sa	0.7	-0.2	-1.8	0.9
	%oya	2.7	0.2	1.7	0.1

Review of past week's data

Week of Aug 24 - 28

Consumer prices (IPCA-15)				
	Jun	**Jul**	**Aug**	
%m/m	0.41	0.06	~~0.30~~	*-0.40*
%oya	4.80	4.52	~~4.34~~	*4.24*
Current account balance				
	May	**Jun**	**Jul**	
Current account (CA)	-3.5	-2.6	~~-7.0~~	*-8.1*
CA, 12-month sum	-64.2	-61.7	~~-61.4~~	*-62.9*
CA, 12-month sum, %GDP	-2.6	-2.5	~~-2.4~~	*-2.5*
Foreign direct investment	7.9	9.1	~~8.0~~	*7.5*
National unemployment rate				
	May	**Jun**	**Jul**	
Rate, 3-month average (nsa)	5.6	5.4	~~5.4~~	*5.3*
Wholesale prices (IGP-M)				
	Jun	**Jul**	**Aug**	
%m/m	-0.50	-1.16	~~-0.38~~	*-0.22*
%oya	3.16	2.76	~~2.00~~	*2.16*
Formal job creation				
	May	**Jun**	**Jul**	
Net, in thousands (nsa)	72.9	145.2	~~115.0~~	*58.5*

Source: BCB, FGV, IBGE, Ministry of Labor and J.P. Morgan

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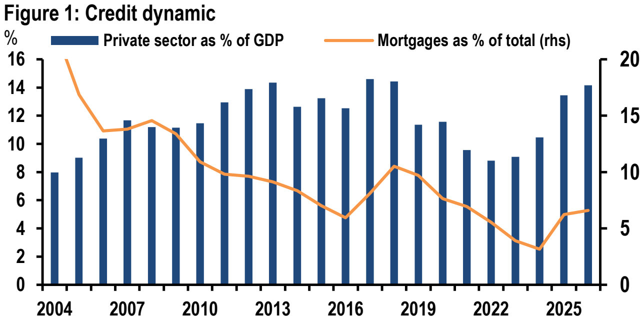
Argentina

- **The government announced a program to accelerate mortgage lending capacity**
- **Economic activity closed 2Q with an 0.8% m/m sa increase in June...**
- **...though sectoral dynamics remain consistent with the pattern observed in recent quarters**
- **July's trade balance surplus widened to US$2.1bn, underscoring the strength of the external position**

The Minister of Finance Caputo announced a program aimed at accelerating mortgage origination, a segment that has historically lagged. Mortgage lending has long been constrained by Argentina's recurrent macro instability, high inflation, limited long-term funding, and weak household affordability. As of August 2026, private-sector credit totals just 14% of GDP, concentrated in consumer (44% of the aggregate) and commercial (35%) lending, while mortgages account for only 8% of credit (around 1.1% of GDP)— below the meager ~13% average in recent decades (Figure 1).

Figure 1: Credit dynamic



Source: BCRA and J.P. Morgan

The program targets a key bottleneck by having pension fund manager FGS auction up to ARS 2tn of UVA-linked term deposits to banks, effectively extending the duration of peso funding to mitigate the system's maturity mismatch. The initiative is designed to support roughly 17,000 loans under standardized parameters, including a minimum 15-year maturity, a ticket size of up to 150,000 UVA and a pricing cap of UVA + 7.5%.

The initiative also comes at a time when consumer credit remains constrained by still-elevated NPLs, following the acceleration in delinquencies after last year's electoral-related monetary tightening and the subsequent retrenchment in banks' lending standards. Against this backdrop, shifting some credit capacity toward mortgages could provide a new source of household credit growth ahead of the 2027 electoral cycle. While the direct near-term macro impact should be modest, full deployment of the ARS 2tn envelope would increase the mortgage stock by roughly 0.2pp of GDP—almost a 20% increase from current levels—and could generate additional spillovers through housing transactions, construction activity and related durable-goods spending. More importantly, strong bank take-up could demonstrate that longer-duration peso funding is sufficient to unlock mortgage supply, potentially crowding in credit beyond the initial FGS envelope and gradually shifting the composition of lending away from constrained consumer credit toward longer-term housing finance. The first auction (taking place next week) should therefore provide an important signal of both banks' appetite for mortgage lending and the government's ability to engineer a broader credit recovery ahead of the electoral cycle.

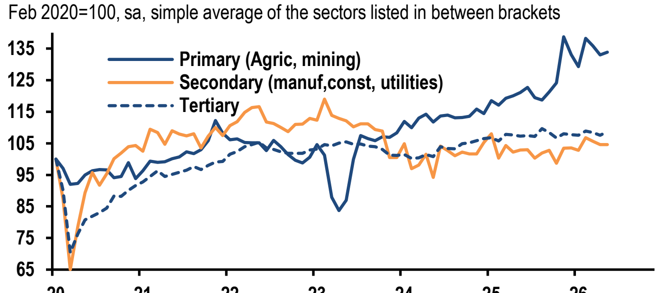
Activity bounces in June

The economic activity indicator ended the second quarter on a stronger note, though not strongly enough to offset a weak overall quarterly performance that erased the sequential gains recorded in 1Q26. Activity rose 0.8% m/m sa in June, following two consecutive monthly contractions. The smoother three-month sequential measure fell to -3.7% 3m/3m saar, after growing 2.9% saar in 1Q26. On an annual basis, activity expanded 2.7%oya, easing to 1.7%oya after adjusting for calendar effects.

Sectoral dynamics remained broadly consistent with the patterns observed in recent quarters, highlighting a highly uneven recovery (Figure 2). Agriculture and mining continued to provide most of the support to activity on a trend basis, expanding 6.2%oya and 16.4%oya in 2Q26. By contrast, weakness remained concentrated in domestically oriented sectors. Manufacturing and commerce contracted on an annual basis, together subtracting 0.6%-pt from growth and showing, at best, a stagnant sequential trend. One encouraging development was construction, which returned to positive territory, expanding 1.8%oya in 2Q26 and contributing a modest 6bp to annual growth.

Figure 2: Activity breakdown

Feb 2020=100, sa, simple average of the sectors listed in between brackets



Source: INDEC and J.P. Morgan

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Overall, the persistent stop-and-go pattern in monthly activity observed year to date left the level of output in June broadly unchanged from the 4Q25 average. This period was marked by higher-than-expected inflation, which eroded purchasing power, and a credit slowdown associated with rising NPLs. Looking ahead, we expect both factors to become less of a drag on consumer-sensitive sectors. Inflation should continue to decelerate, local-currency lending should extend the sequential recovery that began in 2Q26, and overall credit growth should benefit from more flexible USD lending conditions.

Even so, growth is likely to remain uneven, with domestically driven sectors continuing to lag the stronger performance of mining, agriculture, and selected export-oriented industries. The double policy constraint of tight monetary and fiscal is set to persist, as the economy remains in the midst of a stabilization process while moving into an election year, a period typically associated with higher volatility. Our base case continues to assume policy continuity in 2027. We do not expect the macroeconomic backdrop, which we view as the key determinant of the median voter's decision, to deteriorate in a way that would be consistent with a meaningful shift in the political landscape (as happened in 2018-19).

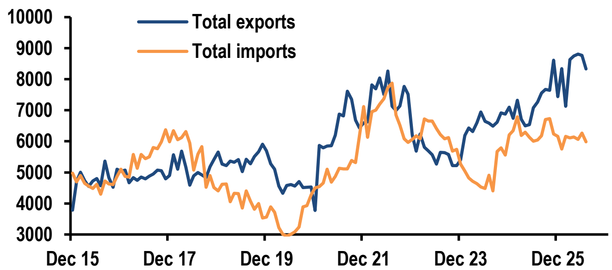
Trade surplus widened in July

July's trade numbers extend a pattern visible since early 2025: a surplus increasingly supported by favorable export prices and a still-depressed volume of capital-goods and parts imports, with energy now large enough to be the single biggest swing factor.

The goods trade account posted its 32nd consecutive monthly surplus in June, underscoring the economy’s strengthening external position, and the trade surplus widened to US$2.1bn from US$0.9bn a year earlier, reflecting a favorable mix of firmer export prices and still-subdued import volumes. Exports rose 14.1%oya to USD 8,854mn and imports fell 1.7% to USD 6,739mn.

Seasonally adjusted, both flows softened from June, exports -4.9% m/m and imports -4.5% m/m, consistent with a plateau after the sharp first-half recovery rather than a change in trend (Figure 3). Year-to-date, exports total USD 58,365mn (+22.9%oya) and imports USD 42,286mn (-3.5%oya), leaving an accumulated surplus of USD 16,080mn, more than four times the USD 3,669mn recorded in the same period of 2025. Meanwhile, the 12-month cumulative surplus continued to widen, reaching US$30.3bn.

Figure 3: Merchandise trade
US$mn, sa, accrued monthly



Source: INDEC

Given the interaction between economic activity, the real exchange rate, and the evolving policy framework, it is worth decomposing trade performance into prices and volumes. On volumes, imports contracted both in July (-9.2%oya) and on a YTD basis (-9.4%y/y). Second, export prices were the main driver of export growth in July, rising 12.4%oya compared with a 1.5% increase in export volumes. We expect export volumes to firm up in the second half of the year, underpinning net exports supports to real activity.

The authors wish to thank Tobias Zapata of the Latin America Economics Research team, JPMorgan Chase Bank Sucursal Buenos Aires, for his contribution to this report.

Data releases and forecasts

Week of August 31 - September 4

Tue Sep 1	**Tax revenues**				
		May	Jun	Jul	Aug
	%oya, real terms	1.8	-7.4	1.0	2.3

Review of past week’s data

No data releases.

Source: Ministerio de Hacienda, INDEC and J.P. Morgan forecasts

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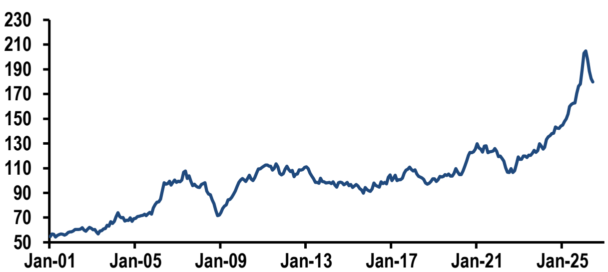
Andeans

- **Peru: Real GDP contracted sequentially in 2Q26...**
- **...but domestic demand remained strong, underpinned by strong terms of trade**
- **Domestic demand excluding inventories accelerated to 6.0%q/q saar from 5.7% in 1Q...**
- **... highlighting the strength of underlying private-sector spending, particularly investment**

Real GDP contracted in 2Q26, but domestic demand remained strong, underpinned by favorable terms of trade on a trend basis (Figure 1). Real GDP was weighed down by higher gasoline prices and the initial effects of El Niño on fishing and related downstream industries. On a seasonally adjusted basis, GDP fell 0.4%q/q saar, following 1.8%ar growth in 1Q, when activity was also disrupted by supply-side shocks (Figure 2). Yet beneath the headline weakness, domestic demand continued to signal resilience. Excluding inventory accumulation, domestic demand expanded 6.0%q/q saar, its strongest quarterly pace since the post-Covid recovery.

Figure 1: Peru Terms of trade
Index, 2007=100

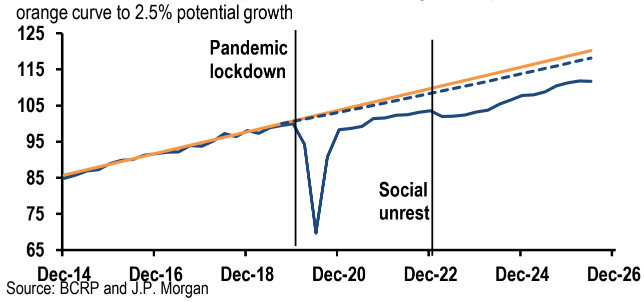


Source: BCRP and J.P Morgan

The key question ahead is how resilient domestic demand can remain as El Niño-related disruptions persist. Our baseline assumes terms of trade remain elevated in 2H26, recovering from the 2Q setback and continuing to support the external accounts. At the same time, imports continue to run hot, reflecting strong consumption and investment dynamics. Real GDP now stands 11.9% above its pre-pandemic level (4Q19=100), while domestic demand is 20.4% higher, underscoring the durability of the terms-of-trade-led expansion (Figure 3).

Private demand remained the main engine of growth in Q2. Private consumption rose 3.7%oya, extending its expansion to an eleventh consecutive quarter, supported by robust job creation, rising incomes, stronger consumer credit growth and solid demand for durable goods. Formal employment increased 4.1%oya, adding roughly 251,000 jobs, with gains concentrated in services, commerce and agriculture. Although real wage growth slowed to 4.4%, household spending continued to benefit from favorable labor-market conditions.

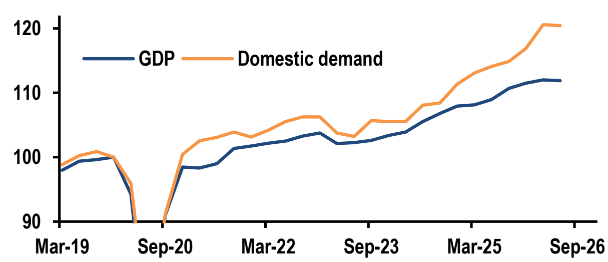
Figure 2: Peru Real GDP
4Q19=100, dotted curve corresponds to 2014-19 trend growth implied levels, orange curve to 2.5% potential growth



Source: BCRP and J.P. Morgan

Private investment accelerated to 17.6%oya from 13.2% in Q1. The pickup was driven by non-residential investment, particularly infrastructure projects such as Lima Metro Line 2 and IIRSA-related roadworks, alongside broader corporate spending on capacity expansion and modernization. Mining investment remained a major source of strength, reaching USD1.8bn in 2Q, up USD529mn from a year earlier, led by Southern Peru, Shougang, Antamina and Las Bambas.

Figure 3: GDP and domestic demand
4Q19=100, sa



Source: BCRP and J.P Morgan

As a result, domestic demand grew 5.2%oya in 2Q. While this represented a moderation from the previous quarter, domestic demand excluding inventories accelerated to 6.0%q/q saar from 5.7% in 1Q, highlighting the strength of underlying private-sector spending, particularly investment (Figure 4).

K. Fujimori administration's first month

Three themes are emerging as the key determinants of the macro outlook under the new administration.

First, fiscal policy. The 1.8%-of-GDP deficit anchor that helped sustain market confidence through the transition is beginning to face pressure from a growing list of commitments, including military pensions, El Niño-related spending, a new fuel subsidy and a phased minimum-wage increase. The FinMin has also signaled that the fiscal-rule deficit ceiling could be revised starting next year, before these pressures have even been tested against the 2027 budget currently being finalized ahead of the August 30 submission deadline.

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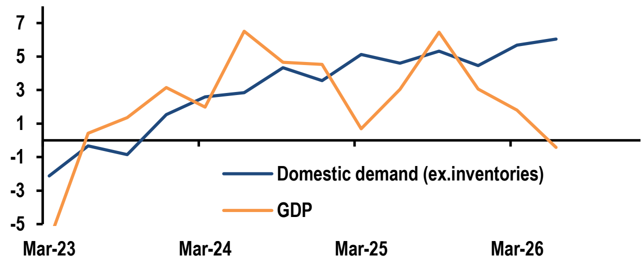
Second, income policy. The administration has been generous in its announcements but more measured in execution. Measures approved so far include a phased minimum-wage increase extending into 2027 and a relatively small, well-targeted diesel subsidy. The broader policy approach remains supportive of household incomes but has yet to generate a significant fiscal footprint.

Figure 4: GDP and domestic demand (ex.inventories)

%q/q saar



Source: BCRPI and J.P Morgan

Third, the legislative agenda. The centerpiece of the government's economic program, a 120-day delegated-powers request, remains unfiled nearly four weeks after Fujimori took office. By the government's own count, the proposal has been delayed six times, with Premier Galarreta's latest deadline falling on August 24. The delays come against a challenging security backdrop, with more than 100 homicides reported since inauguration, raising the political cost of inaction even as polls continue to show broad support for granting the powers. Galarreta has recently offered a substantive explanation for the postponement, arguing that the government chose to incorporate additional security measures after consultations with the Judiciary and the Fiscal de la Nación. If accurate, that suggests the proposal has expanded in scope rather than narrowed during the delay.

Pending greater clarity on the administration's policy direction and the final contours of the 2027 Budget Law, we maintain our 2026 fiscal deficit forecast at 1.8% of GDP while revising our 2027 projection to 2.6% of GDP.

Following the release of the 2Q national accounts, we forecast GDP growth of 2.8%y/y in 2026, consistent with El Niño and other supply-side disruptions shaving roughly half a percentage point off growth this year. The drag from these shocks could almost double in 2027, although any estimate remains subject to considerable uncertainty. We nevertheless forecast GDP growth of 2.8%y/y in 2027, consistent with 4Q/4Q growth close to 4.0%.

Colombia

Data releases and forecasts

Week of August 31 - September 4

Mon Aug 31	**National Unemployment**				
		Apr	**May**	**Jun**	**Jul**
	%, sa	8.60	8.10	8.20	8.20

Review of past week's data

No data releases.

Source: DANE and J.P. Morgan estimates

Chile

Data releases and forecasts

Week of August 31 - September 4

Mon Aug 31	**Manufacturing**				
		Mar	**Apr**	**May**	**Jun**
	%oya	-4.4	-2.5	-7.2	2.4
Mon Aug 31	**Retail sales**				
		Mar	**Apr**	**May**	**Jun**
	%oya	4.5	4.1	4.8	4.2
Tue Sep 1	**Economic activity**				
		Apr	**May**	**Jun**	**Jul**
	%oya	-1.1	-1.4	2.0	0.5
	%m/m, sa	-0.08	-0.57	0.60	

Review of past week's data

No data releases.

Source: CBC, INE, and J.P. Morgan estimates

Peru

Data releases and forecasts

Week of August 31 - September 4

Tue Sep 1	**CPI**				
		May	**Jun**	**Jul**	**Aug**
	%oya	3.9	4.0	4.1	4.5
	%m/m	-0.2	0.2	0.3	0.1

Review of past week's data

No data releases.

Source: BCRP and J.P. Morgan estimates

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United Kingdom

- **Energy price cap will rise 3.6% from October, slightly higher than we had anticipated**
- **Current shape of the futures curve points to a much larger increase in utility bills in January**
- **Short- and long-term household inflation expectations picked up again in July**
- **MPC in no hurry to tighten, but risk that rising inflation and expectations lift 2027 pay deals is growing**

After last week's feast of UK data releases, the calendar this week has been more akin to a famine, with MPC members enjoying a quiet summer period and no top tier releases being published. Nevertheless, we have seen some interesting developments on the inflation front that are likely to play a role in shaping the outlook.

Headline CPI inflation climbed 0.3%-pts in July to 2.9%oya, and there is a broad consensus that the rise marked the start of a sustained increase over the rest of this year. One piece of the inflation jigsaw dropped into place this week with the announcement that Ofgem's energy price cap will increase by 3.6% on October 1. This was at the higher end of our expectations, and greater than the BoE's assumption that it would rise by 1.0%.

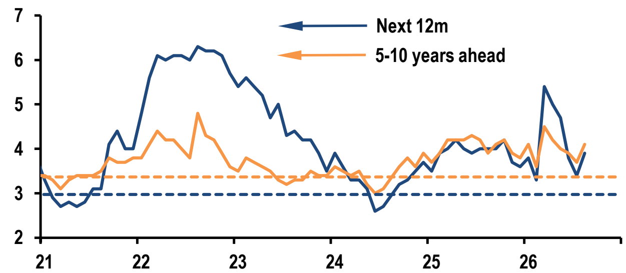
The upward pressure on the quarterly price cap largely came from higher wholesale gas prices. In comparison, the increase in electricity bills was much more modest, and Ofgem noted in its press release that households that do not use gas will see a smaller increase of less than 1% from October 1. Some of this is due to a comparatively smaller rise in wholesale electricity prices during the observation window, but the difference also reflects the impact of the government's decision last month to reduce VAT on electricity bills until the end of the current financial year. Without the VAT cut, we calculate that the price cap would have risen 6.3%.

The slightly higher price cap will provide a boost to inflation in October, but the impact should be modest. This is because the weight of electricity in the inflation basket is twice that of gas, while Ofgem's price cap is based on typical use for duel-fuel households and, thus, assigns a more balanced weight to gas and electricity.

With energy futures curves suggesting prices are set to remain very elevated over the next few months, the risk to household utility bills lies firmly to the upside. Although the non-wholesale components of the price cap are notoriously difficult to predict, our forecast model currently implies that energy bills are on course to rise a further 9% in January.

Beyond the news on energy bills, the BoE will also take little comfort from a large rise in household inflation expectations this week. The YouGov/Citi year-ahead measure of expectations jumped 0.5%-pts in July to 3.9%. Although a chunk of that likely reflects the increase in energy prices during that month, the survey's indicator of long-term expectations still rose from 3.7% to 4.1%oya (Figure 1).

Figure 1: YouGov/Citi household inflation expectations
%, dotted lines show 2010-2019 average



Source: YouGov/Citi, BoE, Reuters

The majority of BoE members have signaled that they are in no rush to tighten policy in the near term. But with household inflation expectations already well above historical norms at a time when inflation is widely forecast to accelerate into 2027, the MPC will be concerned that higher inflation expectations could add upward pressure to pay growth around the turn of the year – a period when a significant proportion of annual wage settlements are reached.

We have yet to see strong evidence of household wage expectations responding to higher inflation in the monthly survey data. However, the key test will come from the early indications of 2027 pay setting – such as the BoE Agents survey and Brightmine settlements – which are due to be published in the coming months. We believe firm evidence that pay growth next year is set to come in above 3.5% would be significant for the MPC and likely result in a modest tightening of policy before year-end.

Data releases and forecasts

Week of August 31- September 4

Tue	**Nationwide house price index**				
Sep 1	Sa				
7:00am		**May**	**Jun**	**Jul**	**Aug**
	%m/m	-0.6	0.0	0.1	
	%oya	1.7	2.3	1.8	
	%3m/3m saar	5.1	2.8	-0.1	

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Tue Sep 1 9:30am — Money supply

Sa

	Apr	May	Jun	Jul
M4 ex IOFCs (%m/m)	0.3	0.4	0.5	–
M4 ex IOFCs (%3m/3m, ar)	6.5	6.2	4.9	–
M4 (%m/m)	0.3	0.1	0.8	–
M4 (%oya)	4.5	4.3	5.0	–
M4 lending (%m/m)[1]	0.2	0.1	1.8	–
M4 lending (%oya)[1]	6.5	6.1	7.5	–

1. Excludes the effect of securitization.

Tue Sep 1 9:30am — Net lending to individuals (BoE release)

£ bn, average

	Apr	May	Jun	Jul
Consumer credit (ch, m/m)	1.8	1.7	1.8	–
Mortgage approvals (000s, sa)	65.2	56.6	58.2	–
Secured lending (ch, m/m)	4.6	3.3	7.7	–

Tue Sep 1 9:30am — PMI survey final, manufacturing

% balance, sa

	Jun	Jul	Flash Aug	Final Aug
Overall index	52.5	51.9	51.5	51.5
Output	52.6	52.9	51.2	51.2

Thu Sep 3 9:30am — PMI survey final, services & composite

% balance, sa

	Jun	Jul	Flash Aug	Final Aug
Services business activity	48.8	52.1	52.8	52.8
Composite				–
Output	49.3	52.2	52.5	52.5
New orders	48.0	51.0	51.3	51.3
Employment	46.8	47.9	49.0	49.0

Fri Sep 4 9:00am — New car registrations

%3m/12m nsa

	May	Jun	Jul	Aug
Total	10.0	13.3	10.1	–
Private (ex. bus. and fleet)	13.6	16.1	14.0	–

Fri Sep 4 9:30am — Decision maker panel survey

%

	May	Jun	Jul	Aug
Expected 1-year CPI	3.7	3.3	3.0	–
Expected 3-year CPI	2.9	2.9	2.6	–
Business-owned expectations, Single Month	4.0	4.0	3.7	–

Fri Sep 4 9:30am — PMI survey final, construction

% balance, sa

	May	Jun	Jul	Aug
Overall index	38.2	38.4	44.7	–

Review of past week's data

CBI distributive trades

% balance

	1Q26	2Q26	3Q26	
Avg. selling prices expected	40	42	–	*27*
Total employment expected	-23	-44	–	*-15*
Investment intentions (next year)	-46	-52	–	*-16*
Business situation (next 6 mths)	-34	-15	–	*-29*

CBI survey of services sector

% balance

	1Q26	2Q26	3Q26	
Bus. and prof services	-8	-34		*-19*
Consumer services	-37	-37		*-42*

Source: Rightmove, CBI, BBA, BCC, GFK, BRC Markit, SMMT, RICS, Land Registry, ONS, BoE, and J.P.Morgan forecasts

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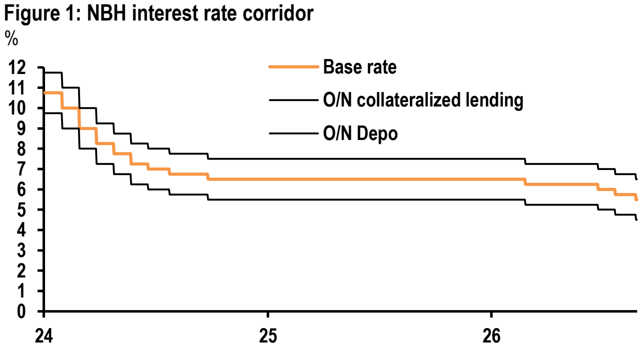
Central Europe

- **Hungary: NBH entering a new phase of monetary policy from September**
- **Czech Republic: Next week's data could cement the case for a November CNB hike**
- **Czech Republic: 2Q26 details show de-stocking as main growth drag**
- **Romania: heading towards minority PSD government**

NBH cuts, enters new policy phase

The NBH cut the policy rate by 25bp to 5.50%, completing the easing cycle it had signalled three months earlier would run "through the summer" (Figure 1). As expected, the Bank pivoted away from explicit forward guidance, indicating that September's decision will depend on the new inflation report and updated staff forecasts. The main novelty was the introduction in the statement of a reference to fiscal policy and euro adoption expectations as key drivers of Hungary's risk assessment. Governor Varga revealed that the NBH began reviewing its inflation-target framework in the spring, with conclusions due in the autumn. The publication of the 2027 budget and medium-term fiscal plans will become key anchors for monetary policy: stronger fiscal consolidation and a gradual shift towards a 2% inflation target would create more room for easing, while weaker fiscal adjustment or a faster move to 2% would mandate a more cautious stance.

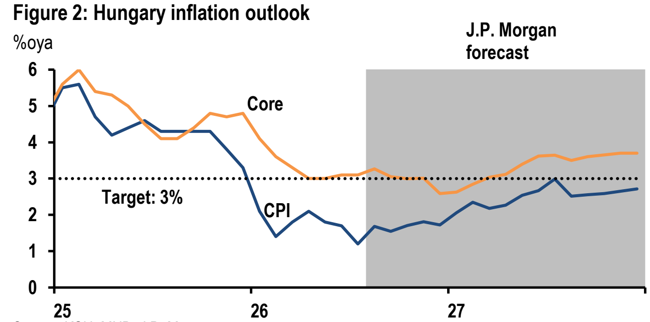
Figure 1: NBH interest rate corridor



Source: NBH

We expect another cut in September, before the pace of easing slows materially. Inflation remains exceptionally low, with headline CPI at 1.2%oya and below the NBH's June projections, hence we believe the Council will feel confident delivering another 25bp cut in September to 5.25%. While inflation is likely to remain below target through end-2026, risks are skewed on the upside, including uncertainty around fuel prices and drought-related pressures on food inflation. Beyond September, we expect the easing cycle to proceed at a slower pace of one cut per quarter as policymakers focus on building credibility around a lower inflation target. With core inflation still running at around 3% oya and economic activity expected to strengthen, we continue to see the cycle ending at 4.75% in 1Q27 as underlying inflation is likely to accelerate next year (Figure 2).

Figure 2: Hungary inflation outlook

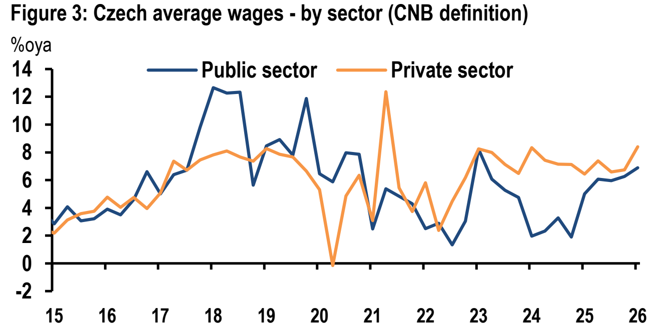


Source: KSH, MNB, J.P. Morgan

Czech Rep: data may convince CNB to hike

A combination of policy developments and key data releases could make next week pivotal for the CNB's rate outlook. Two announcements this week should have caught policymakers' attention. First, the government approved legislation that effectively overhauls fiscal rules, creating scope for a meaningful loosening of the fiscal stance. While the Czech Republic still has by far the strongest fiscal position in CEE, the direction of travel is now towards greater fiscal support, something the CNB will need to incorporate into its reaction function. Second, the government approved an 11.2% increase in the minimum wage for 2027, an unusually large adjustment by Czech standards. This comes at a time when wage growth is already running at an elevated 8.1%oya, and as high as 8.8%oya in the private sector (Figure 3).

Figure 3: Czech average wages - by sector (CNB definition)



Source: CSU

Against this backdrop, next week's 2Q26 wage release will be particularly important for the CNB. We expect wage growth to moderate modestly to 7.5%oya (from 8.1%), but that would still be well above levels consistent with achieving the inflation target. The other key release is August preliminary CPI. Headline inflation is likely to edge up to 1.8%oya from 1.7%, on fuel mainly, but that remains below target and is

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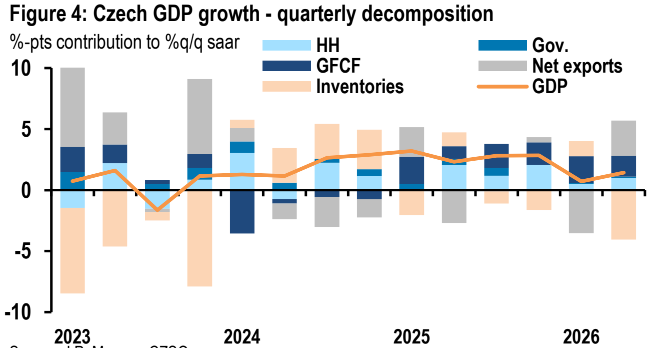
unlikely to be the main concern. Instead, the focus will remain on core inflation, which we expect to ease only marginally to 2.9%oya from 3.0% before re-accelerating above 3% in the coming months. In our view, persistent core inflation pressures will keep the CNB on course for a November rate hike, which remains our base case, with risks skewed towards more tightening rather than less.

Czech Republic: 2Q drag on inventories

Against our expectations, the second release of Czech 2Q GDP, growth was left unchanged at 0.4%q/q, and the over-year-ago revised slightly lower to 1.9% (prior 2.0% oya) – weaker than the CNB's latest forecast for Q2 growth of 2.2%oya. As indicated in the flash release, private consumption continues to be the main support for the economy with household consumption increasing 2.1% (q/q saar). The pace marks a recovery from Q1, but annualized momentum for 1H this year is running well below the pace at the end of last year at just over 1.6% (2Q saar), although this is not that surprising given the Middle East conflict raised both prices and uncertainty for consumers. The impact of the conflict was similarly visible in slowing imports (0.0% q/q saar). We were somewhat surprised after the flash release that investment was not mentioned by the statistical office as a contributor to growth, especially in light of the approaching RRF utilization deadline. The detailed breakdown suggests that GFCF did slow in Q2 to 6.2%q/q saar from 8.1% in Q1, but remained a solid growth contributor to sequential growth and the drag was from inventories (Figure 4). Looking at over-year-ago rates, inventories took off 1.3pts off oya GDP growth. Overall, the print did not bring to light any details surprising enough to impact the CNB reaction function and so we will focus instead on the above data going forward.

Figure 4: Czech GDP growth - quarterly decomposition



Source: J.P. Morgan, CZSO

Romania: towards a minority government

Romanian media reports suggest growing momentum behind a PSD-led minority government headed by an independent prime minister, effectively combining elements of both the technocratic and minority-government scenarios discussed previously. President Nicușor Dan is reportedly aiming to nominate a prime minister by the end of next week and install a new cabinet during the first half of September, or before end-September. Current Finance Minister Nazare is emerging as the leading candidate for PM, although no final decision appears to have been made. The government's parliamentary base would likely consist of PSD (127 MPs), UDMR (31), the minorities group (17), a PNL faction (16-20), UPR (18) and PACE (7), providing at least 216 votes. To secure the 233 votes needed for a parliamentary majority, PSD is reportedly seeking additional support from some non-affiliated MPs and could attract around 15 lawmakers from AUR.

Data releases and forecasts

Czech Republic:

Tue	**PMI**				
Sep 1	Index				
9:00am		**May**	**Jun**	**Jul**	**Aug**
	PMI, Manufacturing	52.2	53.9	52.2	__

Thu	**Average wage**				
Sep 3	%oya				
9:00am		**3Q25**	**4Q25**	**1Q26**	**2Q26**
	Nominal wage	6.5	6.7	8.1	7.5
	Real wage	3.9	4.4	6.4	5.4

Fri	**Consumer prices**				
Sep 4	%oya				
9:00am		**May**	**Jun**	**Jul**	**Aug**
	%oya	2.1	1.5	1.7	1.8
	%m/m nsa	0.1	-0.3	0.6	__

Czech inflation likely ticked up marginally in August to 1.8%oya (from 1.7%), on higher fuel prices mainly, but with some offset from soft food, which due to the base may still fall lower to around 4%oya. On the core front, we expect a very small adjustment lower from 3%oya to 2.9%, likely to be reversed in subsequent months and keeping the pressure on the CNB.

Hungary:

Tue	**Real GDP, final**				
Sep 1	%oya, unless otherwise stated				
9:00am		**3Q25**	**4Q25**	**1Q26**	**2Q26**
	Real GDP	0.8	0.8	1.7	1.7
	%q/q saar	0.8	0.8	3.2	1.6
	Domestic demand	2.5	3.2	6.6	__
	Private consumption	2.2	2.9	5.5	__
	Fixed investment	-2.4	-0.2	-0.1	__
	Contribution to %oya GDP				
	Domestic final sales	0.0	0.0	0.0	__
	Inventories	0.0	0.0	0.0	__
	Net Trade	0.0	0.0	0.0	__

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Fri	**Retail trade**				
Sep 4	% change				
9:00am		**Apr**	**May**	**Jun**	**Jul**
	%oya wda	3.6	4.8	3.0	__
	%m/m swda	-1.2	0.7	-0.3	__

Poland:

Mon	**Consumer prices, preliminary**				
Aug 31	%oya, unless otherwise stated				
2:00pm		**May**	**Jun**	**Jul**	**Aug**
	All items	3.1	2.5	3.0	3.0
	%m/m, nsa	-0.3	-0.5	0.8	0.0

The August flash release is likely to be driven primarily by fuel prices, with the key swing factor being the government's decision to revive the VAT cut (from 23% to 8%) for at least the final two weeks of August. According to the weekly surveys, gasoline prices rose 5.8%m/m in market terms, but fell 2.4%m/m once adjusted for the tax change. Looking across all fuel categories, we still expect a modest increase in fuel prices overall, leaving headline CPI broadly unchanged at 3.0%oya. The greater focus, however, will be on core CPI which we expect to have eased only marginally to 2.9%oya from 3.0%, a limited decline given the string of upside surprises in recent months.

Mon	**Real GDP, final**				
Aug 31	%oya, 2005 prices				
10:00am		**3Q25**	**4Q25**	**1Q26**	**2Q26**
	Real GDP	3.8	4.1	3.5	3.8
	%q/q saar	4.5	4.1	2.4	3.6
	Domestic demand	3.9	4.6	3.7	__
	Private consumption	3.5	4.3	3.3	__
	Fixed investment	6.8	6.6	2.4	__
	Contribution to %oya GDP				
	Domestic final sales	0.0	0.0	0.0	__
	Inventories	0.0	0.0	0.0	__
	Net trade	1.0	-1.2	1.2	__

Tue	**PMI**				
Sep 1	Index				
9:00am		**May**	**Jun**	**Jul**	**Aug**
	PMI, Manufacturing	49.4	46.1	49.0	__

Romania:

Fri	**Retail sales**				
Sep 4	%oya				
9:00am		**Apr**	**May**	**Jun**	**Jul**
	Retail sales, sa	-6.2	-5.2	-7.3	__
	%m/m, nsa	-2.5	0.8	-1.2	__

Review of past week's data

Czech Republic:

Real GDP

%oya, unless otherwise stated

	4Q25	**1Q26**	**2Q26**
Real GDP, nsa	2.8	2.2	~~2.0~~ *1.9*
%q/q saar	2.8	~~0.8~~ *0.7*	~~1.6~~ *1.4*
Private consumption	3.0	3.4	__ *2.7*
GFCF	6.3	~~6.6~~ *7.1*	__ *1.4*

Hungary:

NBH rate decision

%

Average gross wages

%oya

	Apr	**May**	**Jun**
Gross wages, nominal	9.0	8.7	__ *7.1*
Industry	8.0	7.5	__ *7.5*
Public sector	10.7	9.4	__ *7.1*

External trade

EUR mn

	Apr	**May**	**Jun**
Trade balance	370	799	__ *1173*
Ytd	~~2941~~ *2649*	~~3739~~ *3447*	__ *4620*
Ytd a year ago	~~4641~~ *3884*	~~5000~~ *4242*	__ *5101*
Exports, %oya	8.5	9.0	__ *19.1*
Imports, %oya	16.3	5.6	__ *17.9*

Poland:

Retail sales

%oya, unless otherwise stated

	May	**Jun**	**Jul**
Retail sales (nominal)	4.4	6.8	__ *5.3*
Real, CPI-adjusted	3.0	6.2	__ *3.9*
%m/m, sa	~~-1.4~~ *0.4*	~~1.8~~ *1.7*	__ *-0.3*

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Israel

- **We expect the BoI to cut 25bp next week**
- **Manufacturing slides 0.5%m/m lower in June**

Israel has transitioned into a low inflation regime, and it appears that the BoI may face an issue of inflation staying persistently below the mid-point of the target range. As a reminder, the July CPI report showed that rent inflation contributed 1.0%pt to the 1.5%oya inflation rate. And, given the state of the housing market – with house prices edging lower the past year – it is reasonable to expect that rent inflation will slow going into the next year. The low inflation backdrop is a key component of our view that the BoI will continue to ease policy, even as the global rates might be moving in the opposite direction.

We also learned last week that a significant chunk of Israel's strong growth over the past three years was generated by production outside of Israel, registered as exports, by foreign firms with a presence in Israel. Domestic demand expansion lacks a more solid footing; neither job creation nor consumption have been particularly strong of late. Outside of the tech bubble, it does not seem like the economy is doing particularly well – a stronger ILS could be one reason behind this. To be sure, this may not imply that the economy is facing a significant negative output gap; if anything, we think it is not too far from zero. But growth fundamentals don't appear to speak against rate cuts.

We therefore have a fairly high degree of confidence that we'll see further monetary policy easing in Israel. Yet, as usual, guessing the timing is not easy. Geopolitics and the global macro backdrop are not particularly supportive of EM rate cuts at the moment. Hawks may find reasons for caution in the domestic arena, too: corporate credit growth has been strong, wage inflation has firmed, and budget risks related to defense spending are still there. Still, the BoI's track record might be a guide. In the past, when the BoI was on the move, it mostly surprised consensus with a more decisive action. Therefore, although we acknowledge that the upcoming meeting is a close call, we still think that a cut is more likely than a hold.

Data releases and forecasts

Tue	**Chain store sales**				
Sep 1	%oya				
9:00am		**Apr**	**May**	**Jun**	**Jul**
	%oya	6.7	7.5	17.1	3.6
	%m/m sa	5.3	0.9	0.3	__

Tue	**BOI rate decision**
Sep 1	-25bp to 3.25% — see main essay

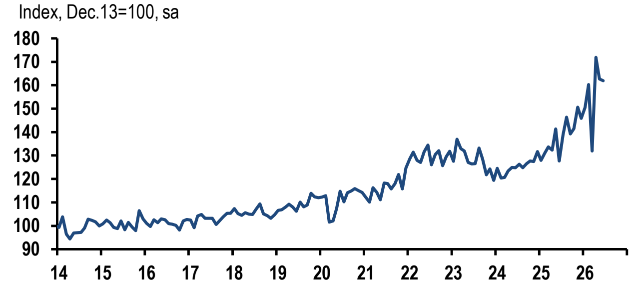
Review of past week's data

Manufacturing production
%oya

	Apr	May	Jun	
%oya	29.9	15.1	__	*26.8*
%m/m sa	30.3	-5.3	__	*-0.5*

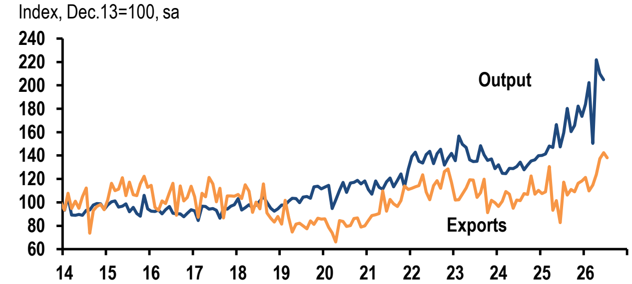
Base effects helped manufacturing output accelerate to 26.8%oya in June, but, sequentially, production slid 0.5%m/m, sa. Despite the second monthly decline, the level of output remains solid – manufacturing remains on its medium-term upward trajectory (Figure 1). High-tech output leads the charge, though output in the sector contracted 2.4% on the month in June (Figure 2).

Figure 1: Manufacturing output - Israel
Index, Dec.13=100, sa



Source: CBS, J.P. Morgan

Figure 2: High-tech manufacturing output and exports - Israel
Index, Dec.13=100, sa



Source: CBS, Haver, J.P. Morgan

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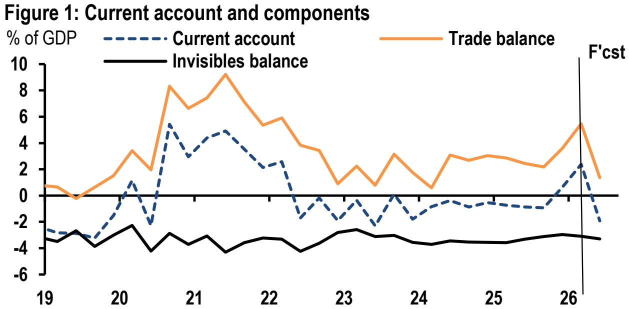
South Africa

- **We expect the CA balance to have swung to a 1.9% of GDP deficit in 2Q26 (from a 2.4% surplus in 1Q26)**
- **Trade surplus likely dropped to 1.4% (from 5.5%) on the back of a surge in energy-related imports**
- **Consumer headwinds rise as high-frequency data points to softer spending momentum**

Following a robust current account surplus of 2.4% of GDP in 1Q26, we estimate the balance slipped back into a deficit of 1.9% in 2Q as the trade surplus fell to 1.4% (previously 5.5%, Figure 1). The trade balance deterioration was driven by a R85.9bn (19.0% q/q) surge in imports, largely reflecting a higher energy-related import bill as geopolitical tensions in the Middle East pushed prices higher. Higher oil prices added R55.3bn to crude and non-crude imports in 2Q, with the remainder largely made up of related chemicals and mechanical equipment products.

Figure 1: Current account and components



Source: SARB

Exports remained resilient, rising by R34.9bn (6.5%q/q) in 2Q. The improvement was driven primarily by stronger PGMs and gold exports, alongside gains in machinery and mineral products (such as coal exports). Strong mining output in 1Q likely helped to support export volumes in 2Q, although precious metal prices softened and likely limited the scope for a larger increase. As the substantial rise in imports more than offset the export gains, the trade surplus narrowed to just R32.6bn in 2Q26 (from R83.6bn).

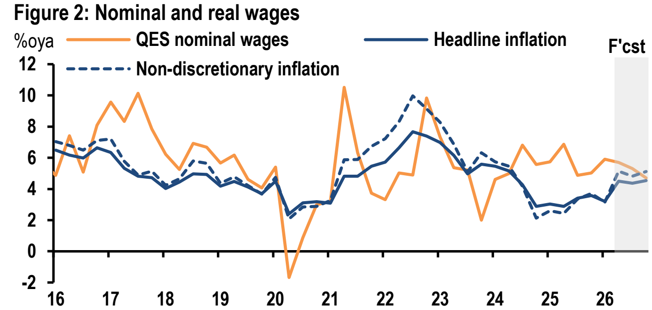
Beyond the deterioration in the goods balance, we estimate the invisibles deficit at around 3.3% of GDP in 2Q26, weighing further on the current account. We expect the current account balance to improve to a mild deficit in 2H26 to leave the current account at a 0.9% of GDP deficit for 2026 (from -0.5% in 2025).

Consumer headwinds gain momentum

We recently estimated that GDP likely fell 0.2% q/q saar in 2Q26 and flagged downside risks to consumer demand. Nominal wage growth likely moderated to around 5.5%, while non-discretionary inflation rose to 5.1%oya in Q2 (from 3.1%) and is expected to remain elevated as food inflation will likely rise (Figure 2).

As expected, high-frequency indicators therefore point to a softening in consumer activity. The PayInc Economic Index, an inflation-adjusted proxy measure of electronic transactions and wholesale cash demand, suggests a modest reduction in consumer activity during 2Q26. We estimate the index could have declined 0.4%q/q (assuming June activity remained flat). Retail activity proved relatively resilient, rising 1.4% q/q saar, although this was likely a rebound from the 0.1% contraction in 1Q and was more than offset by a sharp 15.8% decrease in wholesale trade.

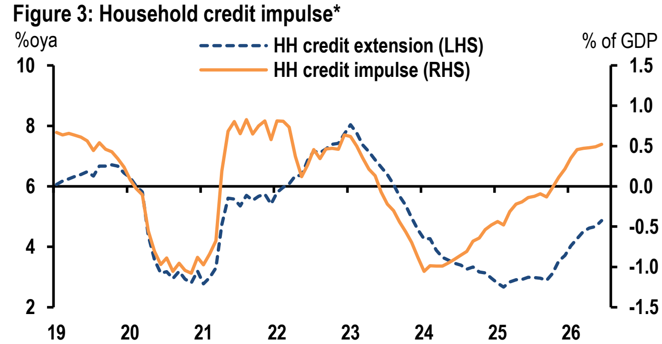
Figure 2: Nominal and real wages



Source: Haver Analytics, J.P. Morgan, StatsSA

The combination of a decline in the 2Q Consumer Confidence Index (CCI) and a broad-based deterioration in the forward-looking components of the retail survey would suggest activity is likely to remain subdued in 3Q. While the credit impulse remained positive and flat, it was mostly driven by installment and credit card sales, as momentum in mortgage advances steadied.

Figure 3: Household credit impulse*



Source: Haver Analytics, J.P. Morgan, *change in new credit issued as % of GDP

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Data releases and forecasts

Weeks of Aug 31 - Sept 11

Mon
Aug 31
8:00am

Monetary and credit aggregates
%oya, except as noted

	Apr	May	Jun	Jul
M3	9.8	9.6	9.3	__
M0	12.1	8.7	11.0	__
Private sector credit	8.9	8.6	7.8	__
%m/m nsa	-0.1	0.2	0.6	__
Credit to households	4.6	4.7	4.9	__
Total domestic credit	8.6	8.7	7.7	__

Mon
Aug 31
2:00pm

Trade balance
R bn, except as noted

	Apr	May	Jun	Jul
Trade balance	22.4	-0.3	10.5	__
Exports	200.0	178.7	191.2	__
%m/m	14.7	-10.7	7.0	__
Imports	177.6	179.0	180.7	__
%m/m	10.5	0.7	1.0	__

Tue
Sep 1
12:00 am

New vehicle sales
%oya, except as noted

	May	Jun	Jul	Aug
Total vehicle sales	12.8	15.2	12.1	__
%m/m nsa	6.5	6.7	6.1	__

Tue
Sep 1
11:00am

Barclays BER PMI
Index

	May	Jun	Jul	Aug
PMI (% weights)	50.8	47.3	46.8	__
Business activity (25)	43.5	45.6	48.8	__
New sales orders (30)	44.6	40.6	44.1	__
Suppliers' performance (15)	61.6	60.0	55.5	__
Inventories (10)	55.8	49.0	43.2	__
Employment (20)	48.4	41.4	42.2	__
Memo: prices paid	84.8	71.3	67.2	__
Business expectations	52.9	56.6	49.3	__
PMI nsa	49.2	43.9	45.0	__

Wed
Sep 2
12:00pm

RMB/BER business confidence
Index

	4Q25	1Q26	2Q26	3Q26
Composite total	44	47	39	__
Manufacturing	39	30	31	__
Retail	43	36	31	__
Wholesale	42	50	40	__

Mon
Sep 7
8:00am

SARB official reserves
US$ bn, except noted

	May	Jun	Jul	Aug
Gross reserves	76.6	74.1	73.5	__
International liquidity	73.5	71.3	71.8	__
Gross reserves (R bn)	1242.4	1213.1	1216.8	__

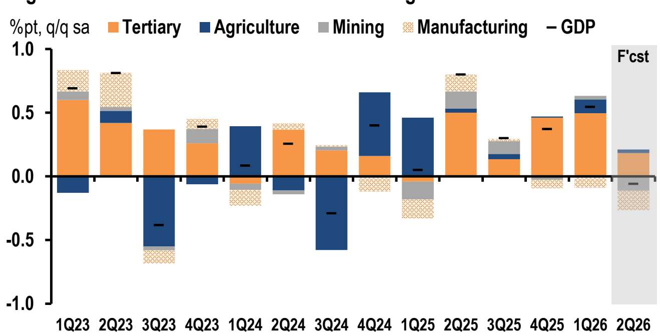
Tue
Sep 8
11:30am

Real GDP by output sector
%q/q, saar, except as noted

	3Q25	4Q25	1Q26	2Q26
%q/q, saar	1.2	1.5	2.2	-0.2
q/q%	0.3	0.4	0.5	__
%oya	2.1	0.8	1.9	__
Primary	8.3	-1.0	8.0	__
Agriculture	5.8	1.5	16.4	__
Mining	9.9	-2.6	2.7	__
Secondary	-0.9	-3.6	-2.1	__
Manufacturing	0.7	-2.5	-3.3	__
Tertiary	0.9	3.0	2.6	__
GDP ex agriculture	1.0	1.5	1.8	__

We expect economic activity likely declined 0.2%q/q saar (0.06%q/q sa) in 2Q26 after a strong 2.2% gain in the previous quarter (Figure 2). While softness in the services sector was anticipated, given the purchasing power squeeze on the consumer, the primary and secondary sectors recorded worse-than-expected contractions. That said, we think there is the possibility that GDP remains flat (or lifts slightly by 0.1%q/q saar) in Q2, with upside risks centered around activity in the services and transport sectors.

Figure 3: South Africa - Contributions to GDP growth



Source: StatsSA. J.P. Morgan calculations

Thu
Sep 10
11:00am

Balance of payments
R bn, saar, except where noted

	3Q25	4Q25	1Q26	2Q26
Trade balance	169.0	282.2	437.9	__
% of GDP	2.2	3.6	5.5	1.4
Invisibles balance	-241.0	-232.0	-247.2	__
% of GDP	-3.1	-3.0	-3.1	-3.3
Current account balance	-72.0	50.2	190.7	__
% of GDP	-0.9	0.6	2.4	-1.9

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See main text.

Thu	**Manufacturing production**				
Sep 10	Volume output				
1:00pm		**Apr**	**May**	**Jun**	**Jul**
	Manufacturing (%oya)	-3.0	-4.4	-1.7	__
	%m/m, sa	-2.6	1.0	0.9	__

Thu	**Mining production**				
Sep 10	Volume output				
11:30pm		**Apr**	**May**	**Jun**	**Jul**
	Mining (%oya)	6.7	-5.0	-4.0	__
	%m/m, sa	3.0	-5.2	0.3	__

Review of past week's data

Fiscal revenue and expenditure

Rand bn, sa

	May	Jun	Jul	
Balance	-14.6	80.1	__	*-161.6*
Revenue	146.5	241.5	__	*109.4*
Expenditure	161.2	161.4	__	*270.9*

The next SA Data Watch will be on the 11th of September

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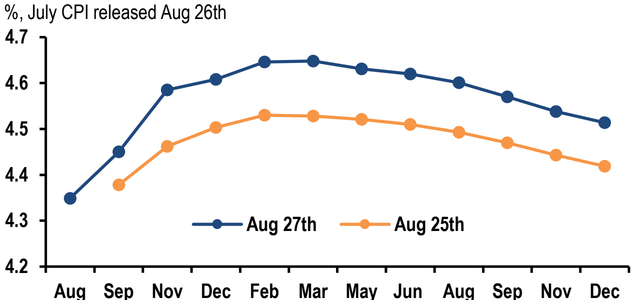
Australia and New Zealand

- **Australia's July CPI data were firmer than expected**
- **Markets now expect the RBA to hike a further 25bp by November**
- **RBNZ to tighten policy next week**

Australia's monthly CPI data for July were a little firmer than expected, with both headline and core surprising to the upside. While only slightly ahead of consensus expectations, rates markets sold off following the release and now price a 50% chance of another hike at the September meeting, while a full 25bp tightening is priced by November (Figure 1). While an uptick in price pressures is an unwelcome development for the RBA, the monthly CPI data can be volatile, particularly around seasonality in the trimmed mean, and this week's numbers run counter to the softer string of data in the past month. We haven't changed our 3Q CPI forecast and still expect headline to print at 1.1%q/q and core at 0.8%q/q.

Figure 1: RBA OIS pricing day before/after July's CPI data
%, July CPI released Aug 26th

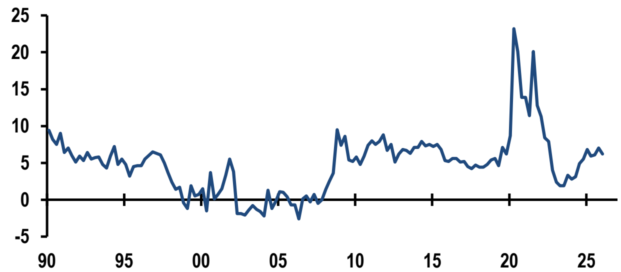


Source: Bloomberg, J.P. Morgan

The next CPI print will not be released until September 30, the day following the RBA' s policy decision, so the activity data are now in focus. Next week's 2Q real GDP data is likely to print at 0.3%q/q and 1.9%oya, a meaningful downshift from 1Q's annual run rate (2.5%oya) and an outcome broadly aligned with the RBA's estimate of potential growth. Household consumption is expected to slow relative to earlier in the year as rising unemployment and soft real income growth weigh on spending. The downside is likely capped by a decline in the savings rate, which has recovered in recent years and is now running at 6-7% of disposable income (Figure 2).

Last week's construction work done and private capex reports were softer than we had expected and impart some downside risk, but we think this is marginal and somewhat neutralized via the import channel. On that front, net trade will deliver a GDP tailwind in the June quarter with strong real export growth outpacing import volumes. Government spending is due to be released early next week; we look for modest gains in both consumption and capex, with aggregate public spending to accelerate modestly from 1Q's run rate.

Figure 2: Household saving rate
% of disposable income



Source: ABS, J.P. Morgan

RBNZ: Rate hikes on track

We expect the RBNZ to deliver a second consecutive hike in September, to 2.75%. With the policy rate still accommodative, and the data having cleared essentially every hurdle to demonstrate the growth pick-up, a 25bp hike is close to fully-priced. 1Q GDP was strong with positive revisions, which should see the staff's output gap estimate revised up. Though business surveys initially stumbled early following the oil supply shock, PMIs/sentiment measures have since rebounded, even with the headwind from expectations for further policy tightening. Tracking data suggest a modest GDP expansion in 2Q after a string of solid results, which would put the annual rate at 2%. This is above growth in labor supply, and current tracking for a sequential rebound in 3Q would hold that annualized pace. Consistent with the activity data, inflation also came in above expectations in 2Q, with some stickiness in non-tradables inflation.

The lone blemish in the data has been the move up in unemployment. Though this came with some noise from a turning immigration/participation cycle, the leadership has credibly argued that excess capacity allows some discretion in how it sequences the normalization process. We expect discussion of unemployment to balance the overall tone and flag a more data-dependent approach after September. This is consistent with our call which assumes a pause in October, before delivering another 50bp through early '27. This would put the cash rate slightly above the RBNZ's long-run neutral rate estimate, but clearly below its short-run neutral estimate. That is sustainable so long as pricing behavior remains well-behaved. Some on the committee have argued the RBNZ should be pre-emptive in the face of even perceived inflation expectations risks, so the minutes will be important in conveying whether this view is broadly shared.

Australia

Data releases and forecasts

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Week of August 31 - September 4

Mon	**Credit**				
Aug 31		**Apr**	**May**	**Jun**	**Jul**
11:30am	%m/m	0.7	0.7	0.8	0.7
Tue	**Current Account**				
Sep 1		**3Q25**	**4Q25**	**1Q26**	**2Q26**
11:30am	A$bn	-19.3	-23.0	-27.1	-29.0
Tue	**Net exports of GDP**				
Sep 1		**3Q25**	**4Q25**	**1Q26**	**2Q26**
11:30am	% of GDP	-0.1	0.0	-0.8	0.2
Tue	**Building approvals**				
Sep 1		**Apr**	**May**	**Jun**	**Jul**
11:30am	%m/m	0.5	-1.6	7.2	-3.0
Wed	**Real GDP**				
Sep 2		**3Q25**	**4Q25**	**1Q26**	**2Q26**
11:30am	%q/q	0.4	0.9	0.3	0.3

Review of past week's data

Headline CPI

	May	**Jun**	**Jul**	
%oya	4.0	3.8	~~3.3~~	3.5

Australia's July CPI report was a tenth stronger than JPM/ consensus expectations at 1.0%m/m. July is seasonally a strong month, compounded by the partial lapsing of the government's earlier cuts to fuel excise. Part of July's seasonality is new financial year price resets, which were material in both goods (+1.3%m/m) and services (+0.7%m/m), but less so than July '25. Another factor is holiday travel, which boosted the recreation and culture group (+1.8%m/m). Housing was notably soft (+0.4%m/m, and -0.3% in sa terms) with stability in new dwelling costs and rental inflation, alongside a drag from lower electricity prices (-1.6%m/m). The latter was expected given the reduction in default market offer. Within household utilities, water rates jumped (+5.8%m/m) in what is typically a material calendar reset, as did gas (+2.8%m/m) after a mixed run.

Transport prices were up 2.6%m/m, driven by automotive fuel. With global shipping disrupted, we have been expecting some impulse to consumer durables prices, though this has remained relatively minor so far, constrained it seems by weaker demand. Furnishings/household/equipment services were up 2%m/m though have moved little on a 3m basis after weakness in June, with much of this coming from childcare and grooming services rather than goods. A similar pattern is evident in clothing/footwear. Food inflation was firm on the month but about steady on the %oya rate (3.2%oya, from 3.3% in June). Services prices had a less-broad increase than expected and faded in %oya terms from 4.0%oya to 3.7%.

Muted outcomes were recorded in insurance (+0.3%m/msa), contrary to fears of lagged pass-through from higher inflation in other groups.

Trimmed mean CPI

	May	**Jun**	**Jul**	
%oya	3.6	3.6	~~3.5~~	3.6

July's monthly trimmed mean was +0.5%m/m, equal to July 2025, which proved to be the high point for the year. The RBA is benchmarking to quarterly trimmed mean, which is constructed differently to the monthly in terms of how the seasonal adjustment is put together; the equivalent concept on our estimate ran at 0.88% 3m/3m ar through July, vs 0.75% in June. This breaks the consistent slowing trend since 3Q25, though in the context of previous July prints and a global supply shock, is not too impactful compared to the prior trend, and our forecast tracking for 3Q overall is unchanged. The category posing most near-term upside risk to trimmed mean is new dwelling costs, given its high CPI weight and exposure to the global shock in material prices. Inflation in this item ran similar to June (+0.4%m/m) and has shown less follow-through than building industry reports had initially flagged, down from both July '25 and from the March/April initial response to SoH closure.

Construction work

	4Q25	**1Q26**	**2Q26**	
%q/q	0.2	4.3	~~0.5~~	-2.1

Private capex

	4Q25	**1Q26**	**2Q26**	
%q/q	0.7	6.5	~~0.5~~	*-3.6*

Household spending

	May	**Jun**	**Jul**	
%	1.2	0.8	~~0.3~~	*1.1*

New Zealand

Data releases and forecasts

Week of August 31 - September 4

Wed	**RBNZ OCR**				
Sep 2		**Apr**	**May**	**Jul**	**Sep**
12:00pm	%	2.25	2.25	2.5	2.75

Review of past week's data

NZ retail sales

	4Q25	**1Q26**	**2Q26**	
%q/q, sa	0.9	1.0		-0.5

Sources: ABS, Stats NZ, RBA, RBNZ, J.P. Morgan forecasts.

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Greater China

- **China: July industrial profits expanded at a slower pace**
- **Taiwan: Broad-based IP strength in July creates upside risks to 3Q growth**
- **2027 fiscal budget calls for cash handouts and higher spending growth**
- **Next week: China PMIs; Hong Kong retail sales and PMI; Taiwan PMI**

Broad-based weakness in July domestic demand led us to lower our 3Q GDP forecast to 3.6%q/q saar, which still requires a modest recovery in both production and domestic demand through August and September. Month-to-date alternative indicators point to a mixed production picture across sectors, with further typhoon disruption in early August affecting port operations, and energy-related headwinds continuing to linger. Fiscal catch-up remains the key swing factor for the 2H outlook, but only a limited pick-up in government bond issuance has been seen in August, suggesting fiscal execution has yet to accelerate meaningfully. Jan-Aug government bond issuance stands at 63% of the full-year target (vs 74% in the same period last year). Against this backdrop, we expect the NBS manufacturing PMI to edge up to 49.5 after July's sharp decline, while the Ratingdog manufacturing PMI is likely to ease slightly to 50.5.

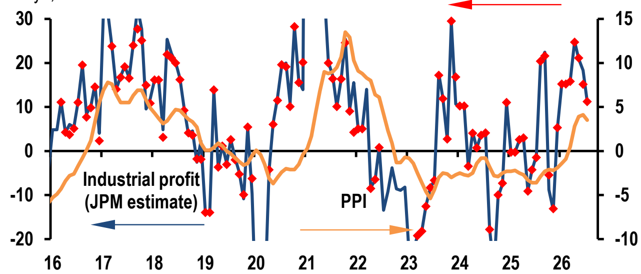
Industrial profits growth moderated

The pace of expansion in headline industrial profit growth moderated to 11.2%oya in July (Figure 1), despite ytd growth remaining solid at 17.6%. The main lift came from tech-related industries, with electronics profit growth accelerating to 110%oya ytd on rising AI demand and price effects. Notably, profits in ICs (especially computing chips and memory chips) surged by 18.5 times. Raw-material industry profits remained strong in YTD terms, but the single month growth softened in July, dragged by oil and chemical profits following a moderation in global commodity prices. Downstream and consumer-related industries continued to lag, with deeper profit declines in furniture, autos, and cultural/sports/entertainment goods.

July's Politburo meeting pledged continued support for AI and high-tech manufacturing, reinforcing the policy tailwind that should keep tech-related profits outperforming under the global AI and IP upcycle, even if the price effect in memory chips may begin to moderate in 4Q. PPI likely has peaked out and we expect it to be on a disinflation trend in 2H, helping to ease cost pressures for certain downstream industries. Yet, a more binding constraint remains soft domestic demand, which could cap the upside for a broader profit recovery in consumer industries.

Figure 1: China industrial profits and PPI

%oya, both scales



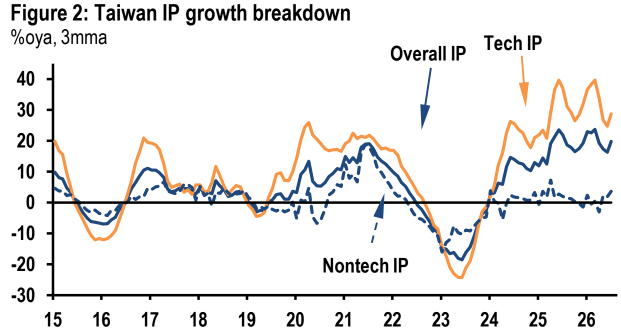
Source: NBS, J.P. Morgan

Taiwan: strong IP momentum continues

Taiwan's July industrial production exceeded expectations again (+2.9%m/m sa), extending June's strength (+4.5%). Annual growth accelerated to 25.6%oya (Figure 2). Tech output continued to lead (+3.4%m/m sa), with computer products (e.g. AI servers) and electronic parts (e.g. ICs) posting solid growth. Non-tech output also strengthened (+1.9%m/m sa), led by machinery and equipment, base metals, and chemical materials – sectors that are also linked to AI-related demand. Non-tech's trend pace also reached the strongest in 15 months. Meanwhile, the auto sector was the main drag (-3.0%m/m sa), reflecting the industry's destocking cycle.

Figure 2: Taiwan IP growth breakdown

%oya, 3mma



Source: MOEA, J.P. Morgan

Our tech team's Asia tour takeaways reinforced a broadly constructive firm-level outlook on the AI upcycle, with companies consistently pointing to strong and broadening AI demand. Demand visibility now stretches into 2027 and even early 2028, while capacity remains constrained across the AI manufacturing chain. This, together with the July IP print, reinforces our view that the AI upcycle has further to run despite recent export volatility and, barring a sharp slowdown in the next two months, points to upside risk to our 4.5%q/q saar 3Q GDP growth forecast.

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2027 budget proposes fresh cash handouts

Taiwan's central government announced a universal TW$10k (~US$315) cash handout in its proposed FY2027 budget, saying it aims to share Taiwan's AI-driven boom more broadly across society. The AI-related tax windfall is expanding fiscal space, and we estimate 2026 tax over-collection could reach TW$1tn (3.1% of GDP) vs the original budget. Beyond the cash payout, the budget allocates larger-than-usual resources for family support, population policies, technology development, and infrastructure, suggesting a broader effort to channel the revenue windfall into social and economic priorities. At the same time, the government continues to stress fiscal prudence, targeting TW$3.93tn in both revenue and expenditure, implying effectively zero new borrowing. Defense is another key theme, with spending rising to TW$1.12tn, above 3% of GDP and topping TW$1tn for the first time.

These moves align with our view that the AI-driven windfall will increasingly spill beyond the tech sector, supporting household incomes, consumption, and lagging sectors. Together with expanded social spending, the FY2027 budget should provide an additional lift to domestic demand, particularly consumption, raising upside risks to growth and inflation and potentially tilting the CBC toward a somewhat more hawkish stance.

China

Data releases and forecasts

Week of August 31-September 4

		May	Jun	Jul	Aug
Mon	**Purchasing managers index**				
Aug 31	Index				
9:30am		**May**	**Jun**	**Jul**	**Aug**
	Overall (RatingDog)	51.8	51.7	50.9	50.5
	Output	53.4	52.8	51.5	
	Overall (NBS)	50.0	50.3	49.2	49.5
	Output	51.2	51.4	49.9	

Review of past week's data

Industrial profits (27 Aug)
% change

	May	Jun	Jul
%oya	21.1	15.1	*11.2*
%oya, ytd	18.8	18.7	*17.6*

Hong Kong SAR

Data releases and forecasts

Week of August 31-September 4

Mon	**Retail sales volume**				
Aug 31	% change				
4:30pm		**Apr**	**May**	**Jun**	**Jul**
	%oya	6.5	4.8	2.3	3.9
	%m/m sa	-1.9	0.6	-2.6	1.2
Thu	**S&P Global Hong Kong PMI**				
Sep 3	Index, sa				
8:30am		**May**	**Jun**	**Jul**	**Aug**
	Overall	50.4	52.0	51.0	51.0
	Output	51.6	52.7	52.8	

Review of past week's data

Merchandise trade (25 Aug)
US$bn

	May	Jun	Jul
Balance	-44.2	-52.0	~~-22.3~~ *-4.9*
Exports	611.2	641.1	~~642.2~~ *672.5*
%oya	40.8	53.4	~~43.9~~ *50.7*
Imports	655.4	693.0	~~664.5~~ *677.4*
%oya	42.0	45.4	~~38.3~~ *41.0*

Taiwan

Data releases and forecasts

Week of August 31-September 4

Tue	**S&P Global Taiwan PMI Mfg**				
Sep 1	Index, sa				
8:30am		**May**	**Jun**	**Jul**	**Aug**
	Overall	56.1	55.2	55.1	55.3
	Output	55.6	55.8	55.1	

Review of past week's data

Labor market survey (24 Aug)
%

	May	Jun	Jul
Unemployment rate, sa	3.32	3.33	~~3.32~~ *3.33*
Unemployment rate, nsa	3.27	3.34	3.39

Industrial production (25 Aug)
% change

	May	Jun	Jul
%oya	11.9	22.6	~~20.0~~ *25.6*
%m/m sa	1.4	4.5	~~-0.8~~ *2.9*

Source: NBS, China Customs, Hong Kong Census and Statistics Department, Taiwan Ministry of Economic Affairs, DGBAS, MoF, J.P. Morgan forecasts. The long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China); and Taiwan (China).

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Korea

- **BoK delivered back-to-back hikes as we expected, yet the forward guidance was mixed**
- **Consumer sentiment index softened, likely on account of equity market volatility**
- **Next week: Technical correction in IP, CPI inflation at 3.4%oya**

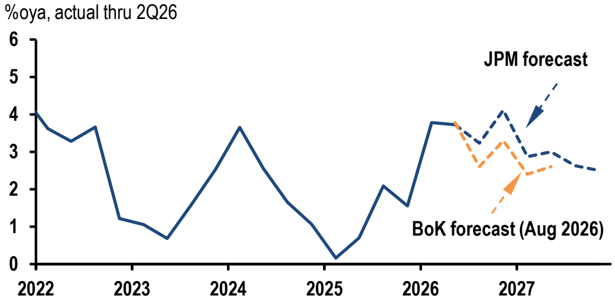
The Bank of Korea delivered a second consecutive 25bp hike at this week's MPC meeting, taking the policy rate to 3.0% despite the split market expectation between a hike and a hold. While the communication mixed hawkish and neutral elements, it did not alter the near-term policy framework: the BoK is still signaling a quarterly tightening bias after the July-August back-to-back moves, rather than committing to a sustained sequence of consecutive hikes.

Back-to-back hike with mixed guidance

The BoK's signals were mixed. On the hawkish side, the BoK marked-to-market its macro assessment, revising up the growth outlook materially and maintaining caution on underlying inflation dynamics. The Governor framed the hike as "preemptive," emphasizing that inflation could stay above target for longer, and that financial stability considerations—particularly household debt and housing market conditions—still warrant a tightening bias even after the recent KRW appreciation. These elements reinforce the view that the BoK is increasingly comfortable treating tech-led growth strength as a potential source of more persistent domestic inflation risk over time.

Figure 1: Real GDP growth path - JPM vs. BoK

%oya, actual thru 2Q26



Source: BoK, and J.P. Morgan

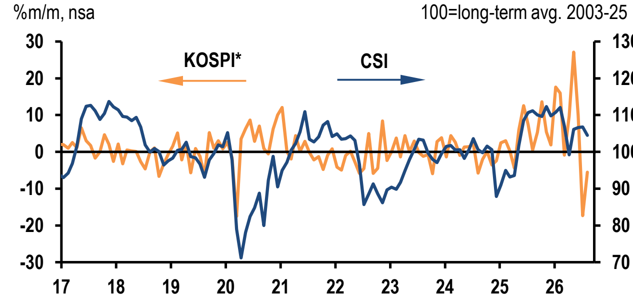
At the same time, several meeting details point to a more gradual cadence following the initial two hikes. The Governor highlighted broad consensus to assess how the economy absorbs the policy adjustment, there was a dissenting vote for holding, and the six-month conditional rate projection was centered around a moderate further increase. Even so, we believe that the BoK's signal implies a pause-and-reassess after the initial back-to-back hikes. The meeting details (including the dissent and the conditional six-month projection centered around 3.25%) suggest that the BoK is unlikely to deliver another consecutive hike in October, but that projection is explicitly conditional and, in our view, more likely to be revised higher as the macro outlook is updated—particularly if growth and core inflation remain firm (Figure 1). In other words, the BoK may step away from back-to-back moves, but the more probable path is a gradual continuation of the hiking cycle over coming quarters as the policy rate is moved towards a higher terminal level.

Softer August CSI amid equity swings

Consumer sentiment index (CSI) fell 2.3 pts to 104.5 in August, ending a three-month recovery. The sharp KOSPI drop in July—the steepest since March 2020—likely weighed on sentiment (Figure 2), especially as the number of retail equity holders has more than doubled since 2019. While this equity adjustment may now have a greater impact on sentiment than in the past, we do not see the overall print as a challenge to our 3Q private consumption outlook, given the still-modest wealth effect.

Figure 2: Consumer sentiment index and KOSPI

%m/m, nsa — 100=long-term avg. 2003-25



Source: BoK, KRX and J.P. Morgan * August as of 27th.

The decline in August was broad-based across sub-components, with the current economic conditions index making the largest negative contribution, followed by the six-month outlook. The spending plan index continued to show unevenness between services and goods. On inflation, one-year-ahead expectations held at 2.7% after July's CPI undershot, but could rise next month as August CPI is likely to print above 3% oya due to a one-off low base from last year's mobile tariff discounts. The gap between oil and farm product prices concerns has narrowed, helped by the ongoing energy price cap. Separately, the prospective housing price index eased by 2pts from July's five-year high, while interest rate expectations were little changed. Weekly apartment prices in Seoul softened slightly as of mid-August, but it is too early to assess the impact of recent policy measures.

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Data releases and forecasts

Week of August 31-September 4

Mon	**Industrial production**				
Aug 31	% change				
8am		**Apr**	**May**	**Jun**	**Jul**
	%oya	1.3	-1.1	5.8	2.6
	%m/m, sa	-0.8	-2.9	6.4	-1.7

Following the strong increase in June, industrial production is expected to see a technical pullback in July, and high-frequency auto production indicators point to a similar pattern.

Mon	**Shipments and inventories**				
Aug 31	%oya				
8am		**Apr**	**May**	**Jun**	**Jul**
	Shipments	-1.3	-4.0	4.1	3.8
	Inventories	-0.3	1.8	3.5	5.0

Mon	**Composite leading indicator**				
Aug 31	2020=100				
8am		**Apr**	**May**	**Jun**	**Jul**
	Index	127.5	128.7	130.2	131.2

Mon	**Service activity**				
Aug 31	% change				
8am		**Apr**	**May**	**Jun**	**Jul**
	%oya	3.8	4.6	5.3	5.4

Mon	**Consumption goods sales**				
Aug 31	% change				
8am		**Apr**	**May**	**Jun**	**Jul**
	%oya	1.4	1.5	4.2	0.0
	%m/m, sa	-3.7	0.1	2.7	-1.8

Among major product types, durable goods sales appear to have retraced some of June's solid gains, with the impact of a major electronics brand's cash-back campaign fading, as well as softer industry-level auto sales data in July.

Tue	**Customs trade**				
Sep 1	US$ bn, nsa				
9am		**May**	**Jun**	**Jul**	**Aug**
	Trade balance	26.8	35.9	30.4	29.5
	Exports	87.6	102.0	99.0	92.0
	Imports	60.7	66.1	68.6	62.5

We estimate that working day-adjusted exports will grow by 58% oya in August. Seasonally adjusted, both the 10-day and 20-day high-frequency prints suggest a solid ~4% m/m rise.

Tue	**Purchasing Managers Index**				
Sep 1	Index, sa				
9.30am		**May**	**Jun**	**Jul**	**Aug**
	PMI - Manufacturing	54.8	52.1	53.1	53.5

Wed	**Consumer prices**				
Sep 2	% change				
8am		**May**	**Jun**	**Jul**	**Aug**
	%oya	3.1	3.2	2.8	3.4
	%m/m, nsa	0.5	0.1	-0.2	0.6

We assume inflation rises into the above-3% oya range in August mainly on base effects, due to the one-off discounts on mobile phone tariffs from a major carrier in August 2025.

Fri	**Current account**				
Sep 4	US$ bn, nsa				
8am		**Apr**	**May**	**Jun**	**Jul**
	Balance	28.3	38.6	49.7	48.0

Given the July customs trade balance – the second-highest following June's record, the goods balance surplus is likely to remain elevated, providing solid footing for a continued CA surplus at the start of 3Q.

Review of past week's data

Consumer survey (Aug 25)

100=long-term average, nsa

	Jun	Jul	Aug	
Index	106.6	106.8	~~107.1~~	*104.5*

FKI business survey

100=neutral reading, sa

	Jun	Jul	Aug	
One-month outlook	96.7	91.1	~~95.0~~	*101.0*
Current conditions	92.0	94.1	~~96.4~~	*97.2*

BoK MPC meeting (Aug 27)

%pa

	May	Jul	Aug
Base rate	2.50	2.75	3.00

See main text.

Sources: BoK, NSO, Customs Office, Markit, FKI and J.P. Morgan forecasts.

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India

- **Industrial activity strong in July**
- **Capital goods and consumer durables are the main drivers**
- **Monsoon deficit at 13% by end-August**
- **Next Week: GDP growth at 8%oya**

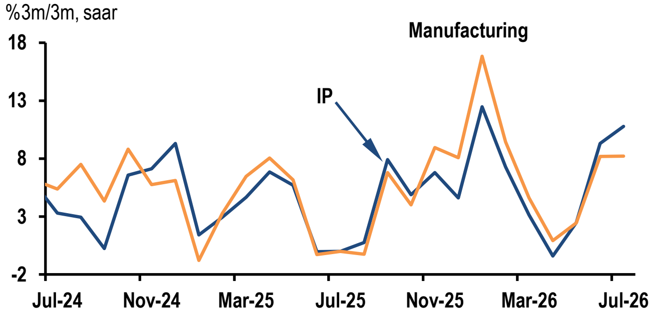
This week's July IP data showed that industrial activity remains strong, with growth momentum running at 11% on 3m/3m, saar. Industrial activity continues to benefit from the economy's cyclical recovery, alongside robust export growth. Next week, we expect further confirmation of this strength, with 2Q GDP growth projected at 8%oya. The recovery is also evident in a range of high-frequency indicators, including corporate earnings results.

Industrial activity strong in July

Industrial activity remained strong in July, printing above expectations at 6.7%oya (J.P. Morgan: 5.6%, consensus: 6.0%). The July upside surprise was driven largely by a sharp upward revision to June, with growth revised up to a booming 8.8%oya (previously 7.3%). On a 3m/3m saar basis, IP growth was running close to 11% in July (Figure 1). More broadly, industrial activity continues to benefit from the cyclical recovery in the economy, reflected in several high-frequency indicators such as credit growth, auto sales, and corporate earnings, alongside strong export growth. Manufacturing growth momentum —which better captures underlying industrial momentum—increased to 8.2% in July from 4.6% in March on %3m/3m, saar.

Figure 1: IP and Manufacturing

%3m/3m, saar



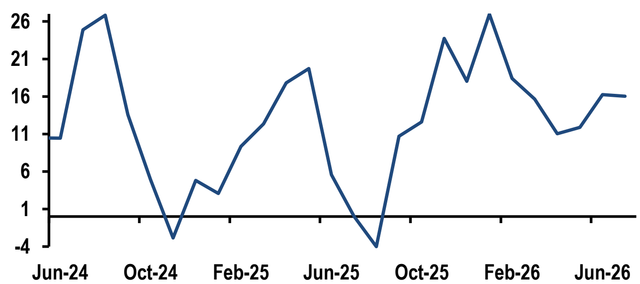
Source: MoSPI, J.P. Morgan

Within manufacturing, the details point to strength in computers and electronics (11% oya), electrical equipment (28%oya), and motor vehicles (22%oya). The strength in computers and electronics likely reflects higher mobile phone exports and broader momentum in the electronics manufacturing services (EMS) space. Growth in rubber and plastics was also strong.

On a use-based classification, capital goods—which have remained consistently strong over the past 12 months—rose 1.3% m/m, sa in July, with momentum strong at 16% on 3m/3m saar (Figure 2). On the consumption side, looking through month-to-month volatility, consumer durables production has outpaced non-durables, supported by resilient auto sales (Figure 3).

Figure 2: Capital goods

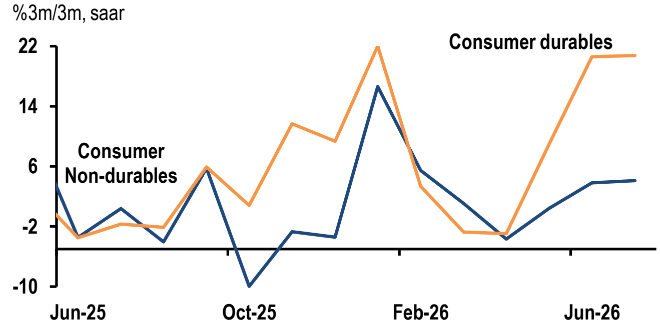
%3m/3m, saar



Source: MoSPI, J.P. Morgan

Figure 3: IP - Consumer goods

%3m/3m, saar



Source: MoSPI, J.P. Morgan

Monsoon deficit at 13%

Through August, cumulative rainfall was running at a deficit of 13% below the long-period average (LPA), holding steady from the end of July (14% below LPA). July and August are the peak monsoon months, accounting for about 60-62% of monsoon rainfall. By the end of August, typically around 75-80% of total monsoon rains have already fallen. Regionally, rainfall deficits were relatively contained in Central India (2% below LPA) and North West India (11% below LPA). In contrast, deficits were more pronounced in South India (22% below LPA) and East & North East India (27% below LPA). These regions are key for rice and pulses production. That said, India has record rice buffer stocks of three times of the required norm as of July 1.Despite weaker rainfall, the impact on sowing has been modest so far. As of 21 August, kharif

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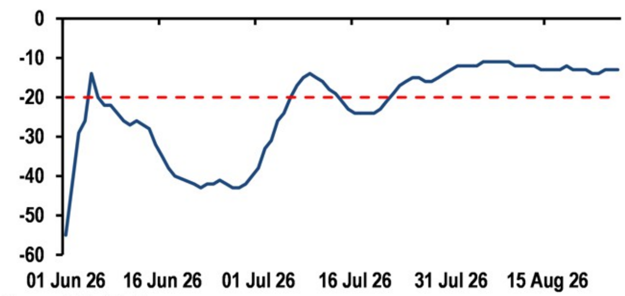
(summer) sowing was 1.5% below last year's level, driven primarily by lower rice acreage (-3.2%).

Figure 4: India cumulative rainfall deviation

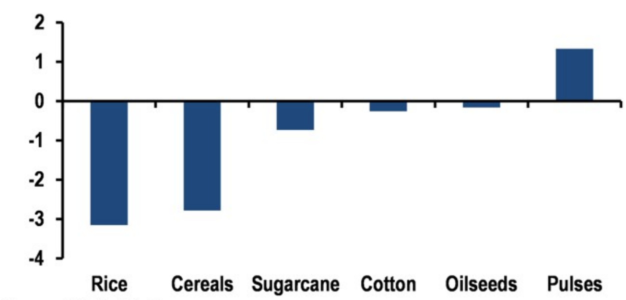
%, cumulative deviation from LPA; dotted line shows deficiency threshold



Source: IMD, J.P. Morgan.

Figure 5: Area coverage under Kharif crops

%oya



Source: UPAG, J.P. Morgan.

Data releases and forecasts

Week of Aug 31 - Sep 4

Mon	**Real GDP**				
31-Aug	% change				
4:00pm		**3Q25**	**4Q25**	**1Q26**	**2Q26**
	%oya	8.3	8.0	7.8	8.0

GDP growth is expected at 8% yoy in 2Q26, helped by strong corporate results and high frequency data suggesting a cyclical lift in the economy.

Review of past week's data

Industrial production (Aug 28)

% change

	May	Jun		Jul	
%oya	5.0	~~7.3~~	8.8	~~5.6~~	6.7

See above

Sources: MoSPI, RBI, J.P. Morgan

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US economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Dallas Fed manufacturing**(10:30am) Aug	**1 Sep** **JOLTS**(10:00am) Jul 7.2mm **ISM manufacturing**(10:00am) Aug 55.0 **Construction spending**(10:00am) Jul -0.2% **Light vehicle sales** Aug 16.4mm Fed Governor Barr speaks(9:05am)	**2 Sep** **ADP employment**(8:15am) Aug **Factory orders**(10:00am) Jul **Beige book**(2:00pm)	**3 Sep** **Productivity and costs final**(8:30am) 2Q 1.4% Unit labor costs 1.2% **International trade**(8:30am) Jul -$90.3bn **Initial claims**(8:30am) w/e Aug 29 205,000 **Services PMI**(9:45am) Aug final 56.5 **ISM services**(10:00am) Aug 54.0 Announce 3-year note $58bn Announce 10-year note (r) $39bn Announce 30-year bond (r) $22bn Fed Governor Waller speaks(8:30am) Cleveland Fed President Hammack speaks(3:00pm)	**4 Sep** **Employment**(8:30am) Aug 50,000 Unemployment rate 4.1% Average weekly hours 34.3 Average weekly hours 0.25%m/m
7 Sep **Labor Day, Markets closed**	**8 Sep** **NFIB survey**(6:00am) Aug **Consumer credit**(3:00pm) Jul Auction 3-year note $58bn	**9 Sep** **QSS**(10:00am) 2Q Auction 10-year note (r) $39bn	**10 Sep** **PPI**(8:30am) Aug **Initial claims**(8:30am) w/e Sep 5 **Wholesale trade final**(10:00am) Jul **Existing home sales**(10:00am) Aug Auction 30-year bond (r) $22bn Announce 10-year TIPS (r) $19bn Announce 20-year bond (r) $13bn	**11 Sep** **CPI**(8:30am) Aug **Consumer sentiment**(10:00am) Sep preliminary **Federal budget**(2:00pm) Aug
14 Sep	**15 Sep** **Empire State survey**(8:30am) Sep Auction 20-year bond (r) $13bn	**16 Sep** **Import prices**(8:30am) Aug **Retail sales**(8:30am) Aug **Business leaders survey**(8:30am) Sep **NAHB survey**(10:00am) Sep **Business inventories**(10:00am) Jul **FOMC meeting**(2:00pm) Sep **TIC data**(4:00pm) Jul	**17 Sep** **Housing starts**(8:30am) Aug **Initial claims**(8:30am) w/e Sep 12 **Philadelphia Fed manufacturing**(8:30am) Sep **Pending home sales**(10:00am) Aug Auction 10-year TIPS (r) $19bn Announce 5-year note $70bn Announce 2-year FRN (r) $28bn Announce 2-year note $69bn Announce 7-year note $44bn	**18 Sep** **Industrial production**(9:15am) Aug **Leading indicators**(10:00am) Aug
21 Sep Chicago Fed President Goolsbee speaks(6:30am)	**22 Sep** **Richmond Fed survey**(10:00am) Sep Auction 2-year note $69bn	**23 Sep** **Services PMI**(9:45am) Sep flash Auction 5-year note $70bn Auction 2-year FRN (r) $28bn	**24 Sep** **Initial claims**(8:30am) w/e Sep 19 **Current account**(8:30am) 2Q **New home sales**(10:00am) Aug **KC Fed survey**(11:00am) Sep Auction 7-year note $44bn	**25 Sep** **Durable goods**(8:30am) Aug **Consumer sentiment**(10:00am) Sep final

Source: Private and public agencies and J.P. Morgan. Further details available upon request.

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Euro area economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Germany** Import prices index (8:00am) Jul HICP & CPI Flash (2:00pm) Aug HICP: 2.9% oya ECB's Lagarde and Cipollone at G20	**1 Sep** **Euro area** PMI Mfg Final (10:00am) Aug Output: 53.4 HICP flash (11:00am) Aug HICP: 3.3% oya Unemployment rate (11:00am) Jul Unemployment rate: 6.3% sa **Germany** PMI Mfg Final (9:55am) Aug Output: 56.7 Retail sales (8:00am) Jul Sales volumes ex. autos, petroleum: 0.5% m/m sa **France** PMI Mfg Final (9:50am) Aug Output: 50.7 **Italy** PMI Mfg (9:45am) Aug Output: 51.0 GDP final (10:00am) 2Q 0.9% q/q, saar HICP & CPI Flash (11:00am) Aug HICP: 3.3% oya **Spain** PMI Mfg (9:15am) Aug Output: 47.8	**2 Sep** **Euro area** MFI Interest rates (10:00am) Jul **France** Monthly budget situation (8:45am) Jul **Italy** PPI (10:00am) Jul	**3 Sep** **Euro area** PMI Serv. & Cmp Final (10:00am) Aug Services Activity: 51.7 Composite Output: 52.1 PPI (11:00am) Jul **Germany** PMI Serv. & Cmp Final (9:55am) Aug Services Activity: 48.5 Composite Output: 51.0 **France** PMI Serv. & Cmp Final (9:50am) Aug Services Activity: 48.4 Composite Output: 48.8 **Italy** PMI Serv. & Cmp (9:45am) Aug Services Activity: 55.2 Composite Output: 54.1 **Spain** PMI Serv. & Cmp (9:15am) Aug Services Activity: 60.9 Composite Output: 58.2	**4 Sep** **Euro area** Retail sales (11:00am) Jul Sales volumes ex. autos, petroleum: 0.2% m/m sa **Germany** Mfg orders (8:00am) Jul Total Volume: -1.0% m/m sa
7 Sep **Euro area** Employment (11:00am) Aug GDP (11:00am) 2Q **Germany** Industrial production (8:00am) Jul	**8 Sep** **Germany** Foreign trade (8:00am) Jul **France** Foreign trade (8:45am) Jul **Netherlands** CPI Final (6:30am) Aug	**9 Sep** **France** Industrial production (8:45am) Jul	**10 Sep** **Euro area** ECB policy rate (2:15pm) Sep **Germany** HICP & CPI Final (8:00am) Aug **Italy** Industrial production (10:00am) Jul	**11 Sep**
14 Sep	**15 Sep** **Euro area** Foreign trade (11:00am) Jul **Germany** ZEW bus. survey (11:00am) Sep **France** HICP & CPI Final (8:45am) Aug **Italy** Foreign trade (10:00am) Jul **Spain** HICP & CPI Final (9:00am) Aug	**16 Sep** **Euro area** Industrial production (11:00am) Jul Labour costs final (11:00am) 2Q **Italy** HICP & CPI Final (10:00am) Aug	**17 Sep** **Euro area** HICP Final (11:00am) Aug	**18 Sep** **Euro area** Consumer Expectations Survey (10:00am) Aug Balance of Payments (10:00am) Jul Construction output (11:00am) Jul **Germany** PPI (8:00am) Aug
21 Sep	**22 Sep** **Euro area** EC cons. Conf. (4:00pm) Prelim Sep **Belgium** BNB cons. conf. (11:00am) Sep	**23 Sep** **Euro area** PMI Mfg Flash (10:00am) Sep PMI Serv. & Cmp Flash (10:00am) Sep **Germany** PMI Serv. & Cmp Flash (9:30am) Sep PMI Mfg Flash (9:30am) Sep **France** PMI Mfg Flash (9:15am) Sep PMI Serv. & Cmp Flash (9:15am) Sep	**24 Sep** **Euro area** New car regs (8:00am) Aug **Germany** IFO bus. survey (10:00am) Sep **France** INSEE cons. conf. (8:45am) Sep INSEE bus. conf. (8:45am) Sep **Spain** PPI (9:00am) Aug **Belgium** BNB bus. conf. (3:00pm) Sep	**25 Sep** **Euro area** M3 and lending (10:00am) Aug **Germany** GfK cons. conf. (8:00am) Sep **Spain** GDP Final (9:00am) 2Q

Highlighted data are scheduled for release on or after the date shown. Times shown are local. Source: Private and public agencies and J.P. Morgan. Further details available upon request.

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Japan economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Total retail sales** (8:50am) Jul 0.3 %m/m, sa **IP prelim** (8:50am) Jul 0.3 %m/m, sa **Housing starts** (2:00pm) Jul -3.0 %m/m, sa	**1 Sep** **MoF corporate survey** (8:50am) 2QCapex 2.5 %oya **PMI manufacturing final** (9:30am) Aug **Consumer sentiment** (2:00pm) Aug35.3 Auction 10-year note	**2 Sep** Speech by Board Member TAKATA at a meeting with local leaders in Sapporo (10:30am)	**3 Sep** **PMI services final** (9:30am) Aug Auction 30-year note	**4 Sep** **All household spending** (8:30am) Jul Auction 3-month bill
7 Sep **Coincident CI Prelim** (2:00pm) Jul **Consumption activity index** (2:00pm) Jul	**8 Sep** **Employers' survey** (8:30am) Jul **GDP 2nd** (8:50am) 2Q **Bank lending** (8:50am) Aug **Current account** (8:50am) Jul **Economy watchers survey** (2:00pm) Aug Auction 5-year note	**9 Sep** **Reuters tankan** (8:00am) Sep **M2** (8:50am) Aug Auction 6-month bill	**10 Sep** Speech by Board Member MASU at a meeting with local leaders in Fukui (10:30am)	**11 Sep** **Business outlook survey** (8:50am) 3Q **Corporate goods prices** (8:50am) Aug Auction 3-month bill
14 Sep **IP final** (1:30pm) Jul	**15 Sep** **Tertiary sector activity index** (1:30pm) Jul Auction 20-year note	**16 Sep** **Trade balance** (8:50am) Aug **Private machinery orders** (8:50am) Jul Jul Auction 1-year note	**17 Sep** **Real exports and imports** (2:00pm) Aug BoJ Monetary Policy Meeting Auction 3-month bill	**18 Sep** **Nationwide core CPI** (8:30am) Aug BoJ Monetary Policy Meeting BoJ Governor Ueda's press conference (3:30pm)
During the week: Nationwide department store sales (16-24 Sep)				
21 Sep *Holiday: Japan*	**22 Sep** *Holiday: Japan*	**23 Sep** *Holiday: Japan*	**24 Sep** **PMI manufacturing prelim** (9:30am) Sep **PMI services prelim** (9:30am) Sep	**25 Sep** Auction 3-month bill

Note: Times shown are local. Source: Private and public agencies and J.P. Morgan. Further details available upon request.

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Canada economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug	**1 Sep** **S&P Global manufacturing PMI**(9:30am) Aug	**2 Sep** **Bank of Canada Rate announcement**(9:45am) Sep 2.25%	**3 Sep** **Productivity & unit labor costs**(8:30am) 2Q **International trade**(8:30am) Jul C$3.5bn **S&P Global composite PMI**(9:30am) Aug	**4 Sep** **Labor Force Survey**(8:30am) Aug 10k U-rate: 6.4% **Ivey PMI**(10:00am) Aug
7 Sep	**8 Sep**	**9 Sep**	**10 Sep**	**11 Sep**
14 Sep **CPI**(8:30am) Aug **Manufacturing sales**(8:30am) Jul	**15 Sep** **Wholesale sales**(8:30am) Jul	**16 Sep** **Housing starts**(8:15am) Aug **BoC Senior Loan Officer Survey**(8:15am) 2Q **Building permits**(8:30am) Jul **BoC Summary of Deliberations**(1:30pm) Sep	**17 Sep** **IPPI**(8:30am) Aug **International transactions in securities**(8:30am) Aug	**18 Sep**
21 Sep	**22 Sep**	**23 Sep**	**24 Sep** **Retail sales**(8:30am) Jul	**25 Sep**

Source: Private and public agencies and J.P. Morgan. Further details available upon request. All existing home sales are tentative.

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Latin America economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Brazil** Primary budget balance Jul BRL $6.0bn **Chile** Industrial production Jun Retail sales Jun **Colombia** Unemployment Jul 8.2%, nsa	**1 Sep** **Argentina** Tax Collections Aug 2.3%oya, real terms **Brazil** GDP 2Q 2.0%q/q, saar; 2.0%oya nsa PMI Manufacturing Aug **Peru** CPI Aug 0.1%m/m, 4.5%oya **Mexico** Remittances Jul US$5.6bn IMEF manufacturing index Aug 48.9 IMEF nonmanufacturing index Aug 49.6 **Chile** Economic activity Jul 0.5%oya	**2 Sep** **Brazil** FIPE CPI Aug IP Jul 0.9%m/m, sa; 0.1%oya **Paraguay** CPI Aug	**3 Sep** **Argentina** Vehicle production Aug Vehicle sales Aug **Colombia** Exports Jul **Uruguay** CPI Aug	**4 Sep** **Mexico** GFI Jun 5.7%oya **Brazil** Trade balance Aug
7 Sep **Chile** Trade balance Aug **Mexico** Auto report Aug **Colombia** CPI Aug	**8 Sep** **Brazil** Auto production Aug IGP-DI Aug **Chile** CPI Aug Overnight Rate target Sep **Argentina** Construction Jul Industrial Production Jul	**9 Sep** **Mexico** Core CPI Aug CPI Aug Biweekly core CPI Aug Biweekly CPI Aug	**10 Sep** **Brazil** PMS Jul **Argentina** CPI Aug **Peru** Reference rate Sep	**11 Sep** **Brazil** IPCA Aug **Mexico** IP Jul **Uruguay** Industrial production Jul
During the week: Chile Vehicle Sales Total Aug (7-10 Sep) Brazil Vehicle sales Aug (8-12 Sep)				
14 Sep	**15 Sep** **Uruguay** GDP 2Q **Brazil** Retail sales Jul **Peru** Economic Activity Jul National Unemployment rate Aug	**16 Sep** **Brazil** IGP-10 Sep Economic Activity Jul **Colombia** Retail sales Jul IP Jul	**17 Sep** **Argentina** GDP 2Q	**18 Sep** **Argentina** Budget balance Aug Trade balance Aug **Mexico** Aggregate supply & demand 2Q **Colombia** Economic Activity Jul
During the week: Mexico ANTAD same-store sales Aug (15-22 Sep) Brazil BCB meeting Sep (16-20 Sep)				
21 Sep **Paraguay** BCP rate decision Sep **Colombia** Trade balance Jul	**22 Sep** **Mexico** Retail sales Jul	**23 Sep**	**24 Sep** **Brazil** FGV: consumer confidence Sep **Mexico** GDP monthly proxy Jul Biweekly core CPI Biweekly CPI Banxico meeting Sep **Uruguay** National Unemployment rate Jul **Argentina** Economic activity Jul	**25 Sep** **Brazil** IPCA-15 Sep **Mexico** Unemployment Aug **Paraguay** GDP 2Q

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UK and Scandinavia economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **Sweden** Wage stats (8:00am) Jun	**1 Sep** **United Kingdom** CBI Growth Indicator (12:01am) Aug Nationwide HPI (8:00am) Aug PMI Mfg Final (9:30am) Aug Output: 51.2 M4 & M4 lending final (9:30am) Jul Net lending to individuals (9:30am) Jul **Sweden** PMI Mfg (8:30am) Aug	**2 Sep**	**3 Sep** **United Kingdom** PMI Services Final (9:30am) Aug Services business activity: 52.8 Composite Output: 52.5 **Sweden** PMI Services (8:30am) Aug	**4 Sep** **United Kingdom** New car regs (9:00am) Aug Decision maker panel survey (9:30am) Aug PMI Construction (9:30am) Aug
7 Sep **United Kingdom** S&P/REC jobs report (12:01am) Aug Lloyd's House Price Index (7:00am) Aug **Sweden** Budget Balance (8:00am) Aug CPI Flash (8:00am) Aug	**8 Sep** **United Kingdom** BRC retail sales monitor (12:01am) Aug	**9 Sep** **Norway** PPI (8:00am) Aug	**10 Sep** **United Kingdom** RICS HPI (12:01am) Aug **Sweden** GDP monthly indicator (8:00am) Jul Industrial production & orders (8:00am) Jul Production Value Index (8:00am) Jul Household consumption (9:30am) Jul **Norway** CPI (8:00am) Aug	**11 Sep** **United Kingdom** Construction output (7:00am) Jul Monthly GDP (7:00am) Jul Industrial production (7:00am) Jul Index of services (7:00am) Jul Trade balance (7:00am) Jul BOE/NOP Inflation Attitudes Survey (9:30am) Aug Agents' summary of business conditions (12:00pm) Sep
14 Sep **Sweden** CPI Final (8:00am) Aug **Norway** Building statistics (10:00am) Aug	**15 Sep** **United Kingdom** Labor market report (7:00am) Aug **Norway** Trade balance (8:00am) Aug	**16 Sep** **United Kingdom** CPI (7:00am) Aug **Sweden** PES unemployment (6:00am) Aug	**17 Sep** **United Kingdom** BoE MPC Meeting (12:00pm) Sep **Norway** Regional Network Survey (10:00am) 3Q	**18 Sep** **United Kingdom** Gfk cons. conf. (12:01am) Sep Retail sales (7:00am) Aug
21 Sep **United Kingdom** Rightmove HPI (12:01am) Sep	**22 Sep** **United Kingdom** Public sector finances (7:00am) Aug	**23 Sep** **United Kingdom** PMI Mfg Flash (9:30am) Sep PMI Services Flash (9:30am) Sep	**24 Sep** **Sweden** Riksbank rate announcement (9:30am) Sep **Norway** Norges Bank rate announcement (10:00am) Sep	**25 Sep** **Sweden** PPI (8:00am) Aug Household lending (8:00am) Aug

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Emerging Europe/Middle East/Africa economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **South Africa** Private sector credit (8:00am) Jul Trade balance (2:00pm) Jul **Hungary** PPI (8:30am) Jun **Turkey** GDP (10:00am) 2Q 4.1%q/q saar Unemployment rate (10:00am) May **Poland** CPI prelim (10:00am) Jul 3.0%oya GDP final (10:00am) 2Q **Serbia** GDP final (12:00pm) 2Q 3.6%oya **Kenya** CPI Jul 6.5%oya **Uganda** CPI Aug 4.2%oya **Ukraine** Current account Jul	**1 Sep** **Russia** Manufacturing PMI (9:00am) Aug **Hungary** GDP final (8:30am) 2Q PMI (9:00am) Aug **Poland** PMI (9:00am) Aug **Turkey** PMI (10:00am) Aug **Czech Republic** PMI (9:30am) Aug **Nigeria** PMI (9:45am) Jul **South Africa** Barclays PMI (11:00am) Aug Vehicle sales Aug **Israel** BoI rate decision (4:00pm) Sep **Kazakhstan** CPI Aug 10.0%oya	**2 Sep** **South Africa** BER business confidence (10:30am) 2Q **Russia** Retail sales, Unemployment & Investment (7:00pm) Aug **Ghana** CPI Aug 5.0%oya	**3 Sep** **Turkey** CPI (10:00am) Aug 31.6%oya **Czech Republic** Average real wage (9:00am) 2Q 5.4%oya	**4 Sep** **Romania** Retail sales (9:00am) Jul **Hungary** Retail sales (8:30am) Jul **Czech Republic** CPI prelim (9:00am) Aug 1.8%oya **Kazakhstan** NBK rate decision (12:00pm) Sep 25bps cut to16.50%
During the week: Egypt FX reserves Aug (3-9 Sep) Kazakhstan FX reserves Aug (6-13 Sep) Qatar International reserves Aug (6-9 Sep)				
7 Sep **Romania** GDP prelim (9:00am) 2Q **South Africa** Gross reserves (8:00am) Aug **Hungary** Industrial output (8:30am) Jul **Czech Republic** Industrial output (9:00am) Jul Trade balance (9:00am) Jul	**8 Sep** **Hungary** CPI (8:30am) Aug **South Africa** GDP (11:00am) 2Q **Saudi Arabia** GDP final 2Q	**9 Sep** **Romania** Trade balance (9:00am) Jul **Israel** Consumer confidence (1:00pm) Aug **Ukraine** CPI (2:00pm) Aug GDP final 2Q **Poland** NBP rate decision Sep	**10 Sep** **Turkey** Industrial output (10:00am) Jul CBRT rate decision (2:00pm) Sep **Czech Republic** CPI (9:00am) Aug **South Africa** Current account (11:00am) 2Q **Serbia** NBS rate decision (12:00pm) Sep	**11 Sep** **Romania** CPI (9:00am) Aug **Turkey** Current account (10:00am) Jul **Serbia** CPI (12:00pm) Aug **Russia** CBR rate decision (1:30pm) Sep GDP prelim (7:00pm) 2Q CPI (7:00pm) Aug
During the week: Angola CPI Aug (7-14 Sep) Egypt CPI Aug (8-12 Sep) Ghana GDP 2Q (8-22 Sep) Ghana FX reserves Aug (8-19 Sep) Oman CPI Aug (9-20 Sep) Qatar CPI Aug (9-23 Sep)				
14 Sep **Czech Republic** Current account (10:00am) Jul **Israel** Trade balance (1:00pm) Aug **Poland** Current account (2:00pm) Jul **Kazakhstan** Retail sales Aug	**15 Sep** **Romania** Current Account Jul **Poland** CPI (10:00am) Aug **Israel** Unemployment rate (1:00pm) Aug CPI (6:30pm) Aug **Saudi Arabia** CPI Aug **Nigeria** CPI Aug	**16 Sep** **Hungary** Average gross wages (8:30am) Jul **Czech Republic** PPI (9:00am) Aug **Israel** GDP prelim (1:00pm) 2Q Current account (1:00pm) 2Q **Poland** Core inflation (2:00pm) Aug	**17 Sep** **Ukraine** NBU rate decision (2:00pm) Sep **Czech Republic** CNB rate decision (2:30pm) Sep **Serbia** Current account Aug	**18 Sep** **Poland** Industrial output (10:00am) Aug
During the week: Qatar GDP (14-4 Oct) Belarus Current account 2Q (15-25 Sep) Poland Budget balance Aug (15-30 Sep) Kenya Current account 2Q (20-29 Sep)				
21 Sep **Poland** PPI (10:00am) Aug Average gross wages and Employment (10:00am) Aug	**22 Sep** **Hungary** NBH rate decision (2:00pm) Sep **Nigeria** CBN rate decision (2:00pm) Sep	**23 Sep** **Poland** Unemployment (10:00am) Aug **South Africa** CPI (10:00am) Aug SARB rate decision (3:00pm) Sep	**24 Sep** **Egypt** CBE rate decision Sep **Ghana** BOG rate decision Sep	**25 Sep** **Hungary** Current account (8:30am) 2Q Unemployment (8:30am) Jul
During the week: South Africa BER consumer confidence 2Q (22-24 Sep) Bahrain CPI (23-27 Sep) Kazakhstan Current account final 2Q (25-29 Sep) Uganda GDP 2Q (25-9 Oct)				

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Non-Japan Asia economic calendar

Monday	Tuesday	Wednesday	Thursday	Friday
31 Aug **South Korea** IP (8:00am) Jul 2.6%oya **New Zealand** NBNZ business confidence Aug **Australia** Company operating profit 2Q Inventories (11:30am) 1Q Pvt. sector credit (11:30am) Jul 0.7%m/m **China** PMI mfg. (NBS) (9:30am) Aug 49.5 **Thailand** Current account balance Jul US$-2.0bn **Hong Kong** Retail sales (4:30pm) Jun 3.9%oya **India** GDP (4:00pm) 2Q 8.0%oya *Holiday: Malaysia, Philippines*	**1 Sep** **South Korea** Trade balance (9:00am) Aug US $29.5bn PMI mfg. (9:30am) Aug 53.5 **Taiwan** PMI mfg. (8:30am) Aug 55.3 **Australia** Building approvals (11:30am) Jul -3.0%m/m Current account balance (11:30am) 2Q A$-29.0bn **China** PMI Mfg. (9:45am) Aug 50.5 **Indonesia** Trade balance (11:00am) Jul US $0.0bn CPI (11:00am) Aug 3.2%oya **India** PMI mfg. final (10:30am) Aug	**2 Sep** **New Zealand** Building permits (10:45am) Aug RBNZ official rate announcement 25bp hike **South Korea** CPI (8:00am) Aug 3.4%oya **Australia** GDP (11:30am) 2Q 0.3%q/q **Singapore** PMI (9:00pm) Aug 51.5	**3 Sep** **New Zealand** Terms of trade (10:45am) 2Q ANZ commodity price (1:00pm) Aug **Australia** Trade balance (11:30am) Jul **Vietnam** Exports (9:05am) Aug Industrial output (9:05am) Aug CPI (9:05am) Aug **Malaysia** BNM monetary policy meeting no change	**4 Sep** **South Korea** Current account balance (8:00am) Aug US$48.0bn **Philippines** CPI (9:00am) Aug 6.1%oya
7 Sep **Australia** ANZ job advertisements (11:30am) Aug **Thailand** CPI (10:30am) Aug **China** Foreign Exchange Reserves Aug	**8 Sep** **South Korea** GDP prelim (8:00am) 2Q **Taiwan** CPI (4:00pm) Aug **China** Trade balance Aug	**9 Sep** **South Korea** Unemployment rate (8:00am) Aug **China** PPI (9:30am) Aug CPI (9:30am) Aug **Taiwan** Trade balance (4:00pm) Aug	**10 Sep**	**11 Sep** **New Zealand** Business NZ PMI (10:30am) Aug
During the week: China Money supply/TSF Aug (9-15 Sep)				
14 Sep **India** WPI (12:00pm) Aug *Holiday: India*	**15 Sep** **South Korea** Export price index (6:00am) Aug Import price index (6:00am) Aug Money supply (12:00pm) Jul **China** IP (10:00am) Aug FAI (10:00am) Aug Retail sales (10:00am) Aug **India** Trade balance Aug	**16 Sep** **New Zealand** Current account balance (10:45am) 2Q *Holiday: Malaysia*	**17 Sep** **New Zealand** GDP (10:45am) 2Q **Singapore** NODX (8:30am) Aug **Hong Kong** Unemployment rate (4:30pm) Aug **Taiwan** CBC monetary policy meeting	**18 Sep** **South Korea** PPI (6:00am) Aug **New Zealand** Trade balance (10:45am) Aug **Malaysia** CPI (12:00pm) Aug Trade balance (12:00pm) Aug
During the week: India CPI Aug (14-15 Sep)				
21 Sep	**22 Sep** **Taiwan** Export orders (4:00pm) Aug Unemployment rate (4:00pm) Aug	**23 Sep** **South Korea** Consumer survey (6:00am) Sep **Singapore** CPI (1:00pm) Aug **India** PMI mfg. (10:30am) **Indonesia** BI monetary policy meeting **Taiwan** IP (4:00pm) Aug **Hong Kong** CPI (4:30pm) Aug	**24 Sep** **Australia** Unemployment rate (11:30am) Aug **Hong Kong** Trade balance (4:30pm) Aug *Holiday: South Korea*	**25 Sep** *Holiday: China, South Korea, Taiwan*
During the week: Thailand Trade balance Aug (21-26 Sep)				

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Global Data Diary

Week / Weekend	Monday	Tuesday	Wednesday	Thursday	Friday
29 - 04 September	**31 August**	**01 September**	**02 September**	**03 September**	**04 September**
	●China NBS PMI (Aug) ●Germany HICP (Aug, prl) ●India GDP (2Q) ●Japan IP (Jul) Retail sales (Jul) ●Korea IP (Jul) ●Poland CPI (Aug) ●Türkiye GDP (2Q)	●Brazil GDP (2Q) ●Euro area HICP (Aug, prl) U-rate (Jul) ●India CPI (Aug) ●Indonesia CPI (Aug) ●Israel **BoI mtg: -25bp** ●Japan Consumer snt (Aug) MoF corporate srvy (2Q) ●United States Construction spending (Jul) ISM mfg (Aug) JOLTS (Jul) Light vehicle sales (Aug) ●Global Mfg PMI (Aug)	●Australia GDP (2Q) ●Brazil IP (Jul) ●Canada **BoC mtg: no chg** ●Korea CPI (Aug) ●New Zealand **RBNZ mtg: +25bp** ●United States ADP employment (Aug) Factory orders (Jul)	●Malaysia **BNM mtg: no chg** ●Türkiye CPI (Aug) ●United States ISM services (Aug) Prod and costs (2Q, fnl) Trade balance (Jul) ●Global Composite PMI (Aug)	●Brazil Trade balance (Aug) ●Canada Labor force survey (Aug) ●Czechia CPI (Aug) ●Euro area Retail sales (Jul) ●Germany Mfg orders (Jul) ●Philippines CPI (Aug) ●United Kingdom New car regs (Aug) ●United States Employment (Aug)
05 - 11 September	**07 September**	**08 September**	**09 September**	**10 September**	**11 September**
●China Money supply/TSF (Aug, 9-15 Sep)	●China FX reserves (Aug) ●Colombia CPI (Aug) ●Euro area GDP (2Q, 3rd) Employment (Aug) ●Germany IP (Jul) ●Japan CAI (Jul) ●Romania GDP (2Q) ●Sweden CPI (Aug) ●Thailand CPI (Aug)	●Chile **CBC mtg: no chg** CPI (Aug) ●China Trade balance (Aug) ●Hungary CPI (Aug) ●Japan Employers' srvy (Jul) GDP (2Q, 2nd) ●Korea GDP (2Q) ●South Africa GDP (2Q) ●Taiwan CPI (Aug) ●United States Cons credit (Jul) NFIB srvy (Aug) QFR (2Q)	●China CPI (Aug) ●Japan Reuters Tankan (Sep) ●Mexico CPI (Aug) ●Poland **NBP mtg: no chg** ●Taiwan Trade balance (Aug) ●United States QSS (2Q)	●Argentina CPI (Aug) ●Czechia CPI (Aug) ●Euro area **ECB mtg: +25bp** ●Norway CPI (Aug) ●Peru **BCRP mtg: no chg** ●Türkiye **CBRT mtg: no chg** IP (Jul) ●United States Existing home sales (Aug) PPI (Aug)	●Brazil IPCA (Aug) ●Mexico IP (Jul) ●Romania CPI (Aug) ●Russia **CBR mtg: no chg** CPI (2Q) GDP (2Q) ●United Kingdom IP (Jul) Monthly GDP (Jul) Trade balance (Jul) ●United States CPI (Aug) UMich cons snt (Sep, prl)

Source: Private and public agencies and J.P. Morgan. Further details available upon request. Any long-form nomenclature for references to China and Taiwan within this research material is Mainland China and Taiwan (China).

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